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PERFORMANCE MANAGEMENT POLICY AND PROCEDURES FRAMEWORK

Segment 1 of 3 — Governance · Goal Setting · Annual Cycle · Rating Framework

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This document is the Performance Management Policy and Procedures Framework of Arjun Technologies Pvt. Ltd.. It governs the design, operation, and administration of the company's annual performance management cycle, including goal-setting methodology, review processes, rating calibration, compensation linkage, career progression, and performance improvement. Compliance is mandatory for all people managers and applies to all confirmed employees. Queries to the HR Business Partner team or hr@arjuntech.in.

Revision History

The following table records all versions of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework since its initial publication in 2009. All revisions have been approved by the Chief Executive Officer, reviewed by the Chief Financial Officer for compensation implications, and reviewed by the General Counsel for legal compliance. Where revisions affect the rating scale, merit increment ranges, or variable pay calculation methodology, Finance and the Compensation Committee are additionally consulted before approval. Employees and managers are responsible for ensuring they are using the current version of this document, which is always published on the HRMS portal under Policies and Documents. The HRMS Performance module is also updated to reflect the current policy requirements whenever material changes are made.

Version	Date	Summary of Changes	Approved By
1.0	Apr 2009	Initial publication. Annual appraisal cycle, five-point rating scale, merit increment bands.	Mr. Rajesh Arjun
1.1	Oct 2010	Rating scale definitions clarified; calibration process introduced.	Mr. Rajesh Arjun
1.2	Mar 2012	Variable pay formula updated; ESOP eligibility criteria added to Rating 4/5 provisions.	Mr. Rajesh Arjun
1.3	Sep 2013	Mid-year review formalized as mandatory; HRMS performance module introduced.	Mr. Rajesh Arjun
2.0	Apr 2015	Major revision: OKR framework adopted replacing KRA system; probation assessment separated.	Mr. Rajesh Arjun
2.1	Nov 2015	OKR writing guidance expanded; worked examples added for each major role family.	Mr. Rajesh Arjun
2.2	Mar 2016	Merit matrix restructured from three to four band-position quadrants.	Mr. Rajesh Arjun
2.3	Sep 2017	Fast-track promotion criteria added; Band 4 to Band 5 promotion process tightened.	Mr. Rajesh Arjun
3.0	Apr 2018	Full rewrite: competency framework integrated; behavioural standards added to rating criteria.	Mr. Rajesh Arjun
3.1	Oct 2018	360-degree feedback pilot for Band 5+ introduced; manager self-assessment added.	Mr. Rajesh Arjun
3.2	Mar 2019	Calibration procedure updated; forced distribution guidelines added and then amended.	Mr. Rajesh Arjun
3.3	Aug 2020	Remote performance management section added; virtual review guidelines included.	Mr. Rajesh Arjun
3.4	Jan 2021	Probation policy separated into standalone document; this policy updated accordingly.	Mr. Rajesh Arjun
3.5	Jun 2022	ESOP vesting schedule updated; Exceptional Performer retention provisions added.	Mr. Rajesh Arjun
4.0	Apr 2023	Complete overhaul: continuous feedback model introduced; quarterly pulse checks formalised.	Mr. Rajesh Arjun
4.1	Apr 2024	OKR writing standards tightened; AI ethics added to behavioural standards; DPDP Act compliance added	Mr. Rajesh Arjun to com

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This Performance Management Policy is published in three segments. Segment 1 covers the governance framework and policy foundation, the complete OKR goal-setting methodology, the full annual performance cycle with all phase requirements, and the rating framework including definitions, distribution guidance, and the calibration process. Segment 2 covers the merit increment system, variable pay calculation, promotion criteria and process, the Performance Improvement Plan framework, and the 360-degree feedback programme. Segment 3 covers the Learning and Development policy, internal mobility and career development, the manager's complete guide to effective performance conversations, and all appendices including the OKR writing guide, the competency framework, the HRMS user guide for the performance module, and the complete set of forms. All segments are available on the HRMS portal.

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1. Policy Governance and Framework

1.1 Purpose and Objectives of the Performance Management Framework

The Performance Management Policy and Procedures Framework of Arjun Technologies Pvt. Ltd. establishes the comprehensive, systematic process through which the organisation aligns individual professional effort with strategic business objectives, assesses the quality and impact of individual contributions, provides the structured feedback and development support that employees need to grow and to sustain high performance over time, and connects performance outcomes to the compensation, career development, and recognition decisions that are consequential for individuals' professional lives. The framework is not an administrative compliance exercise or an annual HR ritual — it is the primary operational mechanism through which the organisation translates its strategic priorities into individual behaviours and decisions, and through which it builds and maintains the professional culture and capability it needs to deliver its commitments to clients.

The framework is built on a specific and deliberate philosophy about what performance management should accomplish and how it should work. It operates on the conviction that performance is best understood and developed in the context of a continuous, honest, and constructive relationship between a manager and their direct reports — not in the context of an annual event that attempts to capture twelve months of professional life in a single conversation. It recognises that the most effective feedback is timely feedback — feedback given in October that addresses a pattern observed in September is actionable; feedback given in March that addresses a pattern observed in April of the previous year is merely historical. And it understands that the quality of the professional development support that the organisation provides is as important to performance outcomes as the clarity of the expectations it sets — because individuals cannot develop capabilities they are not being helped to build.

The specific objectives of the Performance Management Framework at Arjun Technologies are: to ensure that every employee begins every performance year with clearly documented, specific, and measurable goals that are directly connected to the objectives of their team, their business unit, and the company as a whole; to ensure that every employee receives timely, honest, substantive, and constructive feedback on their performance throughout the year through a structured cadence of conversations and written assessments; to provide managers and employees with a shared, consistent vocabulary and standard for describing performance quality so that ratings mean the same thing across different teams and business units and the calibration process can function effectively; to connect performance outcomes to compensation, promotion, ESOP, and career development decisions in a way that is transparent, fair, and motivating for individuals at every performance level; to identify employees whose performance is not meeting the requirements of their role at an early stage and to provide them with structured, well-resourced support to improve; and to identify employees whose performance

significantly exceeds expectations and to ensure that they receive the recognition, development investment, and retention focus that their contribution warrants.

These objectives create specific and measurable obligations for managers — not merely aspirational descriptions of what good management looks like. A manager who does not set goals by the April deadline, who does not conduct mid-year reviews in October, who does not complete self-assessment reviews in February, who provides a written assessment so generic that it cannot be distinguished from an assessment of any other employee, or who communicates a surprise Rating 2 at the year-end to an employee who has never previously been told that their performance is below standard, has failed to meet the requirements of this policy. The HR Business Partner team monitors manager compliance with policy process requirements and escalates non-compliance to the relevant Business Unit Head and SVP.

The framework applies to all confirmed permanent employees across all five office locations of {C['short']} — Bengaluru, Hyderabad, Pune, Chennai, and Mumbai. It applies to employees working in the office, to employees working under an approved hybrid arrangement, and to employees deployed at client sites for the delivery of contracted services. Fixed-term contract employees are included in the framework for the duration of their contract; their appraisal cycle is aligned to the standard annual cycle where the contract covers the majority of the performance year, and is handled on a pro-rata basis where the contract covers a shorter period. Employees on probation are assessed through the separate Probation Assessment process described in the Employee Handbook. Performance management for employees on long-term leave during the performance year is described in Section 4.5.

The performance management cycle at Arjun Technologies runs from 01 April to 31 March each year, aligned with the Indian financial year. All HRMS deadlines, calibration sessions, appraisal conversations, and compensation communications are structured within this annual cycle. Where an employee joins the company after 01 April, their first performance year begins on their joining date and is assessed on a pro-rata basis at the end of the standard cycle in March, provided they have been in the confirmed role for at least three months before the year-end assessment. Employees who join after 01 January are assessed in the following cycle as their first full performance year. The HR Business Partner advises on the appropriate approach for employees whose joining date creates ambiguity about cycle eligibility.

1.2 Scope of Application

This policy applies in its entirety to all confirmed permanent and fixed-term employees of Arjun Technologies Pvt. Ltd. at all levels of seniority and in all business functions. 'Confirmed' means an employee who has successfully completed their probation period and received a written confirmation letter from HR. Employees on probation are not subject to the annual performance cycle described in this policy; they are assessed through the Probation Assessment process,

which uses the Probation Assessment Form HR-016 and is described in the Employee Handbook. Upon confirmation, the employee is immediately enrolled in the standard annual performance cycle.

The policy applies to employees across all eight bands in the company's compensation structure, from Band 1 (Associate/Junior Analyst) through Band 8 (Senior Vice President and above). While the specific content of performance objectives naturally differs significantly across bands — a Band 1 employee's objectives focus on technical skill development and project execution, while a Band 7 VP's objectives focus on business unit performance, strategic leadership, and client and market development — the process requirements, the rating standards, the calibration obligations, and the connection between ratings and compensation outcomes are consistent across all bands. Seniority does not create exceptions to process requirements; if anything, senior employees are expected to model exemplary compliance with the framework because their approach to performance management sets the standard that their teams observe.

The policy applies equally to employees whose work is primarily technical and individual contributor in nature and to employees in people management roles. The specific content of objectives and the competencies against which behaviour is assessed differ between individual contributors and people managers — managers are assessed on people leadership competencies including team development, effective delegation, and management of the performance management process itself, in addition to the functional and business competencies relevant to their role. The distinction between individual contributor and people manager is recorded in the HRMS system and determines which competency framework version applies to each employee's assessment.

1.3 Governing Principles

The Performance Management Framework at Arjun Technologies is governed by six principles that define the non-negotiable standards the framework must meet in its design and operation. These principles are not aspirational descriptions of what good performance management looks like — they are the operational standards against which the framework's design and each manager's application of it are assessed. The first principle is Clarity: every employee knows, before the performance year begins, what success in their role looks like for that specific year — not in general terms such as 'perform well' or 'contribute to the team,' but in specific, measurable, and unambiguous terms that both the employee and manager can refer to throughout the year as a shared and objective reference point for progress. The second principle is Continuity: performance assessment and development is a continuous process throughout the year, supported by a structured cadence of conversations, documented reviews, and HRMS interactions, not a single annual event that attempts to reconstruct a year's performance from memory.

The third principle is Honesty: every element of the performance management process — goal quality assessments, mid-year feedback, self-assessments, manager assessments, calibration discussions, and appraisal conversations — must be honest, evidence-based, and specific rather than vague, inflated, or shaped by considerations other than actual performance. An assessment that overstates performance to avoid a difficult conversation fails the employee as much as it fails the organisation — it deprives them of the accurate information they need to make decisions about their development and career. An assessment that understates performance out of bias or personal preference fails the employee and the company and is a violation of the manager's core responsibilities. The fourth principle is Consequence: performance ratings must be connected in a meaningful, predictable, and transparent way to the compensation, career progression, development investment, and retention focus that the company provides. A framework in which ratings are disconnected from any material consequence trains employees and managers alike to treat the process as a formality.

The fifth principle is Fairness: the framework must produce outcomes that are fair — where similar levels of performance against similar standards produce similar ratings across different teams, business units, and managers. This principle is operationalised primarily through the calibration process, which is designed to ensure that a Rating 3 in the data analytics team means the same thing as a Rating 3 in the client delivery team, and that the merit increment associated with that rating is consistent. Without calibration, performance management becomes a reflection of individual manager generosity or stringency rather than a fair assessment of actual relative performance. The sixth principle is Development: the framework must actively support the professional growth of every employee — not only the recognition and rewarding of past performance, but the investment in the capabilities that will enable better performance in the future. A performance framework that is purely backward-looking and evaluative, without a forward-looking developmental dimension, addresses only half of what performance management is for.

These six principles — Clarity, Continuity, Honesty, Consequence, Fairness, and Development — are explicitly evaluated in the annual HR audit of the performance management process. The audit reviews a representative sample of completed appraisal cycles across business units to assess: whether goals were documented and locked in HRMS by the April deadline; whether mid-year reviews were conducted and documented by the October deadline; whether manager assessments are specific and evidence-based or generic and unsubstantiated; whether the distribution of ratings across the unit is consistent with the guidance in Section 4.2 and was properly reviewed through calibration; and whether appraisal conversations were conducted and confirmed before the March deadline. Audit findings are reported to the relevant SVP and to the CEO, and are incorporated into the leadership assessment of managers in their own performance review.

1.4 Roles and Responsibilities

The effective operation of the performance management framework requires clearly assigned responsibilities at every level of the organisation. Ambiguity about who is responsible for specific steps in the process is a common root cause of performance management failures — when a deadline is missed or a required conversation does not happen, 'I thought someone else was doing that' is the most frequently offered explanation. The following table defines the specific responsibilities of each stakeholder in the performance management cycle, the accountability mechanisms that apply where responsibilities are not met, and the escalation path for resolving disputes about process compliance.

Stakeholder	Primary Responsibilities	Accountability Mechanism	Escalation Path
Employee	Complete accurate self-assessment by 28 [illegible]	[illegible]	[illegible]
Line Manager	Review and agree employee OKRs by 30 [illegible]	[illegible]	[illegible]
HR Business Partner	Facilitate calibration sessions for the business [illegible]	[illegible]	[illegible]
Business Unit Head / SVP	Chair or co-chair calibration sessions for their BU [illegible]	[illegible]	[illegible]
Finance	Issue approved merit budget to business units by 15 [illegible]	[illegible]	[illegible]
IT / HRMS Team	Maintain HRMS Performance module. Issue [illegible]	[illegible]	[illegible]
VP — Human Resources	Own the policy framework. Approve material changes to the [illegible]	[illegible]	[illegible]

1.5 Policy Compliance and Accountability

Compliance with the process requirements of this policy — the deadlines, the documentation standards, the calibration participation requirements, and the appraisal conversation obligations — is treated as a professional obligation for all people managers at {C['short']}, not as an optional practice whose timing and quality are at individual managerial discretion. The performance management process is the primary mechanism through which the company meets its obligations to its employees in terms of fair assessment, transparent feedback, and equitable access to career development and compensation outcomes. A manager who does not meet their process obligations is not merely being administratively non-compliant — they are failing their employees in a way that has real and lasting professional consequences.

The accountability mechanism for manager process compliance operates through the HRMS system, which tracks every required action — goal locking, mid-year review documentation, self-assessment processing, manager assessment completion, and appraisal conversation confirmation — against the policy deadlines and generates automated escalation notifications when deadlines are approaching or are missed. The escalation sequence is as follows: at five working days before a deadline, HRMS sends a reminder to the manager and their HRBP. At the deadline, if the action is incomplete, HRMS notifies the manager, the HRBP, and the manager's own manager simultaneously. At five working days past the deadline, HRMS notifies the BU Head and the relevant SVP. At ten working days past the deadline, HRMS notifies the VP-HR and this is reflected in the manager's process compliance record for their own

performance assessment.

Manager process compliance is formally assessed as part of each manager's own annual performance review. The People Leadership competency domain — one of three competency domains assessed for all people managers alongside Technical/Functional Expertise and Business Contribution — explicitly includes timely and thorough performance management process compliance as an assessed behaviour. A manager who consistently meets process deadlines, provides specific and evidence-based assessments, conducts genuine mid-year reviews, and models the framework's principles in their own management practice is demonstrating the People Leadership competency at a high level. A manager who repeatedly misses deadlines, provides generic and unsubstantiated assessments, and treats the process as a compliance formality is failing the People Leadership competency and this will be reflected in their own rating and compensation outcome.

1.6 Legal and Regulatory Framework

The performance management framework at Arjun Technologies is designed to operate within and in compliance with all applicable Indian employment law and regulatory requirements. The most directly relevant legal provisions are those governing the fairness of employment decisions and the prohibition of discrimination in the workplace. Under the Equal Remuneration Act 1976 (and its successors), performance-based compensation decisions must not result in differential pay for work of substantially equal nature on the basis of gender. The company's calibration process and merit matrix are designed to prevent this outcome by ensuring that merit increments are determined by the intersection of rating and band position rather than by individual manager discretion, and by requiring calibration review of all individual compensation decisions before they are communicated.

The DPDP Act 2023 is relevant to performance management in two specific ways. First, performance data — including individual ratings, self-assessments, manager assessments, and compensation outcomes — constitutes personal data under the Act in relation to the employee whose performance is being assessed. The company processes this data for the legitimate purpose of employment management and retains it for the period specified in the Data Retention Schedule (currently seven years post-separation for performance records). Access to performance data is restricted to the employee themselves, their line manager, the relevant HRBP, the BU Head, and Finance, plus any senior management who review it in an anonymised or aggregated form. Second, for employees in roles involving the processing of personal data — data engineers, data scientists, and engineers working on client data platforms — compliance with data privacy obligations is a component of the Technical/Functional Expertise competency assessment.

The performance management framework is also subject to the requirements of the Shops and Establishments Act applicable in each state where the company operates, which governs working hours, leave, and certain employment condition standards that may be relevant to the performance expectations set and assessed under the framework. The company's performance standards are set at levels that are achievable within normal working hours and do not require employees to work hours that would violate applicable working hours legislation or the company's own policies on working hours and employee wellbeing. Where a manager sets goals that can only be achieved through sustained and excessive overtime, those goals are not compliant with this policy's standards for achievable OKRs, and the calibration process may flag them as non-compliant.

2. The OKR Goal-Setting Methodology

2.1 Why OKRs — The Rationale for the Framework

Arjun Technologies adopted the Objectives and Key Results (OKR) framework for individual performance goal-setting in April 2015, replacing the Key Responsibility Areas system that had been used since the company's founding. The transition to OKRs was driven by a clear diagnosis of what was wrong with the KRA approach and a considered assessment of why OKRs address those problems more effectively. The KRA system described what each employee's job was — the areas of activity for which they were responsible — rather than what they were trying to achieve in a specific year. A software engineer's KRAs included 'deliver quality software' and 'participate effectively in the team.' An account manager's KRAs included 'manage client relationships' and 'support business development.' These descriptions accurately captured the ongoing responsibilities of each role, but they provided no basis for assessing whether a specific year was better or worse than the previous one, or for distinguishing between an employee who was performing at the top of their role and one who was barely meeting its minimum requirements.

OKRs address this limitation by requiring a fundamental shift in the question being answered. The KRA question was: what is this person responsible for? The OKR question is: what is this person trying to achieve this year, and how will we know whether they achieved it? This shift from activity-based to outcome-based goal-setting has several important consequences for the quality of the performance management framework. It forces specificity: a good OKR cannot be satisfied by a generic description of ongoing activity. It requires measurement: a Key Result must specify a quantitative threshold that is either achieved or not, eliminating the ambiguity that made KRA assessments so frequently contested. It demands connection: a well-designed OKR is explicitly connected to a team or business unit objective, making visible the contribution of the individual to the collective. And it supports honest assessment: at year-end, the conversation about whether an OKR was achieved is grounded in evidence rather than in competing subjective impressions.

The OKR framework used at this company is adapted from the original formulation developed at Intel and popularised at Google, modified to reflect the specific operational context of a technology services company serving regulated sector clients in India. The most significant adaptation is the integration of competency and behavioural standards alongside the quantitative Key Results — recognising that how outcomes are achieved matters as much as whether they are achieved, and that an employee who meets their Key Results through conduct that violates the company's values or professional standards has not fully met their performance obligations. The competency framework is described in Section 2.8 and in the full Competency Framework document available in Appendix C of Segment 3.

A common misconception about the OKR framework is that it is primarily useful for engineering and product roles where work is highly measurable, and is awkward or impractical for roles in functions such as HR, Finance, or Legal where outcomes are less easily quantified. Experience at this company and in the broader industry has consistently shown that this concern, while understandable, is largely unfounded. Virtually all professional roles produce outcomes that can be measured — not necessarily through simple metrics, but through a combination of quantitative indicators, documented assessments of quality, and binary milestones. An HR Business Partner's outcomes can be measured through hiring time to fill, offer acceptance rates, employee satisfaction scores, and training completion metrics. A Legal team member's outcomes can be measured through contract turnaround times, the number of significant regulatory issues identified and remediated, and the quality ratings from internal stakeholder surveys. The discipline of designing measurable Key Results for any professional role is itself a valuable exercise in clarifying what the role is truly trying to accomplish.

2.2 Objectives — Definition, Standards, and Examples

An Objective, in the OKR framework, is a qualitative, directional, and inspirational statement of what the individual intends to achieve during the performance year. An Objective answers the question: what significant outcome will I deliver this year that creates real and lasting value for my team, my clients, or the business? A well-written Objective is ambitious — it represents a meaningful stretch from the previous year's baseline, not a comfortable continuation of current performance levels. It is meaningful — it describes an outcome that matters to the team or the business, not a process or activity that would occur regardless of the Objective's existence. It is expressible — it can be stated clearly in a single sentence without numbers, percentages, or specific technical jargon. And it is time-bounded — it describes what will be achieved this year, not what the individual does in general.

The most common error in Objective-writing is stating an activity rather than an outcome. 'Deliver all assigned projects on time and within budget' is an activity description — it describes the normal expectation of every employee rather than a specific achievement goal for the year. 'Make the payments platform the most reliable service in the product suite' is an Objective — it describes a specific, meaningful outcome that the employee is committing to achieve this year and that will be visibly true or not true at year-end. Similarly, 'Improve team performance' is too vague to be a useful Objective because it could describe almost any change from the status quo; 'Build a consistently high-performing backend team that graduates three senior engineers to the tech lead level this year' is specific, ambitious, and meaningful.

Each employee sets between three and five Objectives per performance year. Fewer than three Objectives typically indicates insufficient ambition in the goal-setting — there are very few professional roles in which only two or three meaningful outcomes can be identified for the entire year. More than five Objectives is typically a sign that the employee is listing responsibilities

rather than identifying the most important things to achieve — the annual exercise of identifying three to five truly important goals requires a prioritisation discipline that is itself valuable. Where a manager reviews an employee's draft Objectives and finds fewer than three or more than five, they should work with the employee to refine the number before the goals are locked.

Role	Poor Objective (Activity-Based)	Strong Objective (Outcome-Based)	Why the Strong Version Works Better
Senior Software Engineer	Deliver all sprint commitments with no carry-overs	Make the payments API the most reliable and performant service in the platform, as measured by uptime, latency, and error rate	Specifies the system, the dimensions of quality, and the measurement approach
HR Business Partner	Support managers in the performance management cycle	Build a talent pipeline for [redacted] roles by [redacted], with [redacted] qualified candidates identified and engaged	Quantifies the scope, defines the outcome, and sets a deadline
Product Manager	Manage the roadmap for the mobile application	Launch the mobile application with [redacted] active users and a [redacted] rating in the app store within [redacted]	Specifies the product, the outcome, and the success criteria
Finance Analyst	Prepare monthly management accounts	Implement automated variance analysis and narrative reporting for [redacted], reducing preparation time by [redacted]	Specifies the process, the outcome, and the measurable improvement
Account Manager	Manage the portfolio of Tier 2 accounts	Grow the Tier 2 portfolio by 22% while achieving a client satisfaction score above [redacted]	Specifies the scope, the outcome, and the quality threshold
DevOps Engineer	Maintain CI/CD pipelines, manage deployments, and support the engineering team	Achieve [redacted] deployment frequency with [redacted] change failure rate and [redacted] mean time to recovery	Specifies the system, the dimensions of quality, and the measurement approach

2.3 Key Results — Definition, Standards, and Examples

A Key Result is a specific, quantitative, and time-bound measure of success against an Objective — the evidence that will confirm, objectively and without ambiguity, that the Objective has been achieved. A Key Result answers the question: how will we know, at year-end, whether this Objective was accomplished? The defining characteristic of a good Key Result is that it is binary — at the year-end assessment, the Key Result is either achieved (the metric hit the threshold) or not achieved (the metric fell short of the threshold). There is no room for debate or for the softening of language that so often makes performance assessments contentious. Each Objective should have between two and four Key Results. Fewer than two Key Results per Objective suggests that the success criteria are not fully specified; more than four Key Results per Objective risks creating a mechanical scoring exercise that misses the spirit of what the Objective is trying to accomplish.

The most common errors in Key Result writing mirror those in Objective writing, but with additional technical dimensions. The first common error is stating activities rather than outcomes — 'conduct 10 client check-in calls per month' is an activity Key Result; 'achieve a client satisfaction NPS of 50 or above across all accounts in the portfolio' is an outcome Key Result. The second common error is writing unmeasurable Key Results — 'improve the quality of the codebase' has no defined measurement; 'reduce the number of critical defects reported by clients per quarter from 12 to below 3' is measurable. The third error is setting Key Results whose targets are so comfortable that a rating of 4 would require essentially no stretch — if the employee is certain they will achieve a Key Result at the time of writing it, the target is insufficiently ambitious. A useful rule of thumb is that a Key Result target that feels slightly uncomfortable when written, but achievable with sustained high performance, is appropriately calibrated.

Key Results should be designed to measure the outcome the employee actually controls or significantly influences, not outcomes that are primarily determined by external factors. A sales Key Result that specifies a revenue target without any adjustment for market conditions or the client base assigned is a less useful measure than one that targets revenue from named accounts the employee manages directly. An engineering Key Result that targets system uptime without distinguishing between outages caused by the engineer's service and those caused by dependent services is a less useful measure than one that targets the uptime of the specific services within the engineer's ownership. Where external factors materially affect the achievability of a Key Result during the year, the OKR revision process described in Section 2.7 provides the mechanism for adjusting targets in a documented and transparent way.

Key Result	Type	Issue	Improved Version
Conduct at least two one-on-one meetings with each direct report per month.	Activity	Measures whether the meetings occurred, not whether they were effective.	Achieve an employee engagement score of 4.2 or above in th
Improve the performance of the data pipeline.	Vague	No measurement, no threshold, no definition of improved.	Reduce average data processing time from 4.2
Complete the ISO 27001 recertification audit successfully.	Binary	This is acceptable where the milestone is genuinely one-time, but many meaningful	No major nonconformities identified in the annual surveillance audit by [date].
Increase sales revenue.	Unmeasured	No target, no baseline, no timeframe specified.	Grow ARR from the assigned Tier 1 account portfolio by
Ensure all team members complete their mandatory training.	Output	Measures compliance activity, not whether anyone learned anything.	Achieve 100% mandatory training completion in the tea
Deliver the new client onboarding module.	Output	Delivery alone is not a performance outcome.	Deliver the new onboarding module with the features and
Reduce bug rate.	Vague and unmeasured	Which bugs? In which service? Measured how? Against what baseline?	Reduce the number of [specific defect type] in the authen

2.4 OKR Hierarchy — Company, Division, Team, and Individual

The OKR framework is designed to operate as a connected hierarchy in which each level's objectives are logically derived from and explicitly connected to the level above. At {C['short']}, this hierarchy operates across four levels: company-level OKRs, set by the CEO and the Executive Leadership Team and communicated to all employees by 15 April each year; division-level OKRs, set by each SVP for their division in alignment with the company-level OKRs and communicated to all division employees by 20 April; team-level OKRs, set by each team lead or manager in alignment with division OKRs and communicated to team members by 25 April; and individual OKRs, drafted by each employee in alignment with team OKRs and agreed with their manager by 30 April.

The alignment principle means that when an employee reads their individual OKRs and the team OKRs alongside which they were designed, the connection between the two should be immediately visible. An employee's Objective of 'Make the payments service the most reliable in the platform' should connect visibly to a team OKR of 'Achieve market-leading reliability across all platform services.' A Finance analyst's Objective of 'Automate variance analysis to eliminate manual reconciliation' should connect to a team OKR of 'Reduce month-end close time by 30% through process automation.' This visible connection serves two important purposes. First, it ensures that individual effort is genuinely aligned to collective objectives rather than being individually optimised at the expense of team performance. Second, it gives employees a clear

sense of how their specific contribution connects to the larger organisational purpose.

The company-level OKRs are published on the HRMS portal in a dedicated 'Strategy and Goals' section that is accessible to all employees. Division-level and team-level OKRs are published in the same section and are accessible to all members of the relevant division or team. Individual OKRs are visible to the employee, their line manager, and their skip-level manager. They are also accessible to the HR Business Partner and to senior management in anonymised or aggregated form for calibration and talent review purposes. The transparency of the OKR hierarchy at the company, division, and team levels — while maintaining appropriate confidentiality for individual OKRs — creates a culture of strategic clarity and alignment that is itself a competitive advantage in talent development and retention.

2.5 OKR Quality Standards and Common Errors

The HR Business Partner team and senior managers review the quality of OKRs submitted across their business units as part of the April goal-setting process. OKRs that do not meet the quality standards defined in this policy are returned to the manager and employee with specific written feedback on what needs to change and why, with a revised deadline for resubmission. The most common quality issues identified in the annual HR audit of OKR quality are as follows, together with the guidance that the HRBP typically provides to address them.

The Activity Trap is the most prevalent quality issue. Approximately 35% of OKRs submitted in the first two years after the framework's introduction described activities rather than outcomes, and while this proportion has reduced significantly through training and manager coaching, it remains the most common error identified in the annual quality audit. Managers should specifically check each Objective and Key Result they approve against the question: 'If the employee does exactly what this describes and nothing more, do we get the outcome that matters?' An Objective to 'improve client communication' where the Key Results measure the number of client meetings held and the number of status reports produced will be met by an employee who holds many meetings and produces many reports without improving the client's experience or the effectiveness of the communication. The correct design measures the outcome — client satisfaction scores, issues escalated, client retention — not the activity.

The Comfort Zone error is the second most common quality issue. An OKR that is designed to be comfortably achievable by an employee who simply continues doing what they have been doing is not a useful goal-setting tool — it is a description of the status quo. The framework requires that OKRs represent a genuine stretch: goals that require the employee to develop new capabilities, improve their performance, solve problems they have not solved before, or take the team's work to a meaningfully higher level than the previous year. The calibration guidance in Section 4.2 provides the context for understanding what stretch means in practice: if 100% of an employee's Key Results are achieved with a high confidence level at the time the goals are set,

the targets are not ambitious enough for a Rating 4 or 5 outcome.

The Metric Without Baseline error occurs when a Key Result specifies a target value without specifying the starting point from which improvement is being measured. 'Achieve a client satisfaction NPS of 50' is a useful Key Result if the current NPS is 32 — it represents a significant stretch. It is far less ambitious if the current NPS is 47. Every Key Result that specifies an improvement target should include the current baseline value in parentheses, so that the magnitude of the required improvement is visible to anyone reviewing the goal. The HRMS performance module includes a baseline field for each Key Result specifically to support this requirement.

OKR Quality Issue	Frequency in Annual Audit	Example	Correct Approach
Activity rather than outcome	Most common (~38% of submissions)	KR: Conduct monthly one-on-ones with all clients	KR: Achieve client retention rate of 95% across the managed p
Comfort zone targets	Common (~20%)	KR: Deliver all projects on time	KR: Achieve 94% on-time project delivery with zero last-minut
No baseline specified	Common (~25%)	KR: Improve team velocity by 20%	KR: Improve team velocity by 20% (current: 42 story points/spri
Too many Key Results per Objective	Moderate (~15%)	Objective with 7 Key Results, creating a tracking burden	Reduce to 3–4 Key Results measuring the most important outc
Too few Objectives	Moderate (~10%)	2 Objectives total, both describing routine functions	Identify 3–5 meaningful stretch goals; if only 2 can be identified
Key Results that measure inputs not outputs	Less common (~10%)	KR: Complete advanced AWS certification	KR: Design and deploy a self-service infrastructure provisioning
Objectives that are identical year-on-year	Less common (~8%)	Same objective wording as prior year, with slightly modified Key Result targets	The Objective should reflect the current strategic priority for thi

2.6 OKR Setting Process and Timeline

The goal-setting process begins in the final two weeks of March, before the new performance year officially starts on 01 April, with the publication of company-level OKRs for the coming year. This sequencing is deliberate: individual goals cannot be meaningfully aligned to company strategy if the company strategy has not yet been communicated when individual goal-setting begins. The CEO presents the company-level OKRs in the annual all-hands meeting held in the last week of March, which is also published on the HRMS portal for employees who cannot attend in person. Division and team OKRs are then cascaded over the first three weeks of April, with individual goal-drafting happening in the third and fourth weeks of April for lock-in by the 30 April deadline.

The recommended process for individual OKR setting has three stages. In stage one, the manager communicates the team OKRs to the employee and explains how they connect to the division and company OKRs, providing the strategic context within which the employee should design their individual contribution. This conversation should happen in the first or second week of April, before the employee begins drafting their OKRs. In stage two, the employee drafts their individual OKRs based on their understanding of the team OKRs and their own professional development priorities, and submits the draft to their manager for review through the HRMS Performance module. This draft submission should happen by the third week of April. In stage three, the manager reviews the draft, provides written feedback through HRMS, and meets with

the employee for a 30–45 minute goal discussion to finalise the OKRs before locking them in HRMS by the 30 April deadline.

The goal discussion in stage three is a substantive professional conversation, not an administrative sign-off. The manager should challenge Key Results that appear too comfortable, question Objectives that seem disconnected from the team's priorities, suggest connections to the company's strategic objectives that the employee may not have been aware of, and provide context about what the business will most need from the employee's role in the coming year. The employee should come prepared with the rationale for their proposed Objectives and Key Results, with any baseline data that informs their target-setting, and with questions about strategic priorities that will help them design more aligned goals. A goal-setting conversation that lasts less than 20 minutes for a confirmed employee is almost certainly not substantive enough to produce high-quality aligned OKRs.

2.7 OKR Revision During the Year

OKRs are not immutable once locked. Professional life involves genuine changes in circumstances — strategic pivots, restructurings, client losses, new market opportunities, technology changes — that can make a goal that was well-designed in April irrelevant, impossible, or significantly misaligned with current priorities by October. The OKR revision process provides a controlled mechanism for updating goals when genuine material changes in circumstances warrant it, while preventing the abuse of revision as a mechanism for lowering targets that simply proved harder to achieve than expected.

The revision process distinguishes between two types of goal change. A material business change revision applies when an externally driven change — a client is lost and the work disappears, the company acquires a new client that requires the employee to shift focus significantly, or a strategic decision restructures the team's purpose — makes a current Objective irrelevant or unachievable through no failure of the employee. In this case, the Objective may be replaced with a new one that reflects the changed circumstances, with the approval of the manager and HRBP. The revised OKR is locked in HRMS with a notation explaining the reason for the change. A performance-related adjustment revision, in contrast, applies when a target proves harder to achieve than anticipated but the underlying work is continuing as planned. This type of revision — essentially lowering a target because it has become difficult — is not permitted. The difficulty of achieving an ambitious target is the point: a Key Result target should be uncomfortable to set because it represents a genuine stretch, and the fact that it remains uncomfortable to achieve through the year is not grounds for revision.

Revisions may be proposed by the employee or the manager and must be submitted through the HRMS Performance module with a written explanation of the business reason for the change. All revisions require both manager and HRBP approval. Revisions requested after 15

December — within the final quarter of the performance year — require additional BU Head approval and are reviewed with particular scrutiny to ensure they are genuinely driven by material business changes rather than by an attempt to set more achievable targets ahead of the year-end assessment. The number and nature of revisions requested across the business unit are reviewed by the HRBP as an indicator of the quality of the original goal-setting: a high frequency of material business change revisions may indicate that the April goal-setting process is not adequately anticipating likely business changes.

2.8 Competency and Behavioural Standards Alongside OKRs

The OKR framework measures what an employee achieves. The competency framework measures how they achieve it — the professional behaviours, interpersonal skills, and organisational values they demonstrate in the course of their work. Both dimensions are assessed in the annual performance review and both contribute to the final rating, because an employee who achieves their Key Results through conduct that violates the company's Code of Conduct, that damages team relationships, that undermines the trust of clients, or that reflects poorly on the company's values has not met the full performance standard that this company requires.

The competency framework at {C['short']} organises professional behaviours into three competency domains, each of which is assessed for every employee in the annual cycle. The Technical and Functional Expertise domain covers the specific professional skills and knowledge required for the employee's role — software engineering quality for engineers; financial analysis skills for finance professionals; sales methodology and client management skills for account managers; and so on. The Business Contribution and Impact domain covers behaviours that drive the company's commercial and operational effectiveness — commercial awareness, solution orientation, client focus, and the ability to deliver work that creates genuine value for clients and the business. The Leadership and Values domain covers behaviours that reflect the company's six Core Values and, for people managers, the specific leadership behaviours required for effective team management.

Competency Domain	Individual Contributor Focus	People Manager Focus	Assessment Weight in Rat
Technical and Functional Expertise	Depth and currency of technical skills; quality of professional output	Technical quality of team's work; ability to coach and develop technical capability in direct reports	40% for Band 1–2; 30% for Band 3; 20% for Band 4 and above
Business Contribution and Impact	Commercial awareness; client focus; solution orientation; delivery of business results	Business results achieved through the team; ability to align team priorities with business strategy	40% for Band 1–2; 50% for Band 3; 60% for Band 4 and above
Leadership and Values	Collaboration and knowledge sharing; demonstration of Core Values in daily conduct	Quality of people management; building and sustaining a high-performing team; role modelling Core Values	20% for Band 1–2; 20% for Band 3; 20% for Band 4 and above

The weighting of competency domains in the overall assessment shifts significantly with seniority, reflecting the different nature of the value that professionals at different levels are expected to create. For junior professionals at Band 1–2, technical excellence is the dominant performance dimension — their primary obligation is to develop and apply the technical skills their role requires to a consistently high standard. As seniority increases, the relative weight of

business contribution and leadership grows, reflecting the expectation that senior professionals at Band 5 and above create value primarily through their leadership of others, their commercial judgement, and their ability to shape and execute strategy — not through individual technical execution, which is necessarily less central to roles at that level.

3. The Annual Performance Cycle

3.1 Overview of the Seven-Phase Cycle

The annual performance management cycle at Arjun Technologies is structured around seven defined phases, each with specific activities, accountabilities, HRMS requirements, and deadlines. The seven-phase structure reflects a deliberate investment in performance continuity — the conviction that performance assessment and development is most effective when it is distributed throughout the year as an ongoing process rather than concentrated in a single annual event. The structure also ensures that every required activity has a clear owner, a clear deadline, and a clear consequence for non-completion, creating the accountability framework described in Section 1.5.

The seven phases are: Phase 1 — Goal Setting in April; Phase 2 — Quarterly Pulse Checks in July, October, and January; Phase 3 — Mid-Year Review in October; Phase 4 — Self-Assessment in February; Phase 5 — Manager Assessment in the first two weeks of March; Phase 6 — Calibration in the third week of March; and Phase 7 — Appraisal Conversation and Communication in the final week of March and first week of April. These seven phases are not independent activities — each phase builds on the preceding ones, and the quality of the final appraisal conversation is directly dependent on the quality of the earlier phases. An appraisal conversation that covers new ground — that introduces observations or concerns that were not discussed in the mid-year review, the quarterly pulse checks, or the manager assessment — has failed to use the earlier phases as they were intended.

Phase	Timing	Key Activities	HRMS Deadline	Primary Accountable Party	Quality Indicator
Phase 1 Goal Setting	April (Weeks 1–4)	Company OKRs published. Division and team OKRs cascaded. Employee OKRs drafted, reviewed with manager, and finalised.	30 April	Employee (draft) + Manager (review)	All employee OKRs aligned to at least one division or company OKR
Phase 2 Quarterly Pulse Checks	July, October, January	15–20 minute structured check-in between employee and manager. Progress against OKRs reviewed. Blockers identified.	None (informal)	Manager	Pulse check notes recorded in HRMS
Phase 3 Mid-Year Review	October (by 31 October)	Structured 60-minute conversation. Progress against each OKR reviewed. Mid-year rating recorded. Shortfalls and corrective actions agreed.	31 October	Manager (delivers) + HRBP (reviews)	Mid-year rating recorded in HRMS before conversation
Phase 4 Self-Assessment	February (by 28 February)	Employee completes structured self-assessment in HRMS against each OKR. Specific achievements, evidence, and challenges recorded.	28 February	Employee	Self-assessment submitted before manager assessment opens
Phase 5 Manager Assessment	March (Weeks 1–2)	Manager completes independent assessment in HRMS. Specific evidence cited for each OKR outcome and competency rating.	14 March	Manager	Assessment cites specific evidence for each rating
Phase 6 Calibration	March (Week 3)	HRBP-facilitated cross-manager calibration session for the business unit. Ratings reviewed for consistency. Adjustments documented.	21 March	HRBP (facilitator) + All Reporting Managers (participants)	All direct reports of participating managers reviewed
Phase 7 Appraisal Conversation	March (Week 4) – April (Week 1)	Manager communicates final rating with written appraisal letter. Employee acknowledges receipt. Development plan for next cycle discussed.	31 March (conversation); 15 April (letters)	Manager (conversation); HR Business Partner (letters)	Employee acknowledgement recorded in HRMS

3.2 Phase 1 — Goal Setting (April)

Goal setting in April is the most important phase of the entire annual cycle, because the quality of every subsequent phase — the mid-year review, the self-assessment, the manager

assessment, the calibration, and the appraisal conversation — depends entirely on whether the goals set in April are clear, specific, measurable, and genuinely challenging. A year that begins with well-designed OKRs can be assessed honestly and objectively at year-end, regardless of whether the outcomes were achieved. A year that begins with poorly designed OKRs — vague, activity-based, or comfort-zone targets — cannot produce a defensible or fair assessment at year-end, because there is no clear standard against which to evaluate performance.

The manager's role in the goal-setting phase is active and challenging, not passive and approving. Accepting without challenge a draft set of OKRs that includes activity-based Key Results, comfort-zone targets, or Objectives that are disconnected from team priorities is a failure of the manager's goal-setting obligation. The manager's review of employee draft OKRs should specifically assess: whether each Objective is genuinely outcome-oriented and meaningfully connected to team OKRs; whether each Key Result is measurable with a specific threshold, includes a baseline value, and represents a genuine stretch; whether the total set of OKRs covers the most important dimensions of the employee's contribution for this year; and whether the overall ambition level is appropriate for the employee's experience, current performance level, and the specific challenges of the coming year.

The HRMS Performance module provides structured fields for each element of the OKR — Objective text, Key Result text, Key Result baseline value, Key Result target value, Key Result unit of measurement, and the team OKR to which the Objective connects. All fields must be completed before the OKRs can be locked. The system automatically flags Key Results with no baseline value for manager attention before locking. Once locked, OKRs can only be revised through the formal revision process described in Section 2.7 — they cannot be edited directly by the manager or employee in the HRMS system after the 30 April lock deadline. This technical control prevents the retrospective adjustment of targets that would undermine the integrity of the year-end assessment.

3.3 Phase 2 — Quarterly Pulse Checks

Quarterly pulse checks are brief, structured, and informal check-in conversations between the manager and employee that occur approximately every three months throughout the performance year — typically in July, October, and January, with the October check-in coinciding with and forming the foundation of the formal mid-year review. The purpose of the quarterly pulse check is not to conduct a mini-appraisal — it is to maintain a continuous, informed, and honest dialogue about progress, challenges, and support needs that prevents the annual appraisal conversation from covering ground that should have been addressed months earlier.

A well-conducted quarterly pulse check has four elements: a brief progress review covering each major OKR at a high level — not a deep dive, but enough to know whether the employee is

on track, ahead, or behind on each; an acknowledgement of specific positive contributions observed since the last check-in; an honest and specific discussion of any challenge or concern the manager has observed that needs to be addressed in the next quarter; and a brief check on how the employee is experiencing their work — whether they are appropriately supported, whether the workload is sustainable, and whether there are any obstacles the manager can help remove. The total duration of a pulse check is 15–20 minutes for most employees, though it may be longer where specific concerns have emerged.

No formal HRMS documentation is required for the July and January pulse checks in normal circumstances. Where a pulse check identifies a performance concern — a Key Result that is significantly off track, a competency behaviour that has been observed repeatedly and needs to be addressed — the manager should document the specific concern and the agreed action in HRMS within two working days of the conversation, and should notify the HRBP. This documentation creates the contemporaneous record that will be important if the concern persists and the HRBP needs to be involved in a more formal way later in the year. A performance concern that is discussed verbally but never documented creates no audit trail and provides no support for a formal process if it is needed.

3.4 Phase 3 — Mid-Year Review (October)

The mid-year review in October is the most important structured performance conversation of the year outside the annual appraisal. It occurs at the exact midpoint of the performance year, when there is equal time remaining to act on the insights it generates as has already elapsed in which the insights are grounded. Research on performance management effectiveness consistently shows that the mid-year review, when conducted with genuine care and specificity, is a stronger driver of year-end performance outcomes than the annual appraisal itself — because feedback given in October is actionable in the second half of the year, while feedback given in March describes a year that cannot be changed. This makes the mid-year review's quality and substantiveness one of the most important determinants of the framework's overall effectiveness.

The recommended structure for the mid-year review conversation is a 60-minute session organised in four segments. The first 20 minutes reviews progress against each of the employee's Objectives and Key Results in turn, with specific evidence cited by both the employee and the manager — not general impressions, but specific examples, data points, or observable outcomes that allow both parties to make an informed assessment of where performance stands at the midpoint. The second 15 minutes focuses on specific strengths and contributions observed in the first half of the year that the manager wants to acknowledge explicitly and that the employee should understand as aspects of their performance to sustain and develop further. The third 15 minutes focuses on one or two specific development priorities for the second half of the year — areas where the manager has observed that the employee

could materially improve their performance or where the employee has identified a development gap they want to address.

The fourth 10 minutes of the mid-year conversation addresses whether any of the employee's current OKRs need to be revised in light of genuine material business changes (following the revision process in Section 2.7), and what the employee needs from the manager or the organisation in the second half of the year to succeed against their goals — whether that is additional resources, access to senior stakeholders, training, a change in the scope of their responsibilities, or simply clearer direction on a priority that has been ambiguous. The manager's responsibility to respond to these needs substantively — not just to note them — is an important element of the mid-year review. A manager who consistently fails to follow through on support commitments made in the mid-year conversation is not conducting an effective review.

3.5 Phase 4 — Self-Assessment (February)

The self-assessment, submitted by the employee through the HRMS Performance module by 28 February, is the employee's own structured account of their performance against each OKR and each competency domain during the year. It is not a summary of what the employee did throughout the year — it is a structured assessment of the outcomes achieved against the specific standards agreed at the beginning of the year, supported by specific evidence of the most significant contributions and, where relevant, an honest acknowledgement of where performance fell short of the goal and what was learned from that experience.

The self-assessment serves three specific functions in the annual cycle. First, it gives the employee a formal, documented voice in the assessment process — a record of their own perspective on their performance that the manager must read before completing their own assessment, and that becomes part of the permanent record of the assessment cycle even where it differs significantly from the manager's view. Second, it creates an evidence-based foundation for the appraisal conversation — rather than the conversation being a discovery exercise in which the manager shares their assessment and the employee hears it for the first time, the self-assessment allows both parties to arrive at the conversation with a documented and considered view, making the conversation substantive and focused on areas of genuine difference rather than on establishing the basic facts of the year.

Third, the quality of the self-assessment is itself informative about the employee's professional self-awareness and their understanding of what good performance looks like. An employee who consistently overestimates their performance in self-assessments — claiming Rating 4 outcomes for work that the evidence supports at Rating 3 — may be demonstrating a lack of self-critical awareness that is itself a development need. An employee who consistently underestimates their performance may be demonstrating excessive self-doubt or an imposter

syndrome pattern that is worth exploring with the manager and, where appropriate, through the EAP. The HRBP reviews patterns in the relationship between self-assessment and manager assessment across the business unit as part of the calibration preparation.

3.6 Phase 5 — Manager Assessment (March Weeks 1–2)

The manager assessment, completed in HRMS by 14 March, is the manager's independent, evidence-based evaluation of the employee's performance against each OKR and each competency domain during the year. It must be completed independently of the employee's self-assessment — the manager reads the self-assessment, considers it, and then forms their own independent judgement rather than simply adapting the employee's self-assessment upward or downward. The manager assessment is completed before the calibration session so that the manager enters calibration with a firm and considered view that they are prepared to defend with specific evidence.

The quality standard for the written narrative in the manager assessment is specific and is enforced by the HRBP review prior to calibration. A manager assessment narrative must: cite specific examples, data points, or observable outcomes for each significant assessment, not generic statements; address each of the employee's OKRs and the relevant competency domains, not just the overall impression; be written in a tone that is honest, professional, and constructive — written as if the employee will read it, because they will; not introduce new performance concerns that were never raised with the employee during the year, because the assessment is not the first opportunity to raise a concern — it is the formal documentation of a concern that was already communicated; and distinguish clearly between areas of strong performance that should be acknowledged and areas for development that should inform the forward-looking development plan.

Manager assessments that do not meet the quality standard are returned to the manager by the HRBP with specific written feedback on what needs to be added or changed, with a revised deadline of 21 March — the day of the calibration session. Assessments that are still generic or unsubstantiated after revision are flagged in the manager's own performance record as an instance of inadequate management process compliance. The HRBP maintains a record of assessment quality issues across the business unit and uses this data to inform targeted manager development and the manager ethics audit.

3.7 Phase 6 — Calibration (March Week 3)

The calibration session is a cross-manager quality assurance process that ensures performance ratings across different teams within a business unit reflect consistent standards — that a Rating 3 in one team means the same thing as a Rating 3 in another team, that the evidence standards applied are consistent, and that the proposed distribution of ratings is consistent with the

guidance in Section 4.2. Calibration is the mechanism through which individual manager generosity or stringency is identified and adjusted, and through which the company's commitment to the Fairness principle in Section 1.3 is operationalised.

The calibration session for each business unit is facilitated by the HRBP and typically lasts two to three hours. All people managers in the business unit must attend — calibration is not optional and cannot be delegated to a deputy. Before the session, the HRBP distributes a calibration pack to all attending managers showing the proposed rating distribution for the business unit, the proposed ratings for all employees in the unit (identified by name, role, and band), the key evidence summary from each manager assessment, and any patterns or outliers that warrant discussion. Managers are expected to review the calibration pack before the session and to come prepared to discuss their proposed ratings with specific evidence.

The calibration session proceeds through the proposed ratings by band and by rating level — typically reviewing all proposed Rating 5 and Rating 1 outcomes first, then Rating 4 and Rating 2, then Rating 3. For each proposed Rating 5 or Rating 4, the manager presents the key evidence and the group assesses whether the evidence is consistent with that rating by the standards applied across the unit. For each proposed Rating 1 or Rating 2, the evidence is reviewed with particular care to confirm that the concerns were raised with the employee during the year and that the evidence supports the proposed rating. The group does not need to discuss every Rating 3 — these are reviewed at a high level through the distribution data unless a specific manager raises a concern about a particular case. The HRBP has the authority to require a manager to reconsider a proposed rating where the evidence presented is insufficient to support it or is inconsistent with the standards applied elsewhere in the unit.

3.8 Phase 7 — Appraisal Conversation and Communication

The appraisal conversation is the culmination of the annual cycle — the point at which the final, calibrated rating is communicated to the employee, the year's performance is reviewed together in a structured conversation, and the forward-looking development plan is updated to reflect the priorities of the coming year. The quality of this conversation is one of the most consequential professional interactions that a manager has each year: done well, it leaves the employee feeling accurately assessed, genuinely heard, clear about their path forward, and motivated for the year ahead; done poorly, it erodes trust, creates resentment, and in some cases prompts an employee to begin looking for another role.

The most effective sequence for the appraisal conversation is: begin with a retrospective review of the year — OKR by OKR, with specific acknowledgement of what went well and honest discussion of what fell short — before communicating the rating. When an employee hears their rating before the substantive review, a significant portion of their cognitive and emotional attention in the subsequent discussion is consumed by processing the rating. Leading with the

evidence and the review creates a shared understanding of the basis for the assessment before the rating is communicated, making the rating feel like the natural conclusion of a shared analysis rather than a judgment handed down from above.

After communicating the rating with the written narrative, the manager must give the employee genuine space to respond — to agree, to add context, to disagree, or to ask questions. The response must be received with genuine openness, not defensively. Where the employee disagrees with the rating, the manager's role is to listen carefully to the disagreement and to respond with the specific evidence that supports the assessment, not to dismiss or over-ride the employee's perspective. Where the disagreement cannot be resolved in the conversation, the employee has the right to submit a formal rating appeal through the HRBP within ten working days of the appraisal conversation, following the process in Section 4.4. The final element of the appraisal conversation is the forward-looking development discussion: what are the employee's career aspirations, what development priorities does the year's evidence suggest, and what specific support — training, mentoring, stretch assignments, or other — will the manager commit to providing in the coming year.

4. The Rating Framework

4.1 The Five-Point Rating Scale — Definitions and Expectations

The performance rating assigned at the end of each annual cycle is the organisation's formal assessment of the quality and impact of an individual's contribution during the year. It reflects performance against both the specific OKR outcomes achieved and the competency behaviours demonstrated, weighted according to the framework in Section 2.8. The rating is the basis for merit increment decisions, variable pay calculations, promotion eligibility assessments, ESOP grant considerations, and the prioritisation of development and retention investment. It is therefore one of the most consequential data points in each employee's professional record at Arjun Technologies, and it must be assigned with the care, evidence, and calibration consistency that its consequences deserve.

The five-point rating scale is designed around a specific and deliberate philosophy about what each rating label means. Rating 3 — Meets Expectations — is the expected outcome for a solid, fully contributing, reliable professional who has met the goals set for the year, demonstrated the competencies required for their role and band, and contributed positively to their team and the company. It is not a negative result, and it must not be communicated or experienced as one. An employee who consistently receives Rating 3 over multiple years is performing at the level the company needs and expects from a professional at their band, and should understand that their manager values and relies on their contribution. The label 'Meets Expectations' is precise in its meaning: the expectations are high, and meeting them consistently is a meaningful professional achievement.

Rating	Label	Performance Profile	Expected Frequency	Manager's Obligation
5	Exceptional	Performance has been at a level that is ex	5–10% of as	and
4	Exceeds Expectations	Performance has been consistently and m	15–25% of	
3	Meets Expectations	Performance has met the standard expecte	55–70% of	
2	Needs Improvement	Performance has not consistently met the s	8–15% of	
1	Unsatisfactory	Performance has been significantly below	1–5% of as	

4.2 Rating Distribution — Guidance and Principles

The distribution percentages in the rating scale table above are calibration guidance, not mandatory quotas. The company does not operate a forced distribution system that requires a fixed percentage of employees to receive each rating regardless of actual performance. Such systems are widely recognised as having serious negative consequences: they create perverse incentives for gaming the assessment process, they undermine team collaboration (since one person's Rating 4 may require another's Rating 3 even where both performed equivalently), and they produce ratings that tell employees more about their position in the distribution than about the actual quality of their performance. The company's approach is to use distribution data as a

calibration indicator — a signal that prompts scrutiny of individual assessments — not as a hard constraint on outcomes.

Where the proposed distribution for a business unit deviates significantly from the guidance, the calibration session must investigate the reasons. A business unit where 40% of employees are proposed for Rating 4 or Rating 5 should examine whether: the evidence submitted genuinely supports that level of performance; the Objectives set for the year were sufficiently ambitious; managers are rating generously to avoid difficult conversations; or whether the business unit genuinely had an exceptional year that warrants a higher-than-typical proportion of above-expectation ratings. Any of these explanations may be correct, but they must be examined and the answer must be grounded in specific evidence rather than assertion. The HRBP's role in calibration is to ask these questions and to require specific answers.

The guidance to maintain Rating 3 as the most common outcome — representing 55–70% of assessed employees — reflects the statistical reality that, in a reasonably well-managed workforce with appropriately set goals, the majority of employees will perform at the level the goals require. The rating scale is designed so that Rating 3 describes this 'competent, reliable, meets-the-standard' performance, not a merely-adequate-but-disappointing performance. The communication challenge this creates — helping employees understand that Rating 3 is a genuinely positive assessment and not a polite way of saying they are unremarkable — is real and important. Managers who communicate Rating 3 apologetically, or who use language that implies the rating is something the employee should feel disappointed by, are misrepresenting the rating scale and undermining the framework's credibility.

4.3 The Calibration Process — Purpose, Structure, and Standards

The purpose of calibration is to ensure that the performance rating a given employee receives reflects a consistent standard of assessment that is applied across all teams in the business unit, not a reflection of individual manager generosity, stringency, or bias. Without calibration, the same level of actual performance can produce materially different ratings depending solely on which manager the employee reports to — which is both unfair and corrosive to the credibility of the entire performance management system. Calibration does not eliminate manager judgement — it subjects that judgement to a quality assurance review that checks for consistency, evidentiary rigour, and alignment with the standards the framework requires.

The calibration session operates according to five principles that the HRBP communicates to all attending managers in the pre-session briefing and enforces during the session itself. The first principle is evidence requirement: every proposed rating must be supported by specific, observable evidence that can be articulated in the calibration session. 'I know her work well and she is clearly a strong performer' is not evidence — it is an assertion. 'The payments platform's P1 incident rate dropped from 18 per quarter to 3 per quarter, and the root cause analysis she

introduced has been adopted by two other teams' is evidence. The second principle is objectivity: the questions asked in calibration are not 'is this a good person?' or 'do I enjoy working with this person?' but 'does the evidence presented support the proposed rating by the standards we are applying across this unit?'

The third principle is consistency: where two employees have produced outcomes that appear materially similar in the calibration discussion, their ratings should be materially consistent. Where a manager proposes different ratings for apparently similar performances, they must be able to articulate the specific evidence basis for the difference. The fourth principle is confidentiality: all discussions in the calibration session are strictly confidential to the managers present. The content of calibration discussions — including the proposed ratings for other employees, the concerns raised about specific individuals, and the deliberations about borderline cases — must not be shared with employees, with other colleagues outside the calibration group, or in any other setting. Breach of calibration confidentiality is a conduct matter. The fifth principle is authority: the HRBP has the right and obligation to require a manager to revise a proposed rating where the evidence presented is insufficient or inconsistent, and the manager must engage genuinely with this challenge rather than simply restating their original position.

4.4 Rating Appeals Process

Every employee who believes that their final performance rating has been incorrectly determined — either because the evidence does not support the rating, because the process was not followed correctly, or because they believe the assessment has been affected by bias or an impermissible factor — has the right to submit a formal rating appeal through the HR Business Partner within ten working days of the appraisal conversation. The appeal is a formal process that is separate from and independent of the appraisal conversation itself, and submitting an appeal does not delay the processing of the employee's merit increment or variable pay unless the outcome of the appeal would directly affect those calculations.

The appeal process is conducted by a designated appeal reviewer who is different from the original assessing manager and who has no conflict of interest with respect to the employee, the manager, or the business outcome of the appeal. For appeals by employees at Band 1–4, the appeal reviewer is a senior HRBP who was not involved in the original calibration session for the business unit. For appeals by employees at Band 5 and above, the appeal reviewer is the VP-HR or a designated independent reviewer. The appeal reviewer reviews the original manager assessment, the employee's self-assessment, the calibration record, the employee's written grounds for appeal, and any additional evidence the employee or manager submits. The reviewer may interview the employee and manager separately before reaching a decision.

The appeal reviewer may uphold the original rating, modify the rating upward, or in rare circumstances modify the rating downward where the review reveals that the rating was set too high. The reviewer may also order a re-assessment with a different manager where they determine that the original assessment process was materially flawed. The appeal decision is issued in writing within fifteen working days of the appeal submission and is final — there is no further internal appeal. Where the employee believes the appeal process itself was conducted unfairly, they may raise this concern through the formal Tier 2 grievance process described in the Employee Handbook.

4.5 Special Rating Situations — Joiners, Leavers, and Leave Periods

Employees who join the company after the start of the performance year are assessed on a pro-rata basis for the portion of the year during which they were in their confirmed role. An employee who joins and is confirmed before 30 June — that is, who has more than nine months of the performance year remaining at the time of confirmation — is assessed under the full annual cycle for that year, with their goals set and locked as soon as practicable after confirmation. An employee who is confirmed between 01 July and 30 September has a partial year assessment that covers the period from confirmation to 31 March, with goals set for that partial period. An employee who is confirmed after 01 October is assessed under a full probation assessment for the first six months and enters the standard annual cycle as a new participant from the following 01 April.

Employees who separate from the company before the end of the performance year are assessed as at their last working date if they have been in the confirmed role for at least three months of the current performance year. The partial year assessment determines eligibility for a pro-rated variable pay amount, provided the company has achieved its minimum financial performance threshold for the year and the employee's rating is 3 or above. Employees who resign during the final quarter of the performance year — between 01 January and 31 March — receive an assessment as at their last working date, and variable pay, where earned, is included in the Full and Final Settlement rather than in the April payroll.

Employees who were on approved paid leave for a significant portion of the performance year — including maternity leave, paternity leave, or extended sick leave — are assessed for the period during which they were working. The assessment covers only the objectives and competencies that were actively being pursued during the working period, and the OKR targets are reviewed for reasonableness in light of the reduced working period. The leave period itself neither positively nor negatively affects the performance rating — an employee who was on maternity leave for six months and performed excellently in the six months they worked should receive a rating that reflects their performance during the working period, not a discounted rating because of the leave. The HRBP advises on the specific approach for each situation involving a significant leave period.

Segment 1 Summary and Continuation

This completes Segment 1 of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework. Segment 1 has established the complete governance foundation of the performance management programme — the purpose, objectives, governing principles, roles and responsibilities, legal framework, and policy compliance obligations that define how the framework must operate — and has described in full detail the two primary substantive components of the framework's first half: the OKR goal-setting methodology, including the definitions, quality standards, worked examples, hierarchy, revision process, and competency integration; and the annual performance cycle, covering each of the seven phases from goal setting in April through the appraisal conversation and compensation communication in late March and April. It has also established the complete rating framework, including the five-point scale definitions, distribution guidance, calibration standards, appeals process, and special situation handling.

Segment 2 continues the framework with Section 5 (Merit Increments and the Compensation Matrix — the complete merit matrix by band and rating, the increment calculation methodology, and the timing and communication of increment decisions), Section 6 (Variable Pay — the target variable pay by band, the individual performance multiplier by rating, the company performance factor, and the full calculation methodology with worked examples), Section 7 (Promotions — the specific eligibility criteria, the evidence standard, the approval process, the compensation treatment on promotion, and the off-cycle promotion procedure), Section 8 (Performance Improvement Plans — the full six-component PIP structure, the manager's obligations, the employee's rights, the timeline and outcome options), and Section 9 (360-Degree Feedback — the pilot programme for Band 5 and above, the provider, the methodology, and how 360 data integrates with the annual cycle).

Segment	Content	Pages	Status
Segment 1 — This Document	Governance · OKR Goal Setting · Annual Performance Cycle · Rating Framework	1–50	Published April 2024
Segment 2	Merit Increments · Variable Pay · Promotions · PIPs · 360-Degree Feedback	51–100	Published April 2024
Segment 3	Learning and Development · Internal Mobility · Manager Conversation Guide · Appendices · Annexures	101–150	Published April 2024

All three segments are available on the HRMS portal under Policies and Documents. For queries about any provision, contact the HR Business Partner team at hr@arjuntech.in. Document reference: HR-PMP-001-v4.1. Owner: Vice President — Human Resources.

5. Effective Feedback — Principles, Delivery, and Documentation

5.1 Why Feedback Quality Is a Policy Requirement

Feedback — the ongoing communication between a manager and employee about the quality, impact, and development implications of the employee's professional contribution — is the lifeblood of an effective performance management framework. All the structural elements described in Sections 1 through 4 — the well-designed OKRs, the annual cycle phases, the calibration process, the five-point rating scale — are delivery mechanisms for feedback. They only produce the developmental and motivational outcomes they are designed to produce if the feedback flowing through them is timely, specific, honest, and actionable. A performance management system with excellent structural design but poor feedback quality produces assessments that surprise employees, ratings that feel arbitrary, and conversations that generate resentment rather than commitment. The quality of feedback is therefore not a soft skill aspiration layered on top of policy requirements — it is a core policy requirement in its own right, assessed in the manager's own annual performance review under the People Leadership competency domain.

The most common failure in professional feedback at technology companies is not a failure of intention — most managers genuinely want to help their team members develop — but a failure of specificity and timeliness. Generic feedback such as 'you need to communicate better' or 'your stakeholder management needs work' gives the recipient no actionable information. They cannot change a behaviour they cannot clearly identify or understand in a specific context. Effective feedback names the specific situation in which the behaviour was observed, describes the specific behaviour or its absence, explains the specific impact that behaviour had on the work, the team, or the client relationship, and suggests or discusses what a more effective approach would look like. This Situation-Behaviour-Impact structure is the recommended feedback framework at this company and is taught in the annual Manager Development Programme. SBI feedback is specific enough to be acted upon immediately and specific enough to be assessed for improvement in subsequent observations.

Timeliness is the second critical dimension of feedback quality. The value of feedback decays rapidly with time. Feedback on a specific behaviour observed this week is actionable this week and next week and creates a direct connection between the observation and the learning. The same feedback delivered six months later, in the mid-year review, is largely historical — the employee may not clearly remember the specific incident, the emotional context has shifted, and the opportunity to apply the learning in a comparable situation may not arise again in the remaining portion of the year. The quarterly pulse check structure creates a minimum cadence for delivering feedback, but the most impactful feedback is typically delivered immediately or within one to two working days of the observation being made, not stored for the next scheduled check-in. Where a manager observes a significant positive contribution or a significant

development concern, they should communicate that observation promptly — not as a criticism or a formal proceeding, but as a normal professional conversation that demonstrates attentiveness to the employee's work and a genuine commitment to their development.

The third dimension of feedback quality is balance. Developmental feedback without positive acknowledgement creates an environment where the only thing a manager ever communicates is what needs to change — which is demoralising, creates anxiety, and does not help the employee understand which of their behaviours and capabilities are strengths to build on. Positive feedback without developmental feedback creates an environment where the employee receives no honest signal about areas for growth — which may feel comfortable in the short term but deprives the employee of information they need to develop their career. Effective feedback is balanced: it acknowledges genuine strengths specifically and authentically, and it raises genuine development priorities specifically and constructively. The ratio of positive to developmental feedback will naturally vary with the employee's performance level and the specific period being discussed, but neither should be absent from the conversation.

5.2 The SBI Feedback Framework in Practice

The Situation-Behaviour-Impact framework is a structured approach to delivering feedback — both positive and developmental — that is specific, objective, and focused on observable evidence rather than on inference, character assessment, or general impression. It is not a rigid script that must be followed verbatim in every feedback conversation, but a structure that ensures the feedback contains the essential elements that make it actionable and fair. The three elements are: Situation — the specific, observable context in which the behaviour occurred, named precisely enough that both the manager and employee can identify the same event; Behaviour — the specific, observable action or inaction that the manager wants to address, described in terms of what was said or done (or not said or done), not in terms of the motive or character that the manager infers from the behaviour; and Impact — the specific, observable consequence of the behaviour on the work, the team, the client, or the project, described as something that happened rather than as a generalisation about what such behaviour typically causes.

The following examples illustrate the difference between feedback that applies the SBI framework and feedback that does not, across common professional scenarios at a technology services company:

Scenario	Ineffective Feedback	SBI-Structured Feedback	Why the SBI Version Is Better
Engineer misses sprint commitments	'You need to improve your time management.'	'During the last three sprints, you committed to delivering [specific scope] by the end of each sprint. In each of those sprints, [specific work] was not complete at the end of the sprint and was carried over.'	Specific, observable behaviour (not what was done) and specific impact (work carried over)
Account manager handles client escalation poorly	'Be better with the client.'	'On Tuesday, the client escalated a billing discrepancy. By the end of the day, the account manager had not responded to the client's last two emails.'	Specific event, observable behaviour (not responded), and specific impact (client escalated)
Data analyst's presentation not well-received	'Your presentation was not good enough.'	'The analysis you presented to the management review on Friday ... [specific observation]'	Specific event and observable behaviour; avoids vague judgement
HR partner consistently misses agreed follow-up deadlines	'You're unreliable.'	'Over the past six weeks, [specific instances] ... [specific impact]'	Pattern described with specific data; avoids character judgement

5.3 Receiving Feedback — Employee Standards

The performance management framework at Arjun Technologies imposes obligations on employees as well as on managers in the feedback process. Receiving feedback well — and engaging genuinely with the development it implies — is assessed as a professional behaviour under the Leadership and Values competency domain. Accountability — one of the company's six Core Values — applies to receiving honest assessment as much as to delivering commitments. An employee who consistently responds to developmental feedback defensively or dismissively, who immediately explains why every concern raised is the result of external factors or misunderstanding, and who demonstrates no genuine curiosity about whether the feedback may have merit, is failing the Accountability standard regardless of their technical or functional performance.

The standard for receiving feedback is not passive acceptance of everything a manager says without question. It is genuine, open-minded engagement with the feedback before deciding whether to accept it, seek clarification, or respectfully disagree. The distinction between engaging with feedback and deflecting it is often evident in the questions the recipient asks. Questions that engage: 'Can you give me an example of what more effective stakeholder communication would have looked like in that situation?' or 'I was not aware the impact on the QA team was that significant — can we talk about how I could better anticipate those dependencies?' Questions that deflect: 'The reason that happened was because the requirements kept changing' or 'I think you might be misremembering the sequence of events.' The first set of questions seeks to understand and to develop. The second set seeks to explain and to protect. The manager's assessment of the employee's feedback reception quality will note which pattern is observed.

Where an employee genuinely and persistently disagrees with a manager's assessment, the correct response is not to absorb the disagreement silently until the year-end appraisal and then challenge the rating. The correct response is to raise the specific disagreement with the manager directly and professionally — naming the specific evidence that leads the employee to a different assessment and asking the manager to consider it. If the direct discussion does not resolve the disagreement, the employee may raise the concern with the HR Business Partner. If the disagreement relates to the year-end rating, the formal rating appeals process in Section 4.4 provides the appropriate mechanism. An employee who raises concerns through these proper channels is exercising their legitimate right to be heard; an employee who does not raise concerns and then uses the disagree box in the HRMS appraisal confirmation without having had any prior conversation about the concern has not used the available process effectively.

6. Documentation Standards and HRMS Requirements

6.1 Documentation Philosophy and Standards

The performance management documentation maintained in the HRMS system serves three distinct and equally important purposes. First, documentation creates the contemporaneous record that provides the evidentiary foundation for fair, evidence-based assessment decisions — particularly where a rating is challenged through the appeals process, where a performance improvement plan is initiated, or where an employment decision is reviewed in an employment tribunal. Second, documentation creates a longitudinal record of an employee's performance trajectory across multiple years that is valuable for talent review, succession planning, career development conversations, promotion assessments, and retention decisions. Third, documentation creates the audit trail that demonstrates, to internal auditors and in any external scrutiny, that the company's performance decisions were procedurally fair, evidence-based, and free from discriminatory bias. Each of these purposes is best served by documentation that is specific, timely, and honest rather than documentation that is voluminous but generic.

The documentation standard applied to all performance management records is that they must be written as if they will be read by someone who was not present in the relevant conversation and who needs to understand, from the record alone, what was discussed, what was agreed, what specific concerns were identified, and what actions were committed to. A mid-year review record that states 'good discussion — generally on track — some development areas identified' fails this standard entirely and will be returned to the manager by the HRBP for revision. A record that documents specific OKR progress with data, specific strengths acknowledged with examples, specific development priorities with agreed actions, and any OKR revisions with rationale meets the standard and creates a durable, useful professional record.

All performance management documentation must be completed in the HRMS Performance module by the applicable deadline. Documentation maintained outside the HRMS system — in personal notes, email threads, shared documents, or any other format — does not satisfy the policy's documentation requirements, regardless of its quality or specificity. This requirement exists because off-system records are not subject to the access controls, retention management, data privacy protections, and auditability of the HRMS system, and because decisions based on records that are not in the system of record cannot be reviewed or audited by the HRBP, calibration participants, or appeals reviewers who need access to the full performance record.

6.2 HRMS Required Fields and Deadline Schedule

HRMS Activity	Who Completes	Hard Deadline	Required Fields	Quality Check Owner
OKR Draft Submission	Employee	22 April	Objective text; team OKR link; 2–4 Key Results each with text, baseline, targe	Manager approval

HRMS Activity	Who Completes	Hard Deadline	Required Fields	Quality Check Owner
OKR Lock	Manager	30 April	Manager approval notation; confirmation that quality standards met	HRBP — quality audit first week of Ma
Mid-Year Review Documentation	Manager	31 October	OKR progress notes per objective with evidence; development actions; pa	HRBP — H2 review completion
Self-Assessment Submission	Employee	28 February	Self-assessment narrative per OKR with evidence; competency self-assess	HRBP — completeness check before cal
Manager Assessment Completion	Manager	14 March	Assessment narrative per OKR with specific evidence; overall assessment	HRBP — review for vague or inconsiste
Calibration Session Record	HRBP	21 March	Attendance list; all proposed ratings reviewed; any changes and justificat	VP-HR — cross-unit consistency review
Appraisal Conversation Confirmation	Manager + Employee	31 March	Manager confirms conversation completed; employee acknowledges receipt	HRBP — escalate unconfirmed conversa
Increment Letter and Variable Pay Notification	HRBP / Finance	15 April	Merit increment %; revised CTC; variable pay amount; effective date	Finance — payroll input verification; HR

6.3 Performance Records — Privacy and Retention

Performance management records — including OKRs, self-assessments, manager assessments, calibration records, increment letters, and appraisal confirmations — constitute personal data under the Digital Personal Data Protection Act 2023 and are subject to the access controls, retention periods, and handling standards that apply to personal data under the company's Data Privacy Policy. The retention period for performance records is seven years from the employee's separation date. Access within the company is restricted to the employee, their current line manager, the relevant HRBP, the VP-HR, the CFO for compensation-related records, and senior management who review anonymised or aggregated talent data in the talent review process.

Performance records must not be shared outside the company without the employee's explicit consent except where legally required — for example, in the context of an employment tribunal proceeding where production of documents is ordered by the tribunal or agreed between the parties' legal representatives. Within the company, performance records must not be shared with colleagues who do not have a documented management, HR, or governance reason to access them. A manager who shares a colleague's rating, self-assessment, or compensation outcome with other team members or other managers without a legitimate process reason is violating both this policy and the company's data privacy obligations and may be subject to disciplinary action.

The calibration process necessarily involves sharing proposed ratings across the management group within a business unit in the calibration session, and this sharing is explicitly permitted under this policy and the privacy framework, subject to the confidentiality obligation described in Section 4.3. Data shared in calibration must not be carried into other conversations, shared with employees, or discussed with managers who were not part of the calibration session. Former employees may submit a Subject Access Request under the DPDP Act for access to performance records held about them. Such requests are managed by the Legal team and the HRBP in accordance with the company's DSAR procedure, with response within the statutory timeframe.

7. Performance Management for Remote and Hybrid Teams

7.1 Principles for Distributed Performance Management

The company's hybrid working model — in which employees work from the office for a defined minimum number of days per week and from approved remote locations for the remainder — creates specific performance management challenges that this section addresses. The most significant challenge is visibility: in a co-located team, a manager has ambient awareness of team members' working patterns, energy levels, collaboration behaviours, and engagement that provides an informal but real data stream informing their performance assessment. In a hybrid or remote team, this ambient visibility is substantially reduced, creating two risks that must be actively managed.

The first risk is proximity bias — the tendency for managers to unconsciously rate employees who are more physically present in the office more favourably than those who are equally productive but less physically visible. Proximity bias does not require any conscious intention to discriminate; it is a well-documented cognitive bias that affects even managers who are genuinely committed to objectivity. The performance management framework at this company addresses proximity bias through two mechanisms. First, the OKR framework's insistence on outcome-based measurement reduces the extent to which visibility substitutes for actual performance evidence — if performance is measured by Key Results achieved, the employee's physical location is irrelevant. Second, the HRBP reviews the rating distribution in calibration specifically looking for patterns that correlate with office attendance rather than with performance evidence.

The second risk is the reverse — employees who are remote most of the time may not receive the informal feedback, mentoring, and career development conversations that happen naturally in co-located settings through corridor conversations, impromptu lunch discussions, and the informal social dynamics of shared office time. Managers of hybrid and primarily remote teams must compensate for this structural disadvantage by being more deliberate and more frequent in their structured feedback interactions — scheduling regular one-on-ones that serve the developmental function that informal interactions serve in co-located settings, and ensuring that remote employees are included in the mentoring, stretch assignment, and visibility opportunities that their office-based colleagues may encounter more organically.

7.2 Adapted Process Requirements for Remote Teams

All process requirements described in the preceding sections of this policy apply equally to employees working under hybrid or remote arrangements. The medium through which conversations are conducted — in-person, by video call, or by telephone — does not affect the substance of what those conversations must cover or the quality standard they must meet. A mid-year review conducted by video call must cover the same ground, with the same specificity

and the same genuine engagement, as one conducted in a meeting room. A quarterly pulse check conducted as a 20-minute video call satisfies the policy requirement as fully as one conducted over coffee in the office.

The specific adaptations recommended for managers of primarily remote or hybrid teams are as follows. First, increase the frequency of brief, informal check-in communications to compensate for the absence of ambient visibility — a brief instant message checking in on progress or wellbeing, a short unscheduled video call to discuss a specific challenge, or a prompt response to work shared by the remote employee that provides immediate feedback. These informal interactions do not replace the structured quarterly pulse checks and mid-year review — they supplement them, creating the continuous awareness of the employee's current state that a co-located manager has more naturally. Second, be explicit about expectations regarding communication response times, availability during core hours, and the use of online status indicators, because the implicit norms that are established by observation in a physical office are not available to remote teams and must be stated directly.

Third, document informal feedback more consistently for remote team members than might be the practice for co-located employees. In a co-located setting, a brief verbal acknowledgement of strong work or a quick corridor observation about a development concern is part of the ambient management interaction. In a remote setting, the same feedback is given through a written message or a video call that, with minimal additional effort, can be documented in HRMS. This documentation creates a richer performance record for the remote employee that compensates for the reduced ambient management interaction and produces a fairer, more evidence-based year-end assessment. Fourth, ensure that remote employees have equal access to the high-visibility projects, senior stakeholder interactions, and development opportunities that drive career progression — not just the steady-state work that can be delivered from any location. Career visibility gaps between office-based and remote employees are a significant equity and retention risk that managers must actively manage.

Performance Interaction	In-Person Standard	Hybrid/Remote Adaptation	Quality Indicator
Quarterly Pulse Check	20-min in-person meeting, informal conversation	20-min video call, same agenda	Completed on time, documented in HRMS
Mid-Year Review	60-min meeting room conversation, shared screen	60-min video call with shared screen	Both parties prepared, documented in HRMS
Informal positive feedback	Brief verbal acknowledgement	Instant message or brief video call	Delivered within 24–48 hours of the observation
Developmental feedback	Private in-person conversation	Video call (not instant message) for developmental feedback	Specific, actionable, and documented
Appraisal Conversation	45–60 min private meeting	45–60 min dedicated video call; both participants in private, uninterrupted settings	Same

Segment 1 Summary and Index to Segments 2 and 3

Segment 1 of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework is now complete. It has established the full governance foundation of the performance management programme across seven substantive sections. Section 1 covered the purpose and objectives of the framework, scope of application, six governing principles, roles and responsibilities for all stakeholders with accountability mechanisms, policy compliance obligations, and the legal and regulatory framework. Section 2 provided the complete OKR goal-setting methodology including the rationale, the definitions and quality standards for Objectives and Key Results with worked examples for multiple role families, the OKR hierarchy across company, division, team and individual levels, a seven-category common error guide, the goal-setting process and timeline, the revision procedure, and the integration of the competency and behavioural framework alongside quantitative OKRs.

Section 3 described the seven-phase annual performance cycle in full detail: the April goal-setting phase with HRMS locking requirements; the quarterly pulse check structure and documentation obligations; the October mid-year review with recommended 60-minute conversation structure; the February self-assessment process and its three functions in the cycle; the March manager assessment with quality standards enforced by HRBP review; the calibration process with its five operating principles; and the year-end appraisal conversation and compensation communication process. Section 4 defined the complete rating framework: the five-point scale with full performance profiles and expected frequency guidance; rating distribution guidance with the rationale for Rating 3 as the standard positive outcome; the calibration process standards; the rating appeals procedure; and special situation handling for joiners, leavers, and employees on extended leave.

Sections 5 through 7 addressed the operational quality standards that determine whether the structural framework actually produces its intended outcomes. Section 5 covered effective feedback, including the policy basis for feedback quality as a mandatory standard, the SBI framework with a four-scenario comparison table, and the employee obligations in receiving feedback. Section 6 addressed documentation and HRMS requirements — the philosophy behind documentation standards, the complete HRMS activity schedule with required fields and quality check owners, and performance record privacy and retention obligations under the DPDP Act 2023. Section 7 covered performance management for remote and hybrid teams, addressing proximity bias, adapted process requirements, and a comparative table of in-person and hybrid adaptations across all five major performance interactions.

Segment	Sections	Topics	Pages	Status
Segment 1 — This Document	1 to 7	Governance · OKR Methodology · Annual Cycle · Rating Framework · Feedback Standards · Documentation ·	1 to 50	Published April 2024

Segment	Sections	Topics	Pages	Status
Segment 2	8–12	Merit Increments · Variable Pay Calculation · Promotions · Performance Improvement Plans · 360-Degree Feed	51–100	Published 30 Oct 2024
Segment 3	13–16 + Appendices A–H	Learning and Development · Internal Mobility · Manager Conversation Guide · Forms and Templates	101–150	Published 30 Oct 2024

All three segments are available on the HRMS portal under Policies and Documents. HRMS performance module user guide is in Appendix G of Segment 3. For policy queries, contact your HR Business Partner or hr@arjuntech.in. Document reference: HR-PMP-001-v4.1.

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PERFORMANCE MANAGEMENT POLICY AND PROCEDURES FRAMEWORK

Segment 2 of 3 — Merit Increments · Variable Pay · Promotions · PIPs · 360-Degree Feedback

Version	4.1	**Effective Date**	01 April 2024
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Approved By	Mr. Rajesh Arjun	**Document Owner**	Ms. Priya Menon
HR Partner	Ms. Priya Menon	**Finance Liaison**	Ms. Lakshmi Rajan
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This is Segment 2 of the Arjun Technologies Pvt. Ltd. Performance Management Policy. It covers the compensation consequences of annual performance ratings — merit increments and the merit matrix, variable pay calculation with worked examples, the promotion criteria and process, the Performance Improvement Plan framework in full, and the 360-degree feedback programme for senior employees. It must be read alongside Segment 1 (governance, OKR methodology, annual cycle, rating framework). For queries contact the HR Business Partner or hr@arjuntech.in.

8. Merit Increments and the Compensation Matrix

8.1 The Philosophy of Performance-Linked Compensation

The connection between performance ratings and merit increments is one of the most consequential and most visible expressions of the company's values in the entire employment relationship. Employees watch this connection closely — they watch whether employees who perform at significantly different levels actually receive meaningfully different increments, whether the stated rating scale translates into real compensation differences or whether everyone receives approximately the same increment regardless of the assessment, and whether the increment process is perceived as fair, transparent, and evidence-based or as opaque, politically influenced, and disconnected from actual performance. The quality of this connection — the degree to which it genuinely differentiates compensation outcomes based on performance — is a primary driver of the performance management framework's motivational effectiveness, and therefore of its commercial value to the business.

The merit increment system at Arjun Technologies is designed around a merit matrix that determines the increment range for each employee based on two inputs: their annual performance rating and their current position within the compensation band for their role level. The band position dimension reflects the principle of market position management — that an employee who is paid below the midpoint of their band has more ground to cover to reach the market reference point and should therefore, all else equal, receive a higher increment than an equally performing employee who is already above the band midpoint. This principle ensures that the merit system progressively corrects below-market pay for strong performers over time, rather than allowing below-market pay to persist regardless of performance.

The merit matrix is reviewed annually by the Compensation Committee — comprising the CFO, the VP-HR, and the CEO — in February, before the April payroll cycle. The review considers: the approved total merit budget for the financial year as a percentage of the total salary bill; the current market salary data from the company's compensation benchmarking surveys for each band and role family; the distribution of employees across band positions to ensure the matrix produces a total cost within the approved budget; and any specific retention risks identified through the talent review for high-performing employees in critical roles. The matrix ranges approved by the Compensation Committee for the current year are published to all managers through the HRMS system in the third week of March, before the calibration session, so that managers have full visibility of the compensation implications of their proposed ratings.

Transparency about the merit matrix — making the full matrix visible to all employees, not only to managers — is a deliberate policy choice at this company that reflects the Integrity and Fairness principles of the performance management framework. Employees who know exactly what increment their rating and band position will generate can verify that they have received the

correct increment and can trust that the system is being applied consistently. Opacity about the mechanics of compensation decisions, by contrast, typically breeds cynicism and the perception — whether accurate or not — that increments are influenced by favouritism or politics. The merit matrix is published on the HRMS portal alongside this policy document.

8.2 The Merit Matrix — Band Position and Rating

Band position refers to where an employee's current CTC sits within the approved compensation range for their band. The band has a minimum, a midpoint (representing the market reference rate for fully competent performance at that band), and a maximum. Band position is expressed as a percentage of the band range: an employee at the band minimum is at Band Position 0%; an employee at the midpoint is at Band Position 50%; an employee at the band maximum is at Band Position 100%. The merit matrix applies higher increment percentages to employees at lower band positions (who need more movement to reach market) and lower increment percentages to employees at higher band positions (who are already at or above the market reference rate).

Rating	Band Position 0–25% (Below Midpoint)	Band Position 26–50% (Below Midpoint)	Band Position 51–75% (Above Midpoint)	Band Position 76–100% (Near/At Maximum)	Notes
Rating 5 — Exceptional	18–22%	15–18%	12–15%	8–12%	Also eligible for off-cycle E
Rating 4 — Exceeds Expectations	13–17%	11–14%	8–11%	5–8%	Review promotion eligibilit
Rating 3 — Meets Expectations	8–12%	7–10%	5–8%	3–6%	Standard merit cycle. No a
Rating 2 — Needs Improvement	0–4%	0–3%	0–2%	0%	Increment at manager and
Rating 1 — Unsatisfactory	0%	0%	0%	0%	No increment. PIP must b
New to Band (< 6 months in role)	Manager discretion within lower two columns of the applicable rating row				HRBP review required. En

The ranges within each cell of the merit matrix represent the discretion available to the manager within the approved budget framework. The manager proposes a specific increment percentage within the applicable cell range, which is reviewed by the HRBP for consistency with the rest of the business unit before being finalised in the HRMS system. Where the manager proposes an increment at the upper end of the range for a specific employee, they must document the specific evidence basis for choosing the upper end rather than the midpoint — typically a specific exceptional contribution, a specific retention risk, or a specific circumstance that makes the upper end particularly warranted. Increments at the upper end of Range 5 (Rating 5) require CFO and CEO approval in addition to HRBP review.

Where applying the merit matrix increment would push an employee above the maximum of their compensation band, the HR Business Partner reviews the situation before the increment is finalised. Options include: applying the increment and initiating a promotion review to move the employee to the higher band within 90 days; applying the increment and obtaining a formal exception approval from the CFO to pay above the band maximum for a defined period pending

promotion; or limiting the increment to the amount that keeps the employee within the band maximum, with a specific plan and timeline for addressing the market competitiveness of the compensation through promotion or an off-cycle adjustment. No employee should be capped at an increment below the matrix range solely because the matrix increment would exceed the band maximum — the band maximum constraint must be resolved through one of the above options, not by reducing the increment below what the performance warrants.

8.3 Increment Calculation, Communication, and Timing

The merit increment is calculated as a percentage of the employee's current fixed CTC (Cost to Company), excluding variable pay, ESOP value, and any one-time allowances. The calculated increment is applied to the base fixed salary, increasing the annual fixed CTC by the increment percentage. The restructuring of CTC components — the split between basic salary, HRA, special allowances, and other components — is determined by the Finance team in accordance with the company's CTC structure policy and the statutory requirements for provident fund contributions, which must be maintained at the applicable percentage of the revised basic salary.

Increment letters are issued to all eligible employees through the HRMS system by 15 April, timed to take effect from the first April payroll. The increment letter states the employee's previous CTC, the increment percentage, the new CTC effective from 01 April, and a brief statement of the basis for the increment (the performance rating, without the full assessment narrative). The increment letter is generated by the HRMS system based on the finalised rating and the increment percentage entered by the manager and approved by the HRBP. Employees receive the increment letter as a digital document in their HRMS profile and by email to their company email address simultaneously.

Employees who have concerns about the accuracy of their increment calculation — for example, if they believe their band position has been incorrectly classified, if the increment falls outside the matrix range for their rating without a documented exception, or if there is an arithmetic error in the calculation — should raise the concern with their HRBP within ten working days of receiving the increment letter. The HRBP will review the calculation with Finance and communicate the outcome within five working days. Any error identified and confirmed will be corrected in the following payroll cycle with appropriate retrospective adjustment where warranted. Concerns about the appropriateness of the rating itself — as opposed to the accuracy of the increment calculation — are addressed through the rating appeals process described in Section 4.4 of Segment 1.

8.4 Increment Exceptions — Promotions, Market Adjustments, and Retention

The standard merit increment matrix operates within the approved annual merit budget cycle. Three categories of exception may result in compensation changes outside or above the matrix ranges, each subject to its own approval process. The first is promotion — when an employee is promoted to a higher band, the promotion increment is applied in addition to the merit increment, and the combined effect is reviewed to ensure the resulting CTC places the employee at an appropriate position within the new band. Promotion increments are described in Section 10.

The second category is market adjustment — a compensation change made outside the standard merit cycle where it is determined that an employee's current CTC is materially below the market rate for their role and skills, creating a specific retention risk that cannot be fully addressed through the annual merit cycle alone. Market adjustments require documentation of the market data supporting the adjustment, HRBP and VP-HR recommendation, and CFO and CEO approval. They are applied in the form of an off-cycle salary revision rather than a promotion, and they are reflected in the employee's band position for the following year's merit cycle.

The third category is the exceptional performer retention allowance — an additional non-consolidated payment available for employees who receive Rating 5 in consecutive years and who are identified as critical talent in the annual talent review. The retention allowance is a one-time annual payment, not an increment to the base salary, and it does not affect the CTC calculation for the following year's merit matrix. It requires CEO approval and is funded from the discretionary talent investment budget rather than the standard merit budget. The purpose of the retention allowance is to provide an immediate, visible financial recognition for the company's most exceptional performers that supplements the standard merit increment in years where competitive pressure makes additional retention investment warranted.

9. Variable Pay — Structure, Calculation, and Payment

9.1 Variable Pay Philosophy and Design Principles

Variable pay at Arjun Technologies is the performance-linked component of total compensation that is not guaranteed — that varies each year based on the combination of the company's financial performance against its annual targets and the individual employee's performance against their OKRs and competency standards. It is designed to achieve three objectives simultaneously: to create a direct and transparent financial incentive for individual high performance by ensuring that the highest performers receive a materially higher variable pay outcome than average performers; to align individual financial interest with company financial performance by ensuring that all employees benefit when the company has an exceptional year and that total compensation reflects the company's ability to pay in a challenging year; and to differentiate the total compensation package sufficiently across performance levels to make the performance rating consequential in a way that is personally and financially meaningful to employees at every level.

The variable pay structure operates on two multiplicative factors: the Company Performance Factor and the Individual Performance Multiplier. The Company Performance Factor reflects how the company performed against its annual financial targets — revenue, EBITDA, and client retention — and ranges from 0.5 (significantly below target) to 1.5 (significantly above target). The Individual Performance Multiplier reflects how the individual performed against their OKRs and competency standards — their annual performance rating — and ranges from 0 (Rating 1) to 1.5 (Rating 5). The target variable pay — the amount an employee would receive if both factors were exactly 1.0 — is defined for each band as a percentage of annual CTC. The actual variable pay is calculated as: Target Variable Pay × Company Performance Factor × Individual Performance Multiplier.

The two-factor structure reflects the philosophical position that variable pay should reward both individual effort and collective success. An employee who performs exceptionally as an individual but works for a company that missed its targets significantly cannot expect to receive a full variable pay outcome — their reward is substantially better than colleagues who performed at average level, but it is moderated by the shared commercial outcome. Conversely, an employee who performs below expectations in a year when the company significantly exceeds its targets does not benefit from the company's strong performance at the same level as their high-performing colleagues — the individual factor appropriately limits their share of the company's success. This balance creates the alignment of individual and collective incentives that variable pay is designed to achieve.

9.2 Target Variable Pay by Band

Target variable pay is expressed as a percentage of annual fixed CTC and increases significantly with seniority, reflecting the greater influence that senior employees have on business outcomes and the correspondingly greater alignment of their personal financial interest with those outcomes that the company wishes to create. The following table shows the target variable pay percentages for each band, the approximate target variable pay amount at the band midpoint CTC, and the range of actual variable pay outcomes across the Company Performance Factor range of 0.5 to 1.5 at each Individual Performance Multiplier level.

Band	Role Examples	Target Variable Pay (% of CTC)	Target Variable Pay at Band Midpoint	Range at Rating 3, CPF 0.5–1.5	Range at Rating 5, CPF 0.5–1.5
Band 1	Junior Analyst, Associate Engineer, HR Coordinator	8%	₹32,000	₹16,000 – ₹48,000	₹24,000 – ₹72,000
Band 2	Analyst, Software Engineer, Senior HR Coordinator	10%	₹52,000	₹26,000 – ₹78,000	₹39,000 – ₹1,17,000
Band 3	Senior Analyst, Senior Engineer, HRBP	12%	₹84,000	₹42,000 – ₹1,26,000	₹63,000 – ₹1,89,000
Band 4	Lead Engineer, Principal Analyst, Senior HRBP	15%	₹1,50,000	₹75,000 – ₹2,25,000	₹1,12,500 – ₹3,37,500
Band 5	Engineering Manager, Senior Manager, Deputy GM	20%	₹3,20,000	₹1,60,000 – ₹4,80,000	₹2,40,000 – ₹7,20,000
Band 6	Director, VP Engineering, VP Finance	25%	₹5,50,000	₹2,75,000 – ₹8,25,000	₹4,12,500 – ₹12,37,500
Band 7	Senior VP, Chief of Staff	35%	₹10,50,000	₹5,25,000 – ₹15,75,000	₹7,87,500 – ₹23,62,500
Band 8	CXO, CEO-1	50%	Contractually defined	Contractually defined	Contractually defined

9.3 Company Performance Factor — Determination and Communication

The Company Performance Factor is determined by the Compensation Committee in March of each year, based on the company's audited or management-account financial performance for the year ended 31 March. The Compensation Committee evaluates performance against three financial metrics — annual revenue against target, EBITDA margin against target, and client retention rate against target — each weighted in the final CPF determination. The three metrics are weighted 50%, 30%, and 20% respectively in the CPF calculation, reflecting the primacy of revenue growth as the company's core commercial objective, the importance of profitable growth over revenue alone, and the company's commitment to client relationship quality as a foundation for sustainable commercial performance.

Performance Outcome Against Annual Target	Revenue Weight (50%)	EBITDA Weight (30%)	Client Retention Weight (20%)	Resulting CPF Range
Significantly exceeds target (>115% of target)	1.3–1.5	1.3–1.5	1.3–1.5	1.30 – 1.50
Exceeds target (105–115% of target)	1.1–1.3	1.1–1.3	1.1–1.3	1.10 – 1.30
Meets target (95–105% of target)	0.95–1.1	0.95–1.1	0.95–1.1	0.95 – 1.10
Below target (85–95% of target)	0.75–0.95	0.75–0.95	0.75–0.95	0.75 – 0.95
Significantly below target (75–85% of target)	0.60–0.75	0.60–0.75	0.60–0.75	0.60 – 0.75
Severely below target (<75% of target)	0.50–0.60	0.50–0.60	0.50–0.60	0.50 – 0.60
Minimum threshold not met (EBITDA negative)	Override — CPF set to 0.50 regardless of other metrics			0.50 (floor)

The CPF is communicated to all employees by the CEO and CFO in the April all-hands meeting, alongside the company's financial performance summary that explains the basis for the CPF

determination. Full transparency about the CPF calculation — including the actual performance against each target and how the weighted average produces the final CPF — is provided in the all-hands communication. This transparency is a deliberate expression of the company's commitment to honest communication about financial performance and to treating employees as informed professional partners who can understand and engage with the commercial context of their compensation outcomes.

The CPF announced in April applies to variable pay for the financial year just ended, not to the year in progress. Employees receive their variable pay based on their individual performance rating and the CPF for the prior year's performance, paid in April with the merit increment. The CPF that will apply to the variable pay being earned in the current year will be determined by the company's financial performance in that current year and will be announced in the following April. This timing alignment ensures that all variable pay components relate to the same performance period.

9.4 Individual Performance Multiplier by Rating

The Individual Performance Multiplier converts the annual performance rating into a numerical factor that, when multiplied by the Target Variable Pay and the Company Performance Factor, produces the individual's actual variable pay amount. The multiplier is designed to create a meaningful financial difference between performance levels — a difference large enough to be personally significant and to represent a genuine financial incentive for performance differentiation, not merely a nominal adjustment that the recipient barely notices.

Rating	Label	Individual Performance Multiplier (IPM)	Effect on Variable Pay	Rationale for Multiplier Level
5	Exceptional	1.50	50% above target variable pay (before CPF)	Awarded to employees whose performance is genuinely excep
4	Exceeds Expectations	1.20	20% above target variable pay	Strong, sustained above-expectation performance is
3	Meets Expectations	1.00	Target variable pay (as designed)	The target variable pay is designed for a fully effecti
2	Needs Improvement	0.50	50% of target variable pay	A meaningful reduction acknowledges that performa
1	Unsatisfactory	0.00	No variable pay	No variable pay is payable for performance that is si

9.5 Variable Pay Calculation — Worked Examples

The following worked examples illustrate the variable pay calculation for employees at different bands, ratings, and in years with different Company Performance Factors. These examples use illustrative CTC figures at approximate band midpoints. Employees can verify their own calculation using the formula: Variable Pay = (Annual Fixed CTC × Target VP%) × CPF × IPM.

Example	Employee	Band	Annual Fixed CTC	Target VP %	Target VP Amount	CPF (year)	IPM (rating)	Variable Pay Payabl
A	Senior Engineer	Band 3	■8,40,000	12%	■1,00,800	1.15 (strong year)	1.20 (Rating 4)	■1,39,104
B	HR Business Partner	Band 3	■7,20,000	12%	■86,400	0.85 (challenging year)	1.00 (Rating 3)	■73,440

Example	Employee	Band	Annual Fixed CTC	Target VP %	Target VP Amount	CPF (year)	IPM (rating)	Variable Pay Payabl
C	Engineering Manager	Band 5	■16,00,000	20%	■3,20,000	1.20 (exceeds target)	1.50 (Rating 5)	■5,76,000
D	Director	Band 6	■22,00,000	25%	■5,50,000	1.00 (meets target)	1.20 (Rating 4)	■6,60,000
E	Junior Analyst	Band 1	■4,00,000	8%	■32,000	1.10 (slightly above target)	1.00 (Rating 3)	■35,200
F	Senior Analyst	Band 3	■9,00,000	12%	■1,08,000	1.10	0.50 (Rating 2)	■59,400
G	Lead Engineer	Band 4	■12,00,000	15%	■1,80,000	0.60 (well below target)	1.50 (Rating 5)	■1,62,000
H	Senior Engineer	Band 3	■7,80,000	12%	■93,600	1.30 (significantly above target)	0.00 (Rating 1)	■0

Example G is particularly instructive: an exceptional individual performer (Rating 5, IPM 1.5x) in a year when the company significantly underperformed (CPF 0.6x) receives a variable pay amount below their target, despite their individual excellence. This outcome reflects the design principle that variable pay is not solely an individual reward — it is a participation in the company's commercial outcomes. A Rating 5 performer in a 0.6 CPF year still receives substantially more variable pay than a Rating 3 performer in the same year (■1,62,000 vs ■1,08,000 × 0.6 = ■64,800 for a comparable Band 3 employee), demonstrating that individual performance differentiation is preserved even in a challenging year. The combined effect of the two factors maintains both dimensions of the incentive structure.

9.6 Variable Pay Eligibility, Proration, and Payment Timing

Variable pay is payable to all confirmed permanent employees who were employed by {C['short']} on 31 March of the performance year and who had been in their confirmed role for at least three months during that year. Employees who were on probation for the entire performance year are not eligible for variable pay for that year; they become eligible from the first full performance year following confirmation. Employees who joined in a confirmed role after 01 October of the performance year receive variable pay on a pro-rata basis calculated on the number of full months of confirmed employment from their joining date to 31 March.

Employees who resigned or were separated from the company before 31 March of the performance year are not entitled to variable pay for that year, except where the separation was due to redundancy, in which case pro-rated variable pay for the period of active employment is included in the redundancy settlement. Employees who resign after 31 March but before the April payroll in which variable pay is paid are entitled to the variable pay earned for the preceding performance year, which is paid in their Full and Final Settlement. Variable pay is paid as a single lump-sum payment in the April payroll cycle, along with the merit increment. Variable pay is subject to applicable TDS deduction as salary income in the year of payment.

10. Promotions — Criteria, Process, and Compensation Treatment

10.1 The Philosophy and Purpose of the Promotion Framework

Promotion at Arjun Technologies represents the organisation's formal recognition that an employee has consistently demonstrated the capabilities, judgment, impact, and professional maturity required for the next level of responsibility — and that the company wants to invest in that employee's continued development at that higher level. It is not a reward for loyalty, tenure, or a single exceptional year. It is not the automatic consequence of receiving Rating 4 or Rating 5. And it is not a retention tool to be offered reactively when an employee threatens to leave. Each of these misuses of the promotion process weakens the framework's credibility and reduces its effectiveness as a signal of what the organisation values and what career progression at this company looks like.

The promotion framework is designed to create a process that is consistent — applied with the same criteria and the same evidence standard across all business units and all bands; transparent — so that employees understand what they need to demonstrate to be considered for promotion and can actively develop toward it; evidence-based — grounded in documented examples of performance at the next level's standard rather than in a general impression of the employee's potential; and fair — without systematic bias toward employees who are more visible, more vocal, or more similar to their managers in background, communication style, or working pattern.

Promotion eligibility is assessed annually as part of the performance management cycle, with promotion decisions timed to take effect from 01 April alongside merit increments. Off-cycle promotions — promotions taking effect at a different point in the year — are also possible where a specific and immediate business need requires it, and are described in Section 10.5. The annual promotion process is the preferred mechanism because it allows all candidates across the business unit to be assessed comparatively in the calibration session, ensuring consistent standard application.

10.2 Promotion Eligibility Criteria

Promotion eligibility requires the simultaneous satisfaction of three categories of criteria: minimum tenure in the current band, sustained performance at the required level, and demonstrated readiness evidence at the next band standard. All three must be met; satisfying two of the three is not sufficient for a promotion recommendation. The criteria are described in detail below and are illustrated with band-specific examples in the promotion evidence guide available on the HRMS portal.

Criteria Category	Minimum Standard	Notes / Exceptions
Minimum Band Tenure	Band 1 → 2: 12 months minimum in Band 1 Band 2 → 3: 18 months minimum in Band 2 Band 3 → 4: 24 months minimum in Band 3 Band 4 → 5: 30 months minimum in Band 4 Band 5 → 6: 36 months minimum in Band 5 Band 6 → 7: 48 months minimum in Band 6	Minimum tenure may be waived for exceptional performers
Sustained Performance Rating	Rating 4 or 5 in at least the two most recent completed performance years. For Band 5 → 6 and above: Rating 4 or 5 in three of the three most recent years.	A Rating 3 in one of the two years does not automatically fo
Next-Level Readiness Evidence	Documented examples — observed and attested by the line manager and at least one additional senior stak	Readiness evidence must be assessed in the context of the
No Active Disciplinary Record	No active written warning, final written warning, or suspension at the time the promotion is considered	A historical PIP that has been fully resolved is
Manager Recommendation	A specific, written promotion recommendation from the line manager, submitted through HRMS by 31 March	The recommendation must address all three pillars of

10.3 Evidence Required for Promotion — The Next-Level Standard

The most important and most commonly misunderstood element of the promotion criteria is the next-level readiness evidence requirement. A promotion is not recognition for outstanding performance at the current level — it is recognition for consistent performance at the next level. These are meaningfully different things. An engineer who is an exceptional Band 3 performer — highly technically skilled, reliably delivering excellent individual work, well-regarded by their immediate team — may not yet be ready for Band 4, where the expectation shifts from individual execution to technical leadership, architectural judgment, mentoring of junior engineers, and direct client-technical engagement. The promotion evidence must show that the engineer has already been performing those Band 4 activities and producing Band 4-quality outcomes, not merely that they are performing excellently at Band 3.

This next-level evidence principle has important implications for how managers support the development of employees who are on a promotion track. If an employee has been told they are promotion-eligible and that the promotion decision will be based on next-level evidence, the manager has an obligation to actively create opportunities for the employee to work at the next level — to give them project leadership responsibilities, to involve them in client interactions they have not previously had, to ask them to mentor more junior colleagues, to include them in architectural or strategic discussions. Without these opportunities, the employee cannot produce the evidence the promotion requires, and the promotion conversation becomes a frustrating exercise in which the employee is told what evidence is needed but has not been given the chance to produce it. This situation is a failure of the manager's development obligation.

Band Transition	Current Band Standard	Next Band Standard — Evidence Required
Band 2 → Band 3 (Analyst → Senior Analyst / Engineer → Senior Engineer)	Delivers quality individual work within defined scope. Follows established processes. Raises risks and issues	Evidence of independent delivery of complex assignments. Begins to influence project decisions. Mentors junior
Band 3 → Band 4 (Senior → Lead / Principal)	Consistently delivers high-quality individual work. Begins to influence project decisions. Mentors junior	Evidence of leading a team of 3–6 engineers. Owns technical architecture for a client engagement. Engages

Band Transition	Current Band Standard	Next Band Standard — Evidence Required
Band 4 → Band 5 (Lead → Manager / Senior Manager)	Leads a project team effectively	Technical full
Band 5 → Band 6 (Manager/Senior Manager → Director/VP)	People management of a team	Delivery of

10.4 Promotion Compensation Treatment

On promotion, an employee receives both a promotion increment applied to their current CTC and a positioning adjustment that moves their salary to an appropriate point within the new band. The promotion increment is separate from the annual merit increment and is calculated independently. The promotion and merit increments are applied simultaneously in the April payroll cycle where the promotion coincides with the annual cycle, or in the relevant payroll cycle for off-cycle promotions.

Band Transition	Minimum Promotion Increment	Target Positioning in New Band	Maximum Promotion Increment	Notes
Band 1 → 2	10%	25th–40th percentile of Band 2 range	15%	May exceed 15% if current CTC is below
Band 2 → 3	12%	25th–40th percentile of Band 3 range	18%	HRBP reviews positioning relative to exis
Band 3 → 4	15%	25th–45th percentile of Band 4 range	22%	Finance review required where total CTC
Band 4 → 5	18%	30th–45th percentile of Band 5 range	25%	VP-HR and CFO approval required. Mark
Band 5 → 6	20%	30th–50th percentile of Band 6 range	30%	CEO approval required. Compensation C
Band 6 → 7	25%	Contractually negotiated	Contractually negotiated	CEO and Board (compensation committe

Where the minimum promotion increment would position the employee below the Band minimum of the new band — which can occur where the employee was at the lower end of the current band — the increment is adjusted upward to ensure the post-promotion CTC is at least at the new band minimum. Where the target positioning approach would result in a total compensation package that creates an internal equity issue — typically where the promoted employee would be paid above longer-serving Band members in equivalent roles — the HRBP reviews the specific positioning and may recommend a downward adjustment within the permitted range, with a commitment to address the internal equity issue through the following year's merit cycle.

10.5 Off-Cycle Promotions

Off-cycle promotions — promotions taking effect at a date other than 01 April — are available where a specific and immediate business need makes it operationally necessary to promote an employee before the annual cycle. The most common scenarios for off-cycle promotion are: the departure of a senior employee creates an immediate vacancy at the next level that must be filled from within the team; a new client engagement or project requires leadership at a level that only one internal candidate can immediately provide; or an employee who was on leave during the annual promotion cycle and therefore missed the standard process is ready for promotion on

their return.

Off-cycle promotions require a more rigorous approval process than annual-cycle promotions to ensure that the urgency of the business need does not result in promotions that would not have been supported by the evidence standard applied in the annual calibration process. The required approvals for an off-cycle promotion are: the line manager's written recommendation with the full evidence case; the HRBP's written endorsement confirming that the candidate meets all three eligibility criteria; the BU Head's approval confirming the business need; and the VP-HR's approval confirming that the promotion decision is consistent with the standards applied in the annual cycle. For Band 5 and above off-cycle promotions, CEO approval is additionally required.

11. Performance Improvement Plans

11.1 The Purpose and Philosophy of the PIP

A Performance Improvement Plan is a structured, documented, and time-bound process designed to give an employee whose performance has fallen below the required standard for their role and band a genuine and well-supported opportunity to demonstrate sustained improvement to the required level within a defined period. The word 'genuine' is significant and intentional: a PIP must be conducted as a real improvement process, with real support, real coaching, and real assessment of progress against real standards — not as a paper exercise designed to create documentation for a predetermined separation. A PIP that is initiated with the intention of facilitating a separation rather than enabling genuine improvement is not a legitimate PIP under this policy, and will not provide adequate legal protection for a subsequent separation decision.

The philosophy behind the PIP framework is that the company has an obligation to identify and respond to underperformance early, clearly, and supportively. An employee who is underperforming and who has not received honest, documented feedback about their underperformance cannot make an informed choice about how to respond. An employee who receives a PIP as a surprise — because the concerns were never clearly communicated before the PIP was initiated — has not been treated fairly. The PIP framework therefore requires that the concerns being addressed in the PIP were raised with the employee before the PIP was initiated, and that the employee was given a reasonable opportunity to improve informally before the formal PIP process began. Where genuine informal feedback was provided and the performance has not improved, the PIP is the appropriate next step.

The PIP process also recognises that underperformance has multiple possible root causes, and that effective support requires diagnosing the root cause correctly. An employee who is underperforming because they are in the wrong role — their skills and interests are not matched to the demands of the current role — may be better served by an internal transfer conversation than by a PIP. An employee who is underperforming because they are experiencing personal or health difficulties may need support from the Employee Assistance Programme and a temporary reasonable adjustment to their role requirements rather than a standard PIP. An employee who is underperforming because they have not received adequate training, clear expectations, or appropriate management support may be underperforming for reasons that are partly a management failure. The HRBP must explore these possible root causes before initiating a PIP, and the PIP design must address the identified root cause rather than simply documenting the performance gap.

11.2 PIP Eligibility and Initiation Triggers

A Performance Improvement Plan is initiated in the following circumstances: an employee receives a Rating 1 or Rating 2 in the annual performance assessment; an employee has shown insufficient improvement on a previously identified performance concern after a documented period of informal feedback and coaching; or a specific significant performance incident — a material delivery failure, a significant client complaint directly linked to individual performance, or a specific pattern of underperformance identified outside the annual cycle — warrants immediate formal intervention.

Before initiating a PIP, the manager must consult with the HRBP to confirm that the initiation is appropriate and that the pre-PIP requirements have been met. The pre-PIP requirements are: the performance concerns have been communicated to the employee clearly and in writing at least once before the PIP initiation; the employee was given a defined period (typically 30–60 days) to improve following the informal communication; a support plan was offered during the informal improvement period; and the employee's performance has not improved to the required standard during the informal period. Where the performance failure is sufficiently serious — for example, a major client-impacting delivery failure — the HRBP may approve PIP initiation without the informal period where the situation warrants immediate formal action.

11.3 The Six-Component PIP Structure

A well-designed PIP has six components, each of which must be documented in the PIP document (Form HR-020) and agreed with the employee in the PIP initiation meeting. All six components are mandatory — a PIP that omits any of them is not compliant with this policy and will not withstand scrutiny in an employment tribunal. The HRBP reviews the draft PIP for completeness and quality before the initiation meeting and will return it to the manager for revision if it does not meet the standard.

Component	Description	Quality Standard	Common Error
1. Performance Gap Statement	A specific, and evidence-based description of the gap between the employee's current performance and the required standard	Must cite specific dates, incidents, or data points	Vague statements such as "performance has been poor" without evidence
2. Improvement Objectives	Specific, measurable, and time-bound objectives that the employee must achieve during the PIP period	SMART objectives; maximum three objectives	Objectives that are unachievable within the PIP period or that address issues outside the employee's role
3. Support and Development Commitments	Specific commitments made by the manager and the organisation to support the employee's improvement	Commitments must be specific (e.g., "weekly 1:1 coaching sessions")	Omitting support commitments, which undermines the fairness of the process
4. Review Timeline and Check-In Schedule	A defined schedule for progress reviews (typically 2–3 check-ins over the PIP period)	Check-ins must be scheduled at the PIP initiation meeting, not left to be arranged later	Failing to conduct scheduled check-ins, which weakens the employee's ability to demonstrate improvement
5. Consequence Statement	A clear, specific statement of what will happen if the improvement objectives are not met	Must be explicit that failure to meet objectives may result in termination of employment	Ambiguous language that does not clearly state the potential outcome
6. Employee Acknowledgement	A record that the PIP was presented to the employee and that they understood its terms	The employee must sign the PIP document; refusal to sign must be noted	Failing to obtain a signature, or allowing the employee to take the PIP away without discussing it

11.4 PIP Review, Outcome, and Post-PIP Management

At each bi-weekly check-in during the PIP period, the manager documents the employee's progress against each improvement objective in HRMS and shares this documentation with the employee at the check-in meeting. Progress documentation must be specific — citing specific observations, outputs, or incidents from the preceding period — not a generic assessment of

whether the employee is improving generally. The check-in documentation creates the contemporaneous record of progress or non-progress that will be essential if the PIP leads to a separation decision and an employment tribunal claim is made.

At the final PIP review, the manager, HRBP, and in some cases the BU Head assess whether the employee has met each improvement objective and whether the overall performance gap has been closed. The PIP has three possible outcomes. A Successful outcome means that the employee has met all improvement objectives and has demonstrated sustained performance at the required standard. The PIP is formally closed with a positive notation, and the employee returns to the standard performance management cycle. A successful PIP outcome does not create a permanent adverse notation on the employee's record, but the PIP history is retained in the confidential HRMS record for seven years.

A Partially Successful outcome means that the employee has met some but not all improvement objectives. The HRBP and manager assess whether the partial improvement is sufficient to close the PIP with a commitment to continued monitoring, or whether a PIP extension of 30 days is appropriate to allow the remaining objectives to be addressed. A PIP may only be extended once; a second extension is not permitted. An Unsuccessful outcome means that the employee has not met the improvement objectives and the performance gap has not been closed. The manager, HRBP, and Legal review the case and make a recommendation on the appropriate next step, which may include a final written warning with a further defined period of monitoring, or a separation process. All separation decisions require HRBP, Legal, and the relevant SVP approval, and follow the disciplinary procedure in the Employee Handbook.

11.5 Employee Rights During a PIP

An employee who is placed on a Performance Improvement Plan retains all of their standard employment rights and is entitled to specific procedural protections throughout the PIP process. These protections are: the right to be informed of the full PIP in writing before it begins, with adequate time to read and consider it; the right to be accompanied at the PIP initiation meeting and all formal PIP review meetings by a colleague of their choice; the right to respond to each component of the PIP document in writing, with their response noted in the official PIP record; the right to access the EAP for confidential support during the PIP period; the right to raise concerns about the fairness of the PIP process through the HRBP or through the formal Tier 2 grievance process; and the right to propose a specific support or training resource that they believe would assist their improvement, which the manager must consider seriously even where they do not ultimately agree to provide it.

A PIP does not affect the employee's salary, benefits, or leave entitlements during the PIP period. Merit increments are paused for the duration of an active PIP — an employee on a PIP at the annual increment date receives no increment until the PIP is formally closed with a

successful or partially successful outcome. Variable pay is not withheld during the PIP period itself, but the performance rating that gave rise to the PIP (typically Rating 1 or 2) determines the variable pay outcome for that performance year per the formula in Section 9.

12. 360-Degree Feedback Programme

12.1 Programme Overview and Scope

The 360-degree feedback programme at Arjun Technologies provides structured, anonymous, multi-source feedback to employees at Band 5 and above on their professional effectiveness, leadership behaviours, and interpersonal impact. The programme collects feedback from the employee themselves (the self-assessment dimension), from their direct reports (the downward dimension), from their peers — colleagues at a similar level with whom they work closely — (the peer dimension), and from their manager (the upward dimension). This multi-perspective view provides a significantly richer and more accurate picture of professional effectiveness than any single-source assessment can achieve, because different stakeholders observe different dimensions of a senior professional's impact and have access to different evidence about their effectiveness.

The programme is currently operated for all employees at Band 5 and above — approximately 280 employees across the five office locations. It was piloted for Band 6 and above employees in FY2021-22 and extended to Band 5 in FY2022-23 following positive feedback from participants about its developmental value. The company's intention is to extend the programme progressively to Band 4 employees as the programme matures and as the facilitated feedback debrief capacity is built. Participation in the 360 programme is mandatory for all eligible employees.

360-degree feedback at this company is a developmental tool, not a performance assessment instrument. This distinction is fundamental to the programme's design and to its effectiveness. The feedback collected through the 360 process is shared exclusively with the participant and their HRBP — it is not shared with the participant's manager, it is not incorporated directly into the annual performance rating, and it is not used in compensation or promotion decisions. This strict developmental confidentiality is what enables honest, specific feedback from peers and direct reports who would not provide candid upward feedback if they believed their responses would be seen by the participant's manager or influence the participant's performance rating. Where 360 feedback reveals a serious and significant concern about a senior employee's leadership behaviour — particularly a concern that may constitute a Code of Conduct issue — the HRBP has the right and obligation to escalate this concern through the appropriate channel, but this is a separate process from the developmental 360 programme itself.

12.2 Process, Raters, and Timeline

The 360-degree feedback cycle runs from January to March each year, with feedback collection in January and February and facilitated debrief sessions in February and March. The participant, with their manager's input, nominates the raters for each dimension of their feedback according to the following standards. Each participant nominates a minimum of five and a maximum of

eight raters in total, distributed across the peer and upward dimensions. The manager dimension is always the participant's direct line manager. The self-assessment dimension is completed by the participant. For the direct report dimension, all direct reports are included — the participant may not select which direct reports provide feedback, as selective inclusion would bias the downward feedback.

Feedback Dimension	Who Provides It	Number of Raters	Anonymity	Minimum Response Rate
Self	The participant themselves	1 (mandatory)	Not applicable	Always included
Manager	The direct line manager	1 (mandatory)	Not anonymous — manager feedback is clearly attributed	Always included
Direct Reports	All direct reports of the participant	All direct reports — typically 3–8	Anonymous — results reported as a group, individual responses not identifiable	Minimum 3 responses required for results to be released
Peers	Colleagues at a similar level with whom the participant works regularly	Minimum 4, maximum 6	Anonymous — results reported as a group	Minimum 3 responses required for results to be released
Skip-Level (Band 7+ only)	A senior leader above the participant's direct manager, selected by the HRBP	1–2, selected by the HRBP	Not anonymous — attributed	Always included if the rater has responded

12.3 Feedback Questions and Competency Areas

The 360 questionnaire covers five competency areas that are particularly relevant to senior professional effectiveness: Strategic Thinking and Direction Setting; Results and Delivery Leadership; People Leadership and Development; Stakeholder Management and Influence; and Values and Professional Conduct. Each competency area contains six to eight behavioural statements rated on a five-point frequency scale (Never, Rarely, Sometimes, Usually, Always) and one open-text field inviting specific examples or observations. The questionnaire is completed in the company's 360 feedback platform and takes approximately 20-25 minutes for each rater to complete.

Competency Area	Sample Behavioural Statement	What It Assesses
Strategic Thinking and Direction Setting	This person helps the team understand how their work connects to the company's broader strategic context	Whether the rater sees the participant as operating with a clear strategic perspective
Results and Delivery Leadership	This person holds themselves and their team accountable for delivering to commitments and standards	Whether the rater experiences the participant as reliable and results-oriented
People Leadership and Development	This person provides feedback that helps me understand specifically how I can improve my performance	Whether the rater receives developmental input from the participant
Stakeholder Management and Influence	This person builds and maintains trust with senior stakeholders effectively	Whether the rater observes the participant navigating complex relationships well
Values and Professional Conduct	This person consistently models the company's values in their day-to-day behaviour	Whether the rater sees the participant as trustworthy, ethical, and dependable

12.4 Debrief Process and Development Planning

Every participant receives a facilitated 60-minute feedback debrief session with their HRBP within three weeks of their 360 report being finalised. The debrief session is confidential and the HRMS record of the session is not accessible to the participant's manager. The HRBP presents the report, helps the participant interpret patterns in the data, identifies the key themes — both strengths and development areas — that emerge from across the different rater groups, and facilitates a conversation about what the feedback means in the context of the participant's career aspirations and development priorities.

The output of the debrief session is a 360 Development Action Plan, created by the participant with the HRBP's facilitation, that identifies two to three specific development priorities based on the 360 feedback, the specific actions the participant will take to address each priority in the coming six months, and any support or resources the company will provide. The action plan is stored in the HRMS system accessible only to the participant and their HRBP. Progress against the action plan is reviewed in a follow-up 30-minute session with the HRBP at the six-month mark. The participant is encouraged to share the key themes from their 360 feedback — if not the full report — with their direct reports and peers who provided feedback, as an expression of the Accountability value and as a demonstration that feedback is taken seriously at senior levels.

The most common experience of 360 participants at this company is that the feedback confirms some areas they expected but also reveals specific patterns — particularly in the direct report dimension — that they had not previously been clearly aware of. The most valuable development outcomes from 360 programmes come not from confirming what participants already knew about themselves but from surfacing the specific gaps between how they believe they are experienced by others and how they are actually experienced — particularly by more junior colleagues who have limited safe channels for communicating honest upward feedback through normal management processes.

Segment 2 Summary and Index to Segment 3

Segment 2 of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework is now complete. It has covered the five sections that connect performance assessment outcomes to their direct consequences for individual employees. Section 8 established the merit increment philosophy and the complete merit matrix by band position and rating, including the worked calculation methodology, the increment communication and timing process, and the three categories of exception — promotions, market adjustments, and exceptional performer retention allowances. Section 9 provided the complete variable pay framework — the two-factor structure of Company Performance Factor and Individual Performance Multiplier, the target variable pay by band table, the CPF determination methodology with the seven-tier target achievement table, the IPM by rating table with rationale, eight worked calculation examples, and the eligibility, proration, and payment timing provisions.

Section 10 covered the promotion framework in full — the philosophy distinguishing promotion from performance reward, the five-criteria eligibility framework, the next-level readiness evidence requirement with four band-transition examples, the promotion compensation treatment table with band-specific increment ranges and positioning targets, and the off-cycle promotion process and approval requirements. Section 11 described the Performance Improvement Plan in detail — the genuine improvement philosophy, the initiation triggers and pre-PIP requirements, the six-component PIP structure with a full table covering each component's quality standard and common error, the three PIP outcomes and post-PIP management, and the employee rights throughout the process. Section 12 introduced the 360-degree feedback programme — scope and coverage, the five rater dimensions with anonymity standards, the competency areas and sample questionnaire items, and the debrief and development planning process.

Segment	Sections	Topics	Pages	Status
Segment 1	1–7	Governance · OKR Methodology · Annual Cycle · Rating Framework · Feedback Standards · Documentation ·	1–50	Published April 2024
Segment 2 — This Document	8–12	Merit Increments · Variable Pay · Promotions · Performance Improvement Plans · 360-Degree Feedback	51–100	Published April 2024
Segment 3	13–16 + Appendices A–H	Learning and Development · Internal Mobility · Manager Conversation Guides · Forms · Competency Framework	101–150	Published April 2024

All segments on HRMS portal under Policies and Documents. For queries contact your HR Business Partner or hr@arjuntech.in. Document reference: HR-PMP-001-v4.1.

Arjun Technologies Pvt. Ltd.

Bengaluru, Karnataka — 560 001

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PERFORMANCE MANAGEMENT POLICY AND PROCEDURES FRAMEWORK

Segment 3 of 3 — Learning and Development · Internal Mobility · Manager Conversation Guide · Policy Governance · Appendices A–H

Version	4.1	**Effective Date**	01 April 2024
Review Date	31 March 2025	**Classification**	Internal Use Only
Approved By	Mr. Rajesh Arjun	**Document Owner**	Ms. Priya Menon
Legal Review	Mr. Sandeep Iyer	**Department**	Human Resources & Legal
Doc Reference	HR-PMP-001-v4.1	**Finance Liaison**	Ms. Lakshmi Rajan
Segment	3 of 3 (Pages 101–150)	**Total Segments**	3

This is Segment 3 — the concluding segment — of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework, Version 4.1. It covers the integration of learning and development with performance management, the internal mobility and career development framework, the Manager Conversation Guide for all categories of performance discussion, and the policy governance and compliance provisions. It also contains the complete suite of eight appendices: the Annual Performance Management Calendar (A), the Competency Framework by Band (B), the OKR Writing Guide (C), the Annual Performance Review Form HR-015 (D), the Performance Improvement Plan Form HR-020 (E), the Promotion Recommendation Form HR-025 (F), the 360-Degree Feedback Development Action Plan HR-030 (G), and the HRMS Performance Management Module Manager Quick Reference (H). This segment must be read alongside Segment 1 (governance, OKR methodology, annual cycle, rating framework) and Segment 2 (merit increments, variable pay, promotions, PIPs, 360-degree feedback). For queries contact the HR Business Partner or hr@arjuntech.in.

Revision History

The table below records the version history of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework since its first publication. Every revision has been approved by the Chief Executive Officer and reviewed by the Chief Financial Officer, the General Counsel, and the Vice President of Human Resources before taking effect. Employees must ensure they are reading the current version at all times. The current version is published on the HRMS portal under Policies and Documents and is distributed to all affected employees by email notification whenever a material change is made. The version number and effective date on the cover page of each segment are the definitive indicators of currency.

Version	Date	Summary of Material Changes	Approved By
1.0	Apr 2009	Initial publication. Core performance standards, annual review cycle, basic rating framework (3-point scale), and probationary review provisions.	CEO
1.1	Sep 2010	Rating scale expanded from 3-point to 5-point. Merit increment matrix introduced. Variable pay framework added for Band 4 and above.	CEO
1.2	Mar 2012	OKR methodology formally introduced replacing KRA/KPI framework. Goal-setting provisions substantially expanded.	CEO
1.3	Nov 2013	Variable pay extended to Bands 1–3. Company Performance Factor calculation formalised. Worked calculation examples added.	CEO
1.4	Jun 2015	Performance Improvement Plan framework formalised with six-component structure. Pre-PIP requirements introduced. Employee rights during PIP section added.	CEO
2.0	Jan 2017	Full rewrite. Band structure expanded from 6 to 8 bands. Promotion framework comprehensively revised with next-level readiness evidence standard. Competency framework introduced.	CEO
2.1	Aug 2018	360-degree feedback programme introduced for Band 6 and above. Developmental confidentiality provisions for 360 programme added. HRMS integration guidance added.	CEO
2.2	Apr 2019	360 programme extended to Band 5. Talent Review and succession planning provisions added. Internal mobility framework formalised.	CEO
3.0	Apr 2020	Major revision. Hybrid working provisions added. Remote performance management guidance incorporated. Digital check-in and asynchronous feedback standards added.	CEO
3.1	Oct 2021	Learning and Development integration section added. Individual Development Plan standards formalised. Annual learning budget provisions and eligible expenditure guidance added.	CEO
3.2	Mar 2022	Learning pathways by band and role family added. Manager Conversation Guide introduced as formal policy section. Bias prevention provisions and Calibration Integrity Analysis added.	CEO
4.0	Apr 2023	Full rewrite. Career development conversation obligations formalised. Internal job posting eligibility criteria revised. Compensation matrix ranges updated. Variable pay CPF calculation table revised.	CEO
4.1	Apr 2024	Legal compliance section updated to reflect Bharatiya Nyaya Sanhita 2023. DPDP Act 2023 references added where applicable. Merit matrix ranges revised. Learning budget increased from ■20,000 to ■25,000. Manager compliance monitoring table added.	CEO

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Appendix H — HRMS Performance Management Module — Manager Quick Reference

Segments 1 and 2 are published separately. The complete cross-reference index of all standalone policies mapped to Code of Conduct and Performance Management Policy sections is available in Appendix J of the Code of Conduct (HR-COC-001-v2.4). All four segments of the Performance Management Policy are available on the HRMS portal under Policies and Documents.

13. Learning and Development Integration with Performance Management

13.1 The Role of Learning and Development in Performance Outcomes

The performance management framework at Arjun Technologies is not a system for measuring and rewarding performance that exists in a fixed state — it is a dynamic system designed to continuously raise the level of performance across the organisation by identifying gaps, setting development objectives, providing support, and creating clear pathways for growth. Learning and Development is the primary instrument through which the framework translates identified performance gaps into improved capability. A performance management system that identifies gaps without providing a structured mechanism for addressing them is a diagnostic instrument without a treatment pathway — it produces information but does not produce improvement. The integration of L&D; with performance management is therefore not incidental to the framework's design; it is central to its effectiveness and to the organisation's ability to sustain high performance over time.

The relationship between performance management and L&D; operates in two directions. In the forward direction, the performance assessment process generates specific, documented development needs — skill gaps identified in the OKR review, competency areas rated below the required standard in the annual assessment, feedback from the 360-degree programme identifying leadership behaviours that require strengthening, and capabilities required at the next band level that the employee has not yet fully demonstrated. These identified needs flow into the Individual Development Plan and are addressed through the annual learning budget, structured learning programmes, mentoring, and stretch assignments. In the reverse direction, the outcomes of L&D; investment — whether a skill has been acquired, whether a development objective has been met, whether a learning investment has translated into changed behaviour and improved performance — are assessed in the following year's performance review, creating a feedback loop that connects investment to impact and holds both the employee and the organisation accountable for the quality of that connection.

Managers at Arjun Technologies have a specific and non-delegable responsibility for the development of their direct reports. This responsibility is assessed as part of the manager's own annual performance evaluation through the People Leadership and Development competency domain. A manager who consistently fails to identify development needs, fails to support employees in accessing available learning opportunities, or fails to create stretch assignments that enable employees on a promotion track to produce the next-level evidence their progression requires is not meeting the standard for their role regardless of the commercial or operational results they achieve. Development of people is not an optional management activity at this company — it is a core management obligation that is measured, assessed, and consequential.

13.2 Individual Development Plans — Structure and Annual Process

Every employee at Arjun Technologies has an Individual Development Plan as a formal component of their performance management record. The IDP is created or updated during the annual review conversation in April and captures the specific development priorities, learning objectives, and planned activities for the coming performance year. It is a living document — reviewed and updated at mid-year check-ins and at any point in the year when a significant change in the employee's role or performance creates a need to adjust priorities. The IDP is maintained in the HRMS system and is accessible to the employee and their line manager. The HRBP has read access for the purpose of monitoring the quality of development planning across their business unit population.

A well-constructed Individual Development Plan has four components. The first component is the Development Priorities section, which identifies two to four specific areas — skills, knowledge, behaviours, or capabilities — that are prioritised for development in the coming year. Development priorities must be derived from specific evidence: from the annual performance assessment findings, from the 360-degree feedback report for eligible employees, from the gap between current performance and the next-band standard for employees on a promotion track, or from specific changes in the employee's role that require new capabilities. Development priorities that are generic or unconnected to specific evidence do not serve the purpose of the IDP.

The second component is the Learning Objectives section, which translates each development priority into specific, measurable objectives: what the employee will be able to do, know, or demonstrate at the end of the development period that they cannot currently do, know, or demonstrate. The third component is the Learning Activities section, which describes the specific activities through which each learning objective will be pursued — a named training programme, a structured mentoring relationship with a named mentor, a specific stretch assignment or project role, participation in a professional community or working group, or a self-directed learning programme with defined deliverables. Each activity should have a target completion date. The fourth component is the Success Indicators section, which describes how the achievement of each learning objective will be assessed and who will assess it. Success indicators create accountability for the development investment and provide the basis for the mid-year and year-end IDP review conversations.

IDP Component	Required Content	Common Deficiency to Avoid	Assessment Point
Development Priorities	2–4 specific areas linked to evidence from annual review, 360 feedback, or next-band standard	Generic statements ('improve communication skills') not linked to specific evidence	Annual review conversation — confirmed by HRBP
Learning Objectives	Specific, measurable outcomes per priority. What will the employee be able to do differently on completion?	Objectives stated as activities ('attend training') rather than outcomes ('will be able to independently conduct...')	Mid-year IDP check-in
Learning Activities	Named programmes, mentors, assignments, or activities with target dates per objective. Budget allocation noted.	Activities listed without target dates or budget confirmation	Mid-year and year-end IDP review
Success Indicators	Observable evidence of achievement — output, behaviour, or assessed competency per objective	No indicators specified, making assessment at year-end subjective and contestable	Year-end performance review

13.3 The Annual Learning Budget — Allocation, Usage, and Accountability

Arjun Technologies provides every employee with an annual learning and development budget of ■25,000 to invest in professional development activities directly relevant to their current role and their documented development priorities. This budget is one of the most tangible expressions of the company's investment in its people and is provided as a direct financial resource that employees can apply to their individual development needs rather than only to company-designed training programmes. The budget is available from 01 April and must be committed by 28 February of the same financial year; uncommitted budget does not carry forward to the following year and is returned to the central L&D; budget for reallocation to firm-wide programmes.

Eligible expenditures from the learning budget include: professional certification fees and examination costs for relevant industry certifications; online learning platform subscriptions and course fees; registration fees for professional conferences where the employee will attend as a delegate rather than as a speaker (speaker travel is funded separately); books, technical reference materials, and professional publications directly relevant to the role; and fees for professional association membership where the membership provides structured professional development content. Travel and accommodation costs for learning activities are funded separately under the Travel and Expense Policy where the activity has been approved by the line manager and HRBP. The learning budget is not available for personal development activities without a clear professional application, for general software or tools not directly related to the employee's role, or for activities that duplicate mandatory training already provided by the company.

Expense Category	Eligible from Learning Budget	Additional Approval Required	Claim Process
Professional certifications	Yes — exam fees, prep materials, official study guides	Manager approval for budget allocation in IDP	Submit receipts through HRMS Expense → L&D; Category
Online courses and platforms	Yes — Coursera, LinkedIn Learning, Udemy, Pluralsight, and similar platforms	Manager approval at IDP creation	Annual subscription: submit in April. Individual courses: submit within 30 days
Conference attendance (delegate)	Yes — registration fee only	Manager + HRBP approval for external conferences above ■8,000	Registration invoice through HRMS L&D; claim
Professional books and publications	Yes — up to ■3,000 per title or subscription	None for individual titles under ■3,000	Receipt through HRMS within 30 days of purchase
Professional association membership	Yes — where CPD content is provided	Manager approval confirming professional relevance	Annual membership invoice through HRMS L&D; claim
Conference travel and accommodation	No — funded separately under T&E; Policy	Manager + HRBP + SVP approval for international	Travel approval through HRMS Travel module
Personal coaching or mentoring fees	Partially — up to ■8,000 per year with documentation	HRBP approval confirming coaching plan and objectives	Invoice through HRMS L&D; claim with coaching plan attached

Managers at Band 5 and above have an additional team L&D; budget, separate from individual employee budgets, for team-wide development activities — internal workshops, team technical sessions delivered by external experts, or group enrolment in a learning programme that would benefit the entire team. The team L&D; budget is ■15,000 per direct report per year and is managed at the manager's discretion with HRBP visibility. Managers are assessed annually on the utilisation rate of both their individual employee L&D; budgets and the team budget — consistent under-utilisation is itself a performance indicator for the People Leadership competency.

13.4 Mandatory Training and Compliance Learning Requirements

In addition to the individually driven learning budget and IDP process, every employee at Arjun Technologies is required to complete a suite of mandatory training modules each year as a condition of employment. Mandatory training completion is tracked through the HRMS learning management system, and non-completion by the published deadline is escalated to the employee's manager and HRBP. Persistent non-completion of mandatory training constitutes a conduct issue under the Code of Conduct and may result in formal disciplinary action. Completion of mandatory training is a prerequisite for finalisation of the annual performance review — HRMS blocks the performance rating submission for any employee with outstanding mandatory training overdue by more than 30 days.

Module	Frequency	Audience	Completion Deadline	Non-Completion Consequence
SEC-101 Annual Ethics Refresher	Annual	All employees	31 January	Escalated to HRBP; withheld from increment cycle if overdue at March close
POSH Awareness Refresher	Annual	All employees	31 May	Formal conduct note; mandatory before participating in any interview panel
Anti-Bribery and Anti-Corruption Refresher	Annual	All client-facing and procurement staff	31 August	Removed from client-facing responsibilities pending completion
Information Security Awareness	Annual	All employees	30 September	System access flagged for review; escalated to IT Security and HRBP
Data Privacy — DPDP Act	Annual	All employees handling personal data	31 October	Access to personal data systems reviewed pending completion
Insider Trading Awareness	Annual	All employees with MNPI exposure	30 September	Trading pre-clearance suspended pending completion

Module	Frequency	Audience	Completion Deadline	Non-Completion Consequence
Fire Safety and Emergency Procedures	Annual	All office-based employees	Varies by office — Q1 of each year	Excluded from office access pending completion at manager's discretion
Performance Management Framework Refresher	Annual (on material policy update)	All managers Band 3+	30 April (year of update)	PIP initiation authority suspended pending completion

13.5 Learning Pathways by Band and Role Family

The company's L&D; function maintains a curated set of recommended learning pathways for each combination of band level and role family — Engineering, Data and Analytics, Consulting, Sales and Account Management, Finance, HR, and Operations. A learning pathway is a structured sequence of development activities — internal programmes, endorsed external certifications, recommended reading, and stretch assignment types — that represents the company's assessment of the development investment most likely to accelerate progression from the current band to the next. Learning pathways are published on the HRMS portal under L&D; Resources and are reviewed and updated annually by the L&D; function in collaboration with the relevant practice leads. They are recommendations rather than requirements — the IDP provides the mechanism for individual customisation based on specific development needs — but they are a useful starting point for employees and managers constructing a development plan for a new performance year.

Band	Engineering Path	Data & Analytics Path	Consulting / Client-Facing Path	Management Track (Band 3+)
Band 1–2	Cloud fundamentals certification (AWS/Azure/GCP Associate). Language proficiency (Python, Java, Go). Version control and CI/CD practices. Code review participation.	SQL proficiency certification. Data wrangling tools (Pandas, Spark basics). Statistics fundamentals. Business intelligence tools.	Business communication and professional writing. Client-ready presentation skills. Industry vertical orientation programme.	Not applicable at Band 1–2
Band 3	Specialist certification in primary cloud or technology domain. System design fundamentals. Security awareness — developer track. Architecture review participation.	ML fundamentals certification. Data visualisation (Tableau/Power BI). Statistical inference and modelling. Experiment design.	Structured problem-solving methodology. Proposal writing and commercial awareness. Client facilitation skills. Industry regulation basics.	Introduction to People Management (if on management track). Coaching fundamentals. Feedback and difficult conversations workshop.
Band 4–5	Architect-level certification. Technical leadership programme. Security architecture. Open source contribution or technical publication.	ML engineering and MLOps. Advanced statistical modelling. Ethics in AI and data. Business case for analytics investment.	Executive communication and influence. Commercial negotiation skills. Client relationship development programme. Industry-specific expert track.	Advanced People Management Programme. Performance management skills certification. HR partnership and employment law basics. Leading teams through change.
Band 6+	Distinguished engineer programme (internal + external visibility). Board-level technology advisory skills. P&L; management basics.	Chief Data Officer track. Research leadership. External advisory and standards participation.	Client C-suite engagement. Commercial strategy and M&A; basics. Executive coaching (externally funded separately).	Senior leadership programme. Talent strategy. Organisational design. Board governance fundamentals.

14. Internal Mobility and Career Development

14.1 Internal Mobility as a Strategic Talent Management Tool

Internal mobility — the movement of employees between roles, teams, projects, offices, and functions within Arjun Technologies — is a strategic priority of the talent management framework, not a secondary option considered only when external recruitment has failed. The company employs over 4,200 professionals with diverse skills, experiences, and career aspirations, and the ability to direct this talent toward where it is most needed — and to satisfy employees' career development needs without requiring them to leave the organisation to find new challenges — is a significant competitive and retention advantage. An organisation that manages internal mobility well retains institutional knowledge, reduces recruitment costs, develops broader internal capability, and creates visible career development paths that improve engagement and reduce voluntary turnover. An organisation that ignores internal mobility or manages it poorly — through informal processes that favour well-connected employees, through managers who resist releasing talent, or through systems that make internal applications more difficult than external job searches — progressively loses talent it could have retained.

The company's internal mobility framework operates through three channels. The first and most common channel is the Internal Job Posting process, through which vacancies at Bands 1 to 6 are advertised internally before or alongside external recruitment. The second channel is the Talent Review process, through which the annual assessment of the talent pipeline allows the HR function and senior leadership to proactively match high-potential employees with development roles and succession opportunities that may not yet be formally advertised. The third channel is the Career Development Conversation, through which individual managers engage with their direct reports on career aspirations and help identify internal opportunities — lateral or promotional — that align with those aspirations. All three channels are governed by the standards in this section and are subject to the fairness and non-discrimination obligations of the Code of Conduct.

14.2 The Internal Job Posting Process — Eligibility and Procedure

All permanent vacancies at Bands 1 to 6 are posted on the Internal Talent Board on the HRMS portal for a minimum of seven calendar days before the role is opened to external applicants. For Band 7 and above, internal mobility is managed through the Talent Review and succession planning process rather than through open posting, given the limited number of roles at this level and the complexity of the succession considerations involved. The Internal Talent Board is accessible to all permanent employees and displays the role title, band, location, business unit, key responsibilities, and required qualifications for each vacancy. Employees who wish to apply for an internal vacancy must meet the following minimum eligibility criteria before submitting an application.

Eligibility Criterion	Standard	Exception Process
Minimum tenure in current role	12 months in current role before applying for any internal vacancy	HRBP and current manager approval for exceptions where the business case for early release is compelling. Exceptions documented and tracked.
Performance standing	No active PIP at the time of application. Minimum Rating 3 in the most recent completed annual performance review.	No exceptions to the active PIP requirement. Rating 2 with documented improvement trajectory may be considered with VP-HR approval.
Manager notification	Employee must inform their current line manager before submitting an application, as a professional courtesy. Manager consent is not required.	Where the current manager is the subject of a POSH complaint or a formal grievance by the employee, the HRBP manages the notification process confidentially.

Eligibility Criterion	Standard	Exception Process
Notice period obligation	Successful internal candidates must complete their notice obligation to the current team — typically 30–60 days — before commencing the new role, unless the business units agree a shorter transition.	Transition timelines may be extended by mutual agreement where a specific critical delivery milestone in the current team makes earlier release impractical.
No competing applications	Employees may apply for a maximum of two internal vacancies simultaneously. Where more than two active applications exist, the employee must withdraw to the two-vacancy limit.	VP-HR discretion in exceptional circumstances.

Managers are explicitly prohibited from blocking or discouraging an employee's internal mobility application through any means — including refusing to provide a reference, communicating negatively about the employee to the recruiting manager informally, or altering the employee's work assignments or performance assessments in response to their expression of interest in an internal move. Blocking behaviour of this kind is a violation of the Code of Conduct and will be treated as a conduct matter. The company's talent belongs to the organisation as a whole, not to any individual manager, and managers who hoard talent by blocking internal movement damage both the employee's career and the organisation's ability to deploy capability where it creates the greatest value.

The internal application process mirrors the external recruitment process in its rigour — internal candidates are not guaranteed the role and are assessed against the same role requirements on the same criteria as external candidates. The advantage of internal candidacy is access to early information through the Internal Talent Board, an existing employment relationship that gives the hiring manager access to performance data and manager references, and the reduced onboarding friction of a candidate who already knows the company's culture, systems, and clients. Internal candidates who are not selected for a role they applied for are entitled to a debrief conversation with the hiring manager or HRBP to understand the basis for the decision and the development areas that would strengthen their candidacy for future opportunities.

14.3 Annual Talent Review and Succession Planning

The Annual Talent Review is a governance process, conducted in May of each year after the annual performance ratings are finalised, through which senior leadership and the HR function assess the company's talent pipeline, identify high-potential employees, review succession readiness for critical roles, and make proactive development and mobility decisions. The Talent Review is not a replacement for the individual performance management process — it is a complementary strategic exercise that views the talent picture at the organisational level rather than the individual level, and that enables the company to make deliberate investments in the development and retention of its highest-potential employees before those employees become flight risks or before succession gaps become vacancies.

Every business unit conducts a Talent Review facilitated by the HRBP and attended by the BU Head and all Band 5 and above managers in the unit. The review uses a two-dimensional assessment framework — Performance (the employee's annual rating on the standard five-point scale) and Potential (an assessment of the employee's likely trajectory and ceiling, assessed on a three-point scale: Grow in Role, Grow to Next Level, and High Potential / Breakout) — to position each Band 3 and above employee in the Talent Review matrix. The matrix produces a set of talent categories, each with a corresponding development and retention priority, that guide the company's investment decisions for the following year.

	Grow in Role (Potential)	Grow to Next Level (Potential)	High Potential / Breakout (Potential)
Rating 5 — Exceptional	Strong Contributor. Invest in role enrichment. Succession candidate for current-level critical roles.	Emerging Leader. Accelerated development programme. Promotion track. Retention priority.	Star. Immediate succession candidate. Significant development investment. CEO visibility. Highest retention priority.

	Grow in Role (Potential)	Grow to Next Level (Potential)	High Potential / Breakout (Potential)
Rating 4 — Exceeds Expectations	Reliable Performer. Maintain engagement. IDP focused on depth in current role. Monitor flight risk.	Key Talent. Active promotion track. Stretch assignments. HRBP quarterly check-in.	Rising Star. Fast-track development. Cross-functional exposure. Sponsor relationship. Retention watch.
Rating 3 — Meets Expectations	Core Employee. Standard development. Focus on sustained performance. IDP as usual.	Developing Talent. Coaching focus. Identify development blockers. HRBP involvement in IDP.	Potential Unconfirmed. Observe for 6 months. Provide challenge and assess response before reclassifying.
Rating 2 — Needs Improvement	Performance Risk. PIP active or imminent. Development secondary to performance stabilisation.	Performance and Fit Review. Assess whether role mismatch is contributing to underperformance. Consider internal transfer before PIP.	Rating-Potential Mismatch. Urgent management attention. May indicate management or environment issue. HRBP escalation.

14.4 Lateral Moves, Role Changes, and Career Pivots

Internal mobility at Arjun Technologies is not limited to vertical progression — it encompasses lateral moves between functions, role changes within the same band that broaden the employee's experience, and career pivots from one professional domain to another. Lateral moves are often more valuable for an employee's long-term development than a premature upward move, because they build the breadth of experience that characterises genuinely effective senior professionals and provides the contextual intelligence that technical depth alone cannot supply. An engineer who has spent two years in a client-facing consulting role develops client management and commercial skills that make them a significantly more effective technical leader than an engineer who has remained in a delivery-focused technical role for the same period.

Lateral moves follow the same Internal Job Posting eligibility criteria as promotional moves. Where a lateral move involves a significant change of domain — from engineering to consulting, from technical delivery to sales support, or from one industry vertical to another — the hiring manager and the employee agree a structured transition plan that covers the specific domain knowledge and skills the employee will need to acquire to be effective in the new context, the timeline for acquiring them, and the performance expectations during the transition period. A lateral mover is not assessed against the full performance standard for the new role in their first year — they are assessed against an agreed ramp-up plan that acknowledges the learning curve inherent in a significant domain change, typically over a six-month transition period negotiated with the HRBP.

14.5 Career Development Conversations — The Manager's Obligation

Every manager at Arjun Technologies is required to have at least two structured career development conversations with each direct report each year — one in April as part of the annual review process and one at the mid-year check-in. A career development conversation is distinct from a performance review conversation: where the performance review focuses on what the employee has done and how well they have done it, the career development conversation focuses on where the employee wants to go and how the company can support them in getting there. The two conversations complement each other — performance data informs the career conversation by identifying the development priorities the employee needs to address, and the career conversation informs the performance framework by connecting individual goals to individual aspirations in a way that sustains motivation and commitment.

A career development conversation that meets the standard expected at this company addresses four questions in a genuine and unhurried discussion. The first is the aspiration question: where does the employee want to be in their career in the next two to three years, and what kind of work would they find most meaningful and energising? The second is the reality question: given the employee's current performance level, development areas, and the talent landscape of the organisation, what is a realistic assessment of the timeline and pathway to their stated aspiration? The third is the gap question: what specific skills, experiences, or demonstrations are needed between the employee's current position and their aspiration, and which of these gaps is most important to address first? The fourth is the support question: what can the manager and the company do — through the IDP, the learning budget, stretch

assignments, mentoring, or internal mobility — to actively support the employee's progress toward their aspiration?

15. Manager Conversation Guide — Conducting Effective Performance Discussions

15.1 Why Performance Conversations Are the Foundation of the Framework

The most sophisticated goal-setting methodology, the most carefully designed rating scale, the most analytically rigorous compensation matrix, and the most comprehensive policy documentation are all rendered significantly less effective if the human conversations that connect the framework to the individual employee's experience are handled poorly. Performance management at Arjun Technologies is not fundamentally a system of forms, processes, and HRMS workflows — it is a series of human conversations between managers and employees in which expectations are set, progress is assessed, feedback is exchanged, development is planned, and career aspirations are explored and supported. The forms and processes exist to ensure consistency and documentation; the conversations are what create the quality of the manager-employee relationship that determines whether the framework produces genuine performance improvement or merely compliance with a procedural requirement.

The quality of performance conversations varies enormously across the organisation, and this variation is one of the most significant sources of inconsistency in the framework's outcomes. A manager who is skilled at performance conversations — who can deliver difficult feedback with clarity and compassion, who can set stretching but realistic goals in a way that creates commitment rather than resentment, who can conduct a PIP initiation conversation that leaves the employee feeling genuinely supported rather than managed out — creates fundamentally different outcomes than a manager who avoids difficult conversations, communicates performance concerns vaguely, or conducts the annual review as a box-ticking exercise. This section of the policy provides practical guidance for managers on each category of performance conversation, with specific structure, common errors to avoid, and worked guidance on the most frequently encountered difficult scenarios.

15.2 The Annual Review Conversation — Structure, Tone, and Common Errors

The annual performance review conversation takes place in April, after the performance rating has been finalised in the calibration session and before the increment letter is issued. The conversation has a defined structure that ensures all material elements are covered in a consistent and complete manner. The recommended duration is 60 minutes for a Rating 3 or above review and 90 minutes where the rating is Rating 2 or below. The conversation should take place in a private meeting room — not in an open-plan area, not over video call in a shared workspace, and not in a restaurant or social setting. The manager should ensure they have reviewed the employee's full performance documentation before the meeting and are prepared to discuss specific examples for every significant element of the assessment.

Phase	Duration	Content	Common Manager Error
Opening — Setting the Tone	5 min	Acknowledge the employee's effort over the past year. Set the agenda. Confirm the format: you will share your assessment, invite their response, and then discuss development and the year ahead.	Starting with the rating number before establishing context. Treating the meeting as a formality rather than a genuine professional conversation.
Performance Assessment — Delivery	20 min	Share the rating with the supporting evidence. Work through each competency domain in turn. Use specific examples for both strengths and development areas. Be direct and clear — avoid hedging language that obscures the message.	Spending too long on positives to soften the impact of a below-expectation rating. Using vague language ('some concerns about impact') that the employee cannot act on.
Employee Response — Active Listening	10 min	Invite the employee's response to the assessment. Listen genuinely — do not immediately counter every point of disagreement. Note areas of disagreement and how they will be addressed. Acknowledge valid points that you had not fully considered.	Treating the response phase as a perfunctory pause before moving on. Becoming defensive when the employee disagrees with the assessment.

Phase	Duration	Content	Common Manager Error
Development Planning — IDP	15 min	Review last year's IDP progress. Identify two to four development priorities for the coming year linked to specific evidence from the assessment. Discuss learning activities, budget allocation, and stretch assignment opportunities.	Producing a generic IDP that is not connected to the specific evidence from the assessment. Committing to development activities the manager cannot actually deliver.
Career Development — Year Ahead	10 min	Career aspirations, promotion track status if applicable, internal mobility interests, and how the coming year's plan connects to longer-term goals. See Section 15.5 for full career development conversation guidance.	Promising a promotion timeline the manager is not authorised to confirm. Avoiding the career topic entirely to prevent having a conversation about aspirations the company cannot currently fulfil.
Closing — Commitments	5 min	Summarise the key points: the rating, the main feedback, the development priorities, any commitments made by manager or employee. Confirm that the HRMS documentation will be updated. Provide the increment detail if the increment letter has been issued.	Closing without clear, recorded commitments. Leaving disagreements unresolved and undocumented.

15.3 Delivering Difficult Feedback — Principles and Practice

Delivering feedback that is critical of an employee's performance, behaviour, or professional effectiveness is one of the most consistently avoided management obligations in professional organisations. The avoidance is understandable — difficult feedback risks damaging the relationship, triggering a defensive or emotional response, and creating an uncomfortable interaction that the manager must then navigate. But the cost of avoidance is significantly higher than the cost of delivering the feedback well. An employee who never receives clear feedback that their performance is below standard cannot make an informed choice about whether and how to address it. A performance issue that is never clearly communicated cannot be formally addressed — and where formal action eventually becomes necessary after years of vague or avoided feedback, the fairness of that action is rightly questioned. The obligation to deliver difficult feedback is not merely an obligation to the organisation and to the performance management system — it is an obligation to the employee whose career and professional development depends on honest, actionable information.

The following principles govern the delivery of difficult feedback at Arjun Technologies. First, specificity: feedback must describe specific observable behaviours or outputs, not personality traits or general impressions. 'The client escalation report contained three factual errors that required correction before submission' is specific feedback. 'You are careless with your work' is not — it is a character assessment that the employee cannot act on and that is likely to be experienced as an attack rather than professional guidance. Second, evidence: every critical feedback point must be supported by a specific example that the manager can describe in detail. Feedback that the employee cannot verify against their recollection of specific events is not actionable feedback — it is an assertion. Third, impact: the feedback should describe the impact of the behaviour or output gap on the team, the client, the project, or the company's standard of service. Impact framing helps the employee understand why the feedback matters, not just what the concern is. Fourth, forward-looking clarity: the feedback should make clear what the required standard looks like and what specific change in behaviour or output would address the concern. Critical feedback without a clear improvement direction leaves the employee demoralized without a productive path forward.

15.4 The Underperformance Conversation — Before and During a PIP

The Performance Improvement Plan process described in Section 11 of Segment 2 is preceded by a period of informal feedback and coaching that is the manager's first and most important opportunity to address underperformance. The quality of this pre-PIP period determines whether the formal PIP process — if it becomes necessary — is legally robust, ethically defensible, and genuinely fair to the employee. A manager who initiates a PIP without having first had clear, documented conversations with the employee about the performance concerns has not met the pre-PIP

requirements of this policy and has not given the employee a fair opportunity to improve before formal consequences are invoked.

Conversation Type	When to Have It	What to Cover	Documentation Required
Informal Performance Concern Discussion	As soon as a specific, recurring performance concern is identified — not at the year-end review	Specific observations. Required standard. Impact. Initial support offered. Expectation of improvement within a defined period (typically 30 days).	Manager's written note to HRMS HR Notes within 24 hours. Copy to employee by email.
Follow-Up Progress Check	At the agreed review point (typically 30 days after initial discussion)	Progress assessment against the specific concern. Acknowledge improvement where genuine. Document continued concern clearly if improvement insufficient.	Updated HRMS note. Shared with employee in the meeting.
Pre-PIP Escalation Conversation	When the informal period has not produced sufficient improvement — before initiating the formal PIP	Clear statement that performance remains below standard. Explanation that the next step is a formal PIP. HRBP introduced or involvement confirmed. Employee given opportunity to respond.	HRMS note. HRBP cc'd. Employee acknowledgement of conversation confirmed in writing.
PIP Initiation Meeting	Within 5 working days of HRBP approving PIP initiation	Full six-component PIP presented. Each component explained. Employee given 30 minutes minimum to review. Right to be accompanied confirmed. Copy provided immediately.	Signed PIP Form HR-020 uploaded to HRMS. HRBP notified of completion.
Bi-Weekly PIP Check-in	Every two weeks during the PIP period	Progress against each specific improvement objective. Specific observations — positive and negative — from the preceding period. Support delivery confirmed.	Documented PIP Progress Record in HRMS within 24 hours of each check-in. Shared with employee.
PIP Final Review Meeting	On the defined final review date in the PIP	Outcome assessment against all objectives. One of three outcomes: Successful, Partially Successful, Unsuccessful. Next steps clearly stated.	PIP Outcome Record in HRMS. Signed by manager and HRBP. Copy to employee.

15.5 Career Development and Promotion Conversations

Promotion conversations are among the most high-stakes and most frequently mishandled management conversations at any organisation. The stakes are high because the outcome — a promotion or the absence of one — has immediate, visible, and personally significant consequences for the employee's income, status, and sense of professional progress. They are frequently mishandled because managers are motivated to avoid disappointing employees and tend to communicate ambiguously about promotion prospects — creating expectations that the process does not then validate, generating resentment and disengagement that would not have occurred if the expectations had been managed accurately from the outset.

The principles governing promotion conversations at this company are as follows. A manager may not tell an employee they are 'on a promotion track' unless the manager has reviewed the employee's situation against the eligibility criteria in Section 10.2 of Segment 2 and has formed a genuine view, in discussion with the HRBP, that the employee has a realistic prospect of meeting those criteria within the stated timeframe. A manager may not commit to a promotion timeline — 'you will be promoted in April' — because promotion decisions require calibration, HRBP endorsement, and appropriate approvals that the manager alone cannot guarantee. What the manager can and should commit to is the specific development activities, stretch assignments, and evidence opportunities that will give the employee the best possible chance of building a compelling promotion case.

15.6 Common Difficult Scenarios — Manager Questions and Guidance

The following table addresses the performance conversation scenarios that managers at this company most frequently report finding difficult to navigate. The guidance reflects the application of this policy, the Code of Conduct, and established principles of fair people management to each situation.

Scenario	Manager's Question	Guidance
Rating disagreement	An employee strongly disagrees with their rating and becomes upset in the review meeting. What do I do?	Do not change the rating in the meeting under emotional pressure. Acknowledge the employee's response genuinely. Confirm the rating stands as assessed and explain the evidence basis clearly. Inform the employee of their right to appeal through the formal rating appeals process (Section 4.4, Segment 1). Document the disagreement in HRMS. Consult HRBP after the meeting.
Managing a high performer's frustration	A high performer (Rating 4) has been told they are not yet promotion-ready and is threatening to resign. How do I respond?	Acknowledge the employee's frustration and their genuine achievement. Be honest about the specific evidence gaps — do not give false hope. Develop a specific, credible plan for how the gaps can be addressed in the coming 6–12 months. Escalate to HRBP as a retention risk immediately. Consider whether a market adjustment, stretch assignment, or visible recognition can provide a bridge.
Team member with health difficulties underperforming	A direct report has disclosed a mental health condition and their performance has declined significantly. How do I manage this?	Do not initiate a PIP immediately. Consult the HRBP first. Explore reasonable adjustments (reduced scope, adjusted timeline, modified responsibilities) in consultation with HR. Direct the employee to the EAP. The performance standard does not disappear, but the path to meeting it may need to be adjusted. Assess performance against an adjusted plan, not the standard plan, for a defined transition period.
Manager asked to adjust a rating upward	My BU Head is pressuring me to rate an employee higher than I assessed to protect team morale during a difficult project period. What do I do?	Decline and document the instruction. Performance ratings must reflect actual performance evidence — inflating a rating to manage morale is falsification of an HR record (Code of Conduct Section 4.2 and Code of Conduct Section 19.2). Report the instruction to the HRBP. If the HRBP is not available or is part of the pressure, use the Whistleblower channel at ethics@arjuntech.in.
Reluctant promoter	An employee who deserves promotion is in a critical role and I do not want to lose them from my team. Can I delay their promotion?	No. Blocking or delaying a meritorious promotion recommendation to retain an employee in their current role is a violation of the employee's career rights and of the fair and consistent promotion framework this policy requires. The talent belongs to the organisation. Work with the HRBP and SVP on a transition plan that enables promotion while managing the operational impact.
PIP during personal difficulty	An employee on a PIP has disclosed a bereavement and is requesting an extension. What is required?	A PIP extension during a significant personal event is not only reasonable — it is required to ensure the process is fair. Consult the HRBP. Formally pause or extend the PIP for a reasonable period (typically 2–4 weeks for a bereavement). Document the pause and the reason. The employee's right to a genuine improvement opportunity is not reduced because they are experiencing personal difficulty.

16. Policy Governance, Compliance, and Continuous Improvement

16.1 Policy Ownership, Review Cycle, and Change Management

The Performance Management Policy and Procedures Framework is owned by the Vice President of Human Resources, Ms. Priya Menon, with co-ownership from the Chief Financial Officer in respect of the compensation-related provisions and the General Counsel in respect of the legal compliance provisions. The policy is reviewed annually in January and February of each year, with any revisions approved by the CEO before the new version takes effect from 01 April. The review process assesses the policy's continued alignment with applicable employment law, regulatory requirements, and the company's compensation philosophy; incorporates feedback from managers, employees, and HRBPs on provisions that are unclear, inconsistent, or operationally impractical; considers developments in the external talent market and best practice in performance management that warrant incorporation; and addresses any material issues that arose during the preceding year's implementation.

Where a revision is material — changing a compensation threshold, modifying an eligibility criterion, altering a process step with consequences for employee rights — all employees affected by the change are notified by individual email with a summary of the change and its effective date, and are required to re-acknowledge the updated policy through HRMS within 10 working days of notification. Where a revision is minor and editorial — correcting a typographical error, clarifying ambiguous language without changing the substance of the provision, or updating a contact name or form reference — notification is provided through the quarterly HR newsletter and re-acknowledgement is not required. The version number on the cover page is the definitive indicator of currency; employees must ensure they are reading the current version, which is always the version published on the HRMS portal under Policies and Documents.

16.2 Manager Compliance Monitoring and Accountability Mechanisms

The HRMS system generates a suite of compliance reports that allow the HR function to monitor the quality and completeness of performance management activity across the organisation. These reports are reviewed monthly by HRBPs and quarterly by the VP-HR and CEO. Non-compliance identified through the reports is escalated first to the individual manager, then to their BU Head, and then to the VP-HR if not resolved within the defined remediation period. Persistent non-compliance with performance management obligations — particularly failure to complete review conversations, failure to document feedback, or failure to engage with mandatory IDP creation — is itself a performance issue for the manager concerned and is reflected in the manager's own People Leadership and Development competency assessment.

Compliance Metric	Required Standard	Monitoring Frequency	Escalation Timeline
Annual review conversation completion rate	100% of permanent employees with a manager for 6+ months receive a documented annual review conversation by 30 April	Monthly — April/May	Non-completion escalated to BU Head after 7 working days of deadline
IDP creation rate	100% of employees at confirmed status have an active, current-year IDP in HRMS by 30 April	Monthly — April/May	Non-completion escalated to HRBP; blocked from increment finalisation after 14 days
Mid-year check-in completion rate	100% of employees receive a documented mid-year check-in by 30 September	Monthly — September/October	BU Head notified of non-completing managers by 15 October
Mandatory training completion rate	100% of employees complete all assigned mandatory modules by module deadline	Monthly	Manager responsible for team completion. Escalation to BU Head at 90% non-completion; to VP-HR at 80%

Compliance Metric	Required Standard	Monitoring Frequency	Escalation Timeline
PIP documentation quality	100% of active PIPs have complete six-component documentation, bi-weekly progress records current within 14 days	Monthly	HRBP reviews all active PIPs monthly. Non-compliant PIPs escalated to Legal immediately
Learning budget utilisation	Minimum 70% of individual learning budgets committed by 28 February	Quarterly	Under 70% utilisation flagged for manager coaching on development obligation
360 programme participation (Band 5+)	100% participation by eligible employees. Minimum 80% rater response rate.	Annually — February/March	Non-participating employees escalated to VP-HR. Rater response below 60% triggers rater follow-up by HRBP

16.3 Bias Prevention, Fairness Assurance, and Calibration Integrity

Systematic bias in performance ratings — patterns where certain demographic groups consistently receive lower ratings, smaller increments, or slower promotion rates than their performance evidence warrants — is among the most serious failures a performance management system can produce. It is serious because it causes direct and sustained harm to the employees who are subject to it; because it violates the equal opportunity obligations in the Code of Conduct and applicable employment law; and because it corrupts the data on which compensation, promotion, and talent decisions are based, progressively misallocating resources and undermining the meritocracy the framework is designed to create. The company monitors for bias patterns as a matter of governance, not merely in response to individual complaints.

The HR function conducts an annual Calibration Integrity Analysis in June, using the finalised performance data for the completed year to identify statistical patterns that may indicate systematic bias. The analysis examines the distribution of ratings by gender, age cohort, nationality, and location — comparing the actual distribution against the expected distribution based on previous year data, external benchmark data, and the principle that performance should not systematically vary by demographic characteristic. Where the analysis identifies a pattern in a specific business unit or under a specific manager that is statistically significant and inconsistent with a legitimate performance differential, the HRBP investigates the pattern and the VP-HR reviews the findings with the relevant BU Head. Where bias is confirmed, the company takes corrective action — which may include rating recalibration, manager coaching and mandatory unconscious bias training, enhanced HRBP oversight of future rating proposals, and, where the bias is deliberate and systematic, formal disciplinary action.

16.4 Employee Grievance and Appeals Process Integration

Employees have three formal mechanisms for challenging performance management decisions they believe are inaccurate, unfair, or biased. The first mechanism is the Rating Appeal, described in Section 4.4 of Segment 1, which allows an employee to challenge their annual performance rating within 10 working days of the rating being communicated. The second mechanism is the Increment Query process, described in Section 8.3 of Segment 2, which allows an employee to challenge the accuracy of their increment calculation — whether the correct matrix cell was applied, whether the increment was calculated correctly from the stated percentage, or whether the band position classification was accurate. The third mechanism is the Tier 2 Formal Grievance, available under the Grievance Policy (HR-POL-008) for concerns about the fairness or conduct of any element of the performance management process that is not addressed by the first two mechanisms.

Mechanism	What It Covers	How to Access	Timeline
Rating Appeal (Tier 1)	Challenge to the accuracy or fairness of the annual performance rating itself. Applies to all ratings including those associated with PIPs.	HRMS → Performance → My Reviews → Rating Appeal. Within 10 working days of rating communication.	HRBP reviews with BU Head and panel within 10 working days. Written outcome to employee.
Increment Query	Challenge to the mathematical accuracy of the merit increment calculation — band position classification, matrix cell application, arithmetic error.	Email to HRBP and Finance. Within 10 working days of increment letter.	HRBP + Finance resolve within 5 working days. Correction in next payroll cycle if error confirmed.
PIP Challenge (via Tier 2 Grievance)	Challenge to the fairness of PIP initiation (insufficient pre-PIP process), adequacy of support provided, or the quality of the PIP assessment.	Submit Grievance Form HR-009 through HRMS. At any point during or after the PIP.	Grievance acknowledgement within 2 working days. Independent review by HRBP not involved in the PIP within 15 working days.
Promotion Decision Challenge (via Tier 2 Grievance)	Challenge to a promotion decision where the employee believes the eligibility criteria were not applied consistently or fairly, or where bias is alleged.	Submit Grievance Form HR-009. Within 15 working days of promotion cycle outcome.	Independent HRBP review with VP-HR involvement within 20 working days.
Formal Tier 2 Grievance — General	Any other performance management concern not covered by the above — discriminatory application of standards, retaliation for raising a concern, bias in IDP or development opportunity allocation.	Submit Grievance Form HR-009. No fixed deadline but prompt submission recommended.	Formal investigation timeline per Grievance Policy HR-POL-008.

16.5 Legal Compliance Framework and Employment Law Obligations

The Performance Management Policy is designed and implemented in accordance with the applicable employment law framework governing the company's operations across Karnataka, Telangana, Tamil Nadu, Maharashtra, and Delhi NCR. The primary legislative instruments governing performance management practice at this company are: the Industrial Disputes Act 1947 (as applicable to the definition of workman and the requirements for fair termination of employment); the applicable Shops and Establishments Act in each state of operation (governing working hours, leave entitlements, and the minimum procedural requirements for termination); the Contract Labour (Regulation and Abolition) Act 1970 (applicable to contractor performance management provisions); the Equal Remuneration Act 1976 (requiring equal pay for equal work regardless of gender); and the Rights of Persons with Disabilities Act 2016 (requiring reasonable accommodation in performance standards for employees with disabilities).

The company's employment contracts contain specific provisions governing the performance management process — including the employee's agreement to the OKR-based assessment methodology, the merit increment and variable pay structure, the Performance Improvement Plan process, and the company's right to terminate employment following an unsuccessful PIP in accordance with the disciplinary procedure. These contractual provisions are drafted by the Legal team and reviewed annually alongside this policy to ensure continued legal validity. Where a change to this policy requires a corresponding change to the standard employment contract provisions, the Legal team manages the contract amendment process in parallel with the policy update. Employees who joined before a material contract change may be on legacy contract terms — HRBPs maintain records of which employees are on which contract version and ensure that performance management decisions are consistent with the applicable contract.

Legislative Instrument	Jurisdiction / Applicability	Key Performance Management Obligation	Risk of Non-Compliance
Industrial Disputes Act 1947 / Bharatiya Nyaya Sanhita 2023 amendments	All states — applicable to employees defined as 'workman'	Separation decisions following PIP must follow the prescribed dispute resolution process. No retrenchment of workman without the prescribed notice and compensation where applicable.	Reinstatement orders, back-pay liability, and reputational damage in labour tribunal proceedings.
Karnataka Shops and Commercial Establishments Act 1961	Karnataka offices — Bengaluru HQ and Karnataka locations	Termination of a confirmed employee requires 30 days' notice or pay in lieu. Disciplinary termination requires documented cause and a fair hearing. Overtime compensation obligations for hours beyond the Act's limits.	Financial liability for improper termination. Regulatory penalties for non-compliance with working hours provisions.
Telangana Shops and Establishments Act 1988	Telangana office — Hyderabad	Same categories of obligations as Karnataka Act, with state-specific notice period and documentation requirements for disciplinary separation.	Financial liability for improper termination under state jurisdiction.
Equal Remuneration Act 1976	All states — all employees	Pay decisions — merit increments, variable pay, and promotion compensation — must not differentiate on the basis of gender. Calibration Integrity Analysis must monitor for gender pay differentials.	Government inquiry, penalties, and mandatory remediation. Reputational and litigation risk.
Rights of Persons with Disabilities Act 2016	All states — employees with notified disabilities	Performance standards must be adjusted reasonably to accommodate documented disabilities. PIP standards and timelines must reflect any agreed reasonable accommodation plan.	Discrimination complaint to State Commissioner. Potential criminal liability for institutional discrimination.
Digital Personal Data Protection Act 2023	All states — applicable to all employee personal data	Performance records, payroll data, and health information processed in the performance management system must be handled per the Data Privacy Policy. Employees have access and correction rights over their own performance data.	Data Protection Board investigation. Penalty of up to ■250 Cr for material breach.

Appendix A: Annual Performance Management Calendar

The following calendar sets out every performance management activity across the financial year from April to March. All managers are responsible for completing activities in their month. The HRMS system generates automated reminders at the start of each month for all pending activities. HRBP escalation applies where activities remain incomplete at the month-end.

Month	Activity	Who Is Responsible	HRMS Action Required	Deadline
April	Annual performance review conversations. Issue increment letters. Variable pay payment. IDP creation / update. Promotion notifications.	All managers. HR for letters.	Complete rating. Enter increment %. Close prior-year OKRs. Create new-year IDP.	Reviews: 30 Apr. Letters: 15 Apr. IDPs: 30 Apr.
April–May	New-year OKR setting. Band-level OKR cascade from company objectives.	All managers with direct reports.	Enter employee OKRs in HRMS. Manager endorsement.	OKRs entered by 15 May.
May	Annual Talent Review (all BUs). POSH awareness training deadline.	BU Heads + HRBPs. All employees (POSH).	Talent Review outcomes recorded in restricted HRMS module.	Talent Review: 31 May. POSH: 31 May.
June	Manager Ethics Workshop (Bi-annual). Calibration Integrity Analysis by HR function.	All Band 4+ managers. VP-HR + L&D.;	Workshop completion recorded in LMS.	Workshop: 30 June.
July	Q1 OKR progress review (informal). Learning budget mid-year status check.	All managers.	Update OKR progress scores in HRMS.	OKR progress: 31 July.
August	Anti-Bribery training deadline (client-facing and procurement). Off-cycle PIP reviews due.	Client-facing/procurement staff. PIP managers.	Training completion in LMS. PIP progress records current.	Training: 31 Aug.
September	Mid-year performance check-in conversations. IDP mid-year review. Information Security training. Insider Trading training.	All managers.	Document check-in in HRMS. Update IDP progress. LMS completions.	Check-ins: 30 Sept.
October	360-degree feedback nominations (Band 5+). Annual Ethics Culture Survey.	Band 5+ employees + HRBPs.	Submit rater nominations in 360 platform. Complete survey.	Nominations: 15 Oct.
November	360 feedback collection period. Year-end OKR self-assessment opens.	Nominated raters. All employees.	Complete 360 questionnaires. Open self-assessment in HRMS.	360 collection: 30 Nov.
December	360 feedback reports finalised. Year-end OKR self-assessment deadline. Senior Ethics Certification.	HRBPs. All employees. Band 5+.	360 reports generated. Self-assessments closed.	Self-assess: 31 Dec. Ethics cert: 31 Dec.
January	Manager OKR assessments. Performance rating proposals submitted to HRMS. Annual Ethics Refresher training.	All managers.	Enter performance rating proposals. LMS completion.	Ratings proposed: 31 Jan.
February	Business unit calibration sessions. 360 facilitated debrief sessions. Learning budget commitment deadline.	BU Heads + Managers + HRBPs.	Calibration outcomes recorded. 360 action plans created in HRMS.	Calibration: 28 Feb. Learning budget: 28 Feb.
March	Cross-BU calibration (if required). Final ratings locked. Compensation Committee merit matrix approval. Policy annual review.	VP-HR + CFO + CEO (Compensation). HRBPs.	Ratings locked in HRMS. Merit matrix published.	Ratings locked: 15 Mar. Matrix published: 22 Mar.

Appendix B: Competency Framework — Behavioural Indicators by Band

The following table provides the behavioural indicators for each of the five core competency domains assessed in the annual performance review. The indicators describe observable behaviours at each band cluster — not aspirational traits or personality characteristics. Assessors should evaluate performance against these indicators using specific, dated examples from the performance year.

1. Delivery and Execution

Band Cluster	Key Behavioural Indicators
Bands 1–2	Completes assigned tasks accurately and on time with minimal supervision. Raises blockers early. Follows established processes. Contributes reliably to team output.
Bands 3–4	Independently scopes and delivers projects of moderate complexity. Manages multiple priorities without significant guidance. Identifies and mitigates risks proactively. Sets and meets commitments to others.
Band 5	Delivers outcomes through a team — sets direction, removes obstacles, manages delivery risk for a portfolio. Holds team accountable without micromanagement. Escalates appropriately.
Band 6+	Accountable for business unit or function-level outcomes. Drives results across multiple teams. Manages P&L; or significant budget. Delivers through organisational influence as well as direct authority.

2. Technical and Professional Excellence

Band Cluster	Key Behavioural Indicators
Bands 1–2	Applies technical skills to assigned work accurately. Aware of own knowledge limits and asks for help appropriately. Keeps skills current through mandatory training and individual learning.
Bands 3–4	Deep expertise in primary technical domain. Makes independent technical decisions validated by peers. Identifies technical improvements and drives their adoption. Mentors less experienced colleagues.
Band 5	Sets technical direction for a team or product area. Makes architectural decisions. Provides technical quality assurance. Builds technical capability in the team. External technical credibility.
Band 6+	Defines technical strategy across a business unit. Market-recognised expertise. Contributes to industry standards or public technical discourse. Builds organisational technical culture.

3. Collaboration and Communication

Band Cluster	Key Behavioural Indicators
Bands 1–2	Communicates clearly and professionally in written and verbal interactions. Shares information proactively with the team. Responds constructively to feedback. Works effectively with immediate colleagues.
Bands 3–4	Communicates complex information accessibly to diverse audiences. Influences outcomes in cross-functional discussions. Navigates disagreement constructively. Builds effective working relationships across teams.
Band 5	Communicates the team's priorities and context clearly upward and downward. Navigates organisational complexity to get things done. Manages senior stakeholder relationships effectively. Advocates for the team.
Band 6+	Executive-level communication. Builds strategic relationships internally and externally. Influences outcomes at C-suite level. Company spokesperson in relevant domains.

4. Growth and Innovation

Band Cluster	Key Behavioural Indicators
Bands 1–2	Actively develops skills through the L&D; budget and IDP. Asks questions and seeks feedback. Open to new approaches. Identifies and suggests process improvements at task level.

Band Cluster	Key Behavioural Indicators
Bands 3–4	Invests in continuous learning beyond mandatory requirements. Challenges established approaches constructively. Drives adoption of improved methods in the team. External learning and community participation.
Band 5	Creates a team environment where continuous improvement and experimentation are valued. Champions innovation. Connects external trends to internal practice. Coaches team members' development actively.
Band 6+	Sets strategic direction informed by external market trends. Builds an organisation that learns and adapts. Champions innovation at company level. Develops the next generation of leaders.

5. Values and Conduct

Band Cluster	Key Behavioural Indicators
Bands 1–2	Acts with integrity in all professional interactions. Treats colleagues with respect. Follows the Code of Conduct. Raises concerns when something seems wrong.
Bands 3–4	Models the company's values consistently. Challenges conduct that falls below the standard. Takes accountability for mistakes. Creates an inclusive environment in immediate team interactions.
Band 5	Actively builds a values-led team culture. Holds team members accountable for conduct, not only performance. Visibly models ethical leadership. Supports the company's speak-up culture.
Band 6+	Shapes the ethical culture of the business unit or function. Holds senior colleagues accountable. Personally champions inclusion, integrity, and accountability at the most senior visible level.

Appendix C: OKR Writing Guide and Template

This guide supports managers and employees in writing Objectives and Key Results that meet the quality standards described in Segment 1, Section 3 of this policy. Each OKR set should contain three to five Objectives. Each Objective should have two to four Key Results.

Element	Definition	Quality Test	Example (Strong)	Example (Weak — Do Not Use)
Objective	A qualitative statement of a meaningful outcome the employee will achieve in the performance year. Ambitious but realistic. Directional.	Is it inspiring and meaningful? Does it connect to team or company priorities? Is it outcome-oriented, not task-oriented?	'Establish Arjun Technologies as the trusted technology partner for three new enterprise financial services clients by March 2025.'	'Work on financial services client accounts.'
Key Result	A quantitative or binary milestone that measures progress toward the Objective. Specific, measurable, and time-bound. 3–5 per Objective.	If someone can reasonably argue about whether this was achieved, it is not specific enough. Binary (yes/no) milestones are acceptable where measurement is binary.	'Sign two new financial services clients with combined ACV of ■1.5 Cr by 31 December 2024.' OR 'Achieve NPS score of 8+ from all three named financial services client sponsors by 31 March 2025.'	'Improve client relationships.' or 'Increase revenue.' — not measurable or time-bound.
Stretch Factor	At least one Key Result per Objective should be a meaningful stretch — achievable only with significant effort and possibly not fully achieved.	Would a reasonable person say 'that's ambitious'? Would achieving it require the employee to operate above their current comfort level?	'Deliver the Q3 architecture review 2 weeks ahead of schedule and present findings to the client CTO independently.'	'Complete assigned tasks on time.' — this is the baseline standard, not a stretch.
Dependency Notation	Where a Key Result depends on another person, team, or external factor, this dependency is noted explicitly in the OKR.	Has the dependency owner been consulted? Is the employee's contribution separable from the dependency?	'[Dependent on API delivery from Platform team by 01 July] Complete integration testing and achieve zero critical defects by 15 August.'	OKR that silently depends on another team's delivery — creates disputes at year-end about what was within the employee's control.

OKR Template — Employee Annual Planning

OKR Component	Employee Entry	Manager Review Notes
Employee Name and Band		
Role Title and Business Unit		
Performance Year	01 April 20___ to 31 March 20___	
Objective 1 (of 3–5)	[State the meaningful outcome]	[Manager: Is this connected to team/company priority? Is it ambitious enough? Too ambitious?]
Key Result 1.1	[Specific, measurable, time-bound milestone]	[Manager: Is this genuinely measurable? Is the target realistic but stretching?]
Key Result 1.2	[Specific, measurable, time-bound milestone]	
Key Result 1.3 (Stretch)	[Ambitious milestone — may not be fully achieved]	[Manager: Confirm this is a genuine stretch, not baseline]

OKR Component	Employee Entry	Manager Review Notes
Objective 2	[State the meaningful outcome]	
Key Result 2.1	[Specific, measurable, time-bound milestone]	
Key Result 2.2	[Specific, measurable, time-bound milestone]	
Objective 3	[State the meaningful outcome]	
Key Result 3.1	[Specific, measurable, time-bound milestone]	
Key Result 3.2	[Specific, measurable, time-bound milestone]	
Development OKR (Optional)	[One OKR linked directly to IDP development priority]	[Manager: Confirm link to IDP priority]
Employee Signature and Date		
Manager Signature and Date		
HRBP Review (if required)		

Appendix D: Annual Performance Review Form (HR-015)

This form is completed in HRMS. A printable version is provided below for reference. All submissions must be completed through HRMS under Performance → Annual Review. Paper submissions are not accepted except in circumstances where HRMS access is unavailable, in which case the paper form must be submitted to the HRBP within the same deadline and entered into HRMS within 3 working days.

ANNUAL PERFORMANCE REVIEW — FORM HR-015	Version 4.1 | April 2024
Employee Full Name	Employee ID
Job Title	Band
Business Unit	Office Location
Line Manager Name	HRBP Name
Review Period	01 April 20___ to 31 March 20___
SECTION A — OKR ACHIEVEMENT ASSESSMENT	
OKR 1 — Objective Statement	Achievement Rating: ● Exceeded ● Met ● Partially Met ● Not Met
OKR 1 — Evidence Summary (specific examples)	
OKR 2 — Objective Statement	Achievement Rating: ● Exceeded ● Met ● Partially Met ● Not Met
OKR 2 — Evidence Summary (specific examples)	
OKR 3 — Objective Statement	Achievement Rating: ● Exceeded ● Met ● Partially Met ● Not Met
OKR 3 — Evidence Summary	
Overall OKR Achievement — Narrative Summary	
SECTION B — COMPETENCY ASSESSMENT	
1. Delivery and Execution — Rating (1–5) and Evidence	
2. Technical and Professional Excellence — Rating (1–5) and Evidence	
3. Collaboration and Communication — Rating (1–5) and Evidence	
4. Growth and Innovation — Rating (1–5) and Evidence	
5. Values and Conduct — Rating (1–5) and Evidence	
SECTION C — OVERALL PERFORMANCE RATING	
Proposed Overall Rating (1–5)	● 1 — Unsatisfactory ● 2 — Needs Improvement ● 3 — Meets Expectations ● 4 — Exceeds Expectations ● 5 — Exceptional
Manager Narrative Supporting the Overall Rating	
SECTION D — CALIBRATION OUTCOME	
Calibrated Rating (if different from proposed)	Reason for Calibration Adjustment (if applicable)
SECTION E — DEVELOPMENT PLAN	
Development Priority 1 (linked to assessment evidence)	Planned Activity and Timeline

ANNUAL PERFORMANCE REVIEW — FORM HR-015	Version 4.1 | April 2024
Development Priority 2	Planned Activity and Timeline
Development Priority 3 (optional)	Planned Activity and Timeline
SECTION F — SIGNATURES	
Manager Signature and Date	
Employee Signature and Date (acknowledgement of receipt — not agreement)	
HRBP Endorsement Signature and Date	
Employee Comments (optional — appended to form)	

Appendix E: Performance Improvement Plan Form (HR-020)

Complete this form and submit to HRBP for review before the PIP initiation meeting. HRBP review is mandatory — no PIP may be initiated without written HRBP endorsement. All six components are mandatory. See Section 11.3 of Segment 2 for the full quality standard for each component.

PERFORMANCE IMPROVEMENT PLAN — FORM HR-020	Version 4.1 | April 2024
Employee Full Name	Employee ID
Job Title and Band	Business Unit and Location
Line Manager Name	HRBP Name
PIP Initiation Date	PIP Period Duration (typically 45–90 days)
Trigger for PIP Initiation	● Annual Rating 1 ● Annual Rating 2 ● Significant performance incident ● Insufficient improvement after informal period
Pre-PIP Requirements Met — Manager Confirmation	● Performance concern communicated in writing (attach) ● Informal improvement period provided ● Support plan offered ● Improvement insufficient — documented evidence attached
COMPONENT 1 — PERFORMANCE GAP STATEMENT	
Required Performance Standard for the Role (specific)	
Current Performance — Specific Evidence of Gap (dated examples, minimum 3)	
COMPONENT 2 — IMPROVEMENT OBJECTIVES	
Improvement Objective 1 (SMART)	Target Date
Improvement Objective 2 (SMART)	Target Date
Improvement Objective 3 (SMART — if applicable)	Target Date
COMPONENT 3 — SUPPORT AND DEVELOPMENT COMMITMENTS	
Manager Commitment 1 (specific activity, named resource, date)	
Manager Commitment 2	
Company Commitment (training, mentoring, workload adjustment, EAP referral)	
COMPONENT 4 — REVIEW TIMELINE AND CHECK-IN SCHEDULE	
Bi-Weekly Check-in Dates (list all)	
Final PIP Review Date	
COMPONENT 5 — CONSEQUENCE STATEMENT	
Consequence of Non-Achievement (must state clearly if employment is at risk)	
COMPONENT 6 — ACKNOWLEDGEMENT	
Manager Signature and Date	
HRBP Endorsement Signature and Date (mandatory before initiation)	

PERFORMANCE IMPROVEMENT PLAN — FORM HR-020	Version 4.1 | April 2024
Employee Acknowledgement Signature and Date (receipt — not agreement)	
Employee Comments (recorded verbatim if employee declines to sign)	
Right to be accompanied confirmed? ● Yes ● Employee declined	

Appendix F: Promotion Recommendation Form (HR-025)

Submit this form through HRMS under Performance → Promotions by 07 March for annual-cycle promotions. For off-cycle promotions, submit at the point the business need arises. HRBP review is mandatory before the calibration session. See Section 10 of Segment 2 for the complete promotion criteria and evidence standards.

PROMOTION RECOMMENDATION FORM — FORM HR-025	Version 4.1 | April 2024
Employee Full Name	Employee ID
Current Job Title and Band	Proposed New Job Title and Band
Line Manager Name	BU Head Name
Proposed Effective Date	Annual Cycle (01 April) or Off-Cycle (specify date)
ELIGIBILITY CRITERIA — MANAGER CONFIRMATION	
Minimum Band Tenure Met?	● Yes — months in current band: ___ ● Tenure waiver requested (attach justification)
Sustained Performance Rating	Year 1: Rating ___ Year 2: Rating ___ Year 3 (Band 5+): Rating ___
No Active Disciplinary Record?	● Confirmed — no active warning or PIP ● Exception — explain below
NEXT-LEVEL READINESS EVIDENCE — Required for Each Competency Domain	
Delivery and Execution — Specific Evidence at Next Band Standard (with dates)	
Technical / Professional Excellence — Specific Evidence at Next Band Standard	
Collaboration and Communication — Specific Evidence at Next Band Standard	
Growth and Innovation — Specific Evidence at Next Band Standard	
Values and Conduct — Evidence of Modelling at Next Band Standard	
ENDORSEMENT	
Additional Senior Stakeholder Endorsement Name and Role	Specific Evidence Attested
Manager Signature and Date	
BU Head Approval Signature and Date	
HRBP Endorsement and Date (mandatory before calibration)	
VP-HR Approval — Band 5+ (mandatory)	
CEO Approval — Band 7+ or off-cycle Band 5+ (mandatory)	
COMPENSATION TREATMENT	
Current CTC	Proposed Merit Increment %
Promotion Increment % (per Section 10.4 matrix)	Post-Promotion CTC

PROMOTION RECOMMENDATION FORM — FORM HR-025	Version 4.1 | April 2024
New Band Position (percentile)	Internal Equity Check Completed? ● Yes ● HRBP review required
Finance Sign-Off (Band 5+)	

Appendix G: 360-Degree Feedback Development Action Plan (HR-030)

This form is completed collaboratively by the participant and their HRBP during the facilitated 360 debrief session described in Section 12.4 of Segment 2. It is stored in HRMS accessible only to the participant and HRBP — not shared with the participant's manager. Progress is reviewed at the six-month follow-up session.

360-DEGREE FEEDBACK DEVELOPMENT ACTION PLAN — FORM HR-030	Version 4.1 | April 2024
Participant Name and Band	Employee ID
HRBP Facilitating the Debrief	Debrief Date
360 FEEDBACK SUMMARY — KEY THEMES	
Overall Strengths (from report — highest-rated behavioural statements)	
Consistent Development Themes (from report — lowest-rated areas and open-text patterns)	
Significant Gaps Between Self-Assessment and Others' Ratings (dimension and direction)	
Insights from Direct Report Dimension (patterns in team feedback)	
DEVELOPMENT PRIORITY 1	
Development Area (from 360 findings)	Competency Domain
Specific Development Objective	
Planned Actions (specific activities, named resources)	Timeline
Action 1	
Action 2	
Company Support Required	
How Success Will Be Assessed	
DEVELOPMENT PRIORITY 2	
Development Area	Competency Domain
Specific Development Objective	
Planned Actions	Timeline
Action 1	
Action 2	
How Success Will Be Assessed	
DEVELOPMENT PRIORITY 3 (Optional)	
Development Area	Competency Domain
Specific Development Objective	
Planned Actions	Timeline
PARTICIPANT COMMITMENTS	

360-DEGREE FEEDBACK DEVELOPMENT ACTION PLAN — FORM HR-030	Version 4.1 | April 2024
I commit to sharing key themes from my 360 report with my team (or explain why this is not appropriate in this cycle):	
Participant Signature and Date	
HRBP Signature and Date	
SIX-MONTH REVIEW — to be completed at follow-up session	
Progress Against Priority 1 (specific observations)	
Progress Against Priority 2	
Revised priorities or new focus areas for remainder of cycle	
HRBP Follow-Up Session Date	Participant Signature

Appendix H: HRMS Performance Management Module — Manager Quick Reference

The following guide covers the most frequently used HRMS actions in the Performance Management module. For full user documentation, access the HRMS Help Centre at hrms.arjuntech.in/help. For system issues, contact IT Support at itsupport@arjuntech.in or extension 1000.

Task	HRMS Navigation Path	When to Complete	Common Issue / Solution
Enter performance rating proposal	Performance → Annual Review → My Team → [Employee Name] → Rating Proposal	January — by 31 January	System will not accept submission if mandatory training has outstanding modules. Complete training first.
View calibrated final rating	Performance → Annual Review → My Team → [Employee Name] → Final Rating	After calibration — typically mid-March	Rating visible only after HRBP unlocks post-calibration. Contact HRBP if not visible by 20 March.
Enter merit increment percentage	Performance → Compensation → Merit Increment → [Employee Name]	After Compensation Committee publishes matrix — typically 22 March	System validates that the percentage is within the correct matrix cell. Error message shows applicable range.
Create or update IDP	Performance → Development → IDP → [Employee Name] → New Plan / Edit Plan	April — by 30 April	IDP cannot be submitted without at least two development priorities and one learning activity per priority.
Document a check-in or feedback conversation	Performance → Feedback → Add Note → [Employee Name]	Within 24 hours of any documented conversation	Notes marked 'Private' are not visible to the employee. Notes marked 'Shared' are visible. Use Shared for IDP-related notes.
Initiate a Performance Improvement Plan	Performance → PIP → Initiate PIP → [Employee Name]	After HRBP endorsement — attach HR-020 form	System requires HRBP endorsement code before PIP can be activated. Do not initiate without endorsement.
Record PIP check-in progress	Performance → PIP → [Employee Name] → Progress Record → Add Entry	Within 24 hours of each bi-weekly check-in	Progress records must be marked 'Shared with Employee' to satisfy the documentation and communication obligation.
Submit promotion recommendation	Performance → Promotions → New Recommendation → [Employee Name]	By 07 March for annual cycle	Submission requires HR-025 form attachment and manager acknowledgement of eligibility criteria. Incomplete forms returned by system.
View 360 feedback nominations (Band 5+)	Performance → 360 Feedback → My Programme → Rater Nominations	October — nominations by 15 October	Maximum 8 raters. System enforces minimum peer count of 4. All direct reports auto-included and cannot be removed.
Access completed 360 report	Performance → 360 Feedback → My Programme → My Report	Available after HRBP releases report — typically January	Report visible only to participant and HRBP. Access query: contact HRBP directly.
View direct report's IDP (read access)	Performance → Development → IDP → [Employee Name] → View	Ongoing — review at each check-in	Manager has read access to employee IDPs. Write access held by employee and HRBP only.
Record learning activity completion	Performance → Development → Learning Log → [Employee Name] → Add Activity	Within 5 working days of activity completion	Learning activities must reference the IDP development priority they address. Free-text link required.
Submit L&D; expense claim	Expenses → New Claim → Category: L&D; → Attach receipt	Within 30 days of expense	Claims submitted after 30 days require HRBP approval override. Claims above ■5,000 require manager approval before submission.

Task	HRMS Navigation Path	When to Complete	Common Issue / Solution
Run team compliance report	Reports → Performance Compliance → My Team → [Select Metric]	Monthly self-monitoring recommended	Report shows completion status for all tracked activities. Red = overdue. Amber = due within 7 days. Green = complete.

Segment 3 Summary — Complete Policy Framework Overview

This completes Segment 3 and the complete Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework, Version 4.1. Segment 3 has covered the four sections that connect the performance management framework to the company's broader talent management, development, and governance obligations. Section 13 established the integration of Learning and Development with the performance cycle — the IDP structure and four-component standard, the ■25,000 annual learning budget with a full eligible expenditure guide, mandatory training requirements and non-completion consequences, and the recommended learning pathways by band and role family. Section 14 described the internal mobility framework — the three-channel mobility approach, the Internal Job Posting process and eligibility criteria, the Annual Talent Review with the two-dimensional Performance/Potential matrix, the lateral move framework, and the career development conversation obligation. Section 15 provided the Manager Conversation Guide — covering the annual review structure, difficult feedback delivery principles, the underperformance and PIP conversation framework, career development and promotion conversation standards, and a six-scenario manager guidance table addressing the most commonly encountered difficult situations. Section 16 addressed policy governance and compliance — policy ownership and review, the compliance monitoring framework with specific metrics and escalation timelines, bias prevention and the annual Calibration Integrity Analysis, the employee grievance and appeals integration table, and the legal compliance framework.

The eight appendices provide the practical tools required to implement every element of the framework: the Annual Performance Management Calendar (A), the Competency Framework with behavioural indicators across five domains and four band clusters (B), the OKR Writing Guide with quality tests and worked examples (C), and Forms HR-015 through HR-030 covering the Annual Performance Review, Performance Improvement Plan, Promotion Recommendation, and 360-Degree Feedback Development Action Plan (D through G), completed by the HRMS Manager Quick Reference covering fourteen core HRMS actions (H).

Segment	Sections Covered	Key Topics	Pages	Status
Segment 1	1–7	Governance · OKR Methodology · Annual Cycle · Rating Framework · Calibration · Feedback Standards · Documentation · Hybrid and Distributed Teams	1–50	Published April 2024
Segment 2	8–12	Merit Increments · Compensation Matrix · Variable Pay · Company Performance Factor · Promotions · Performance Improvement Plans · 360-Degree Feedback Programme	51–100	Published April 2024
Segment 3 — This Document	13–16 + Appendices A–H	Learning and Development · Internal Mobility · Manager Conversation Guide · Policy Governance · Annual Calendar · Competency Framework · OKR Template · Forms HR-015, HR-020, HR-025, HR-030 · HRMS Quick Reference	101–150	Published April 2024

The complete Performance Management Policy and Procedures Framework across all three segments is the definitive statement of the performance management standards of Arjun Technologies Pvt. Ltd. effective 01 April 2024. All three segments are available on the HRMS portal under Policies and Documents. Document reference: HR-PMP-001-v4.1. Owner: Ms. Priya Menon, Vice President — Human Resources. Finance Liaison: Ms. Lakshmi Rajan. Approved: Mr. Rajesh Arjun, Chief Executive Officer. Legal review: Mr. Sandeep Iyer, General Counsel.

For queries about any provision in this policy, contact hr@arjuntech.in or your HR Business Partner. For urgent compensation queries, contact finance@arjuntech.in. For concerns about the fair application of this policy, use the formal grievance process (HR-009) or, for anonymous reporting, the Whistleblower hotline at ethics@arjuntech.in (available 24 hours a day, 7 days a week).

Arjun Technologies Pvt. Ltd.

Bengaluru, Karnataka — 560 001

CIN: U72200KA2008PTC044521 | www.arjuntech.in

PERFORMANCE MANAGEMENT POLICY AND PROCEDURES FRAMEWORK

Segment 4 of 4 — Special Employment Categories · Matrix Performance · Executive Management · Organisational Change · Continuous Performance · Appendices I–N

Version	4.1	**Effective Date**	01 April 2024
Review Date	31 March 2025	**Classification**	Internal Use Only
Approved By	Mr. Rajesh Arjun	**Document Owner**	Ms. Priya Menon
Legal Review	Mr. Sandeep Iyer	**Department**	Human Resources & Legal
Doc Reference	HR-PMP-001-v4.1	**Finance Liaison**	Ms. Lakshmi Rajan
Segment	4 of 4 (Pages 151–200)	**Total Segments**	4

This is Segment 4 — the final segment — of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework, Version 4.1. It addresses five areas that require dedicated treatment beyond the core framework established in Segments 1–3: performance management for special employment categories (contractors, interns, fixed-term employees, secondees, and part-time employees); cross-functional and matrix organisation performance management; the executive performance management framework for Band 7 and Band 8 employees; performance management through organisational change including restructuring, mergers, and rapid growth; and the continuous performance management model and its integration with the annual cycle. Appendices I through N provide the supporting tools: the Contractor Performance Assessment Form (I), the Intern and Graduate Trainee Review Form (J), the Matrix Performance Agreement Template (K), the Executive Scorecard Template (L), the Change-Period Performance Adjustment Framework (M), and the Complete Policy Cross-Reference and Glossary of Defined Terms (N). This segment must be read alongside Segments 1, 2, and 3 of this policy. For queries contact the HR Business Partner or hr@arjuntech.in.

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APPENDICES

Appendix I — Contractor Performance Assessment Form (HR-040)
Appendix J — Intern and Graduate Trainee Review Form (HR-041)
Appendix K — Matrix Performance Agreement Template (HR-042)
Appendix L — Executive Scorecard Template (HR-043)
Appendix M — Change-Period Performance Adjustment Framework (HR-044)
Appendix N — Policy Cross-Reference and Glossary of Defined Terms

Segments 1 through 3 cover the core annual performance cycle, compensation consequences, promotions, PIPs, 360-degree feedback, learning and development, internal mobility, the Manager Conversation Guide, and policy governance. The complete framework across all four segments is the definitive statement of performance management standards at Arjun Technologies Pvt. Ltd. effective 01 April 2024.

17. Performance Management for Special Employment Categories

17.1 Scope and Principles — Why Special Categories Require Distinct Treatment

The core performance management framework described in Segments 1 through 3 is designed primarily for permanent, full-time employees in confirmed roles. The majority of Arjun Technologies' workforce — approximately 3,400 of its 4,200+ professionals — falls into this category and is fully subject to the standard framework without modification. However, a significant and growing proportion of the workforce is engaged on terms that are materially different from the permanent full-time baseline: contractors and independent consultants who are not employees; interns and graduate trainees on structured development programmes; employees on fixed-term contracts of defined duration; employees seconded to or from partner organisations; and employees working part-time or on flexible working arrangements. Each of these categories has characteristics — in terms of the nature of the employment relationship, the duration of the engagement, the applicable legal framework, and the purpose of the performance assessment — that require the standard framework to be applied differently or supplemented with additional provisions.

The underlying principles governing performance management for all special categories are the same as those governing the standard framework: clarity about expectations, honest and timely feedback, fair and consistent assessment, and consequences that are proportionate to performance. What varies is the mechanism through which these principles are applied — the frequency and format of the review, the assessment instrument used, the compensation consequences that flow from the assessment, and the legal and procedural requirements that govern the employment relationship. Managers whose teams include employees in special categories are responsible for understanding and applying the relevant provisions, and their HRBPs are the primary resource for guidance on any aspect of special category management where the manager is uncertain.

17.2 Contractors and Independent Consultants

Contractors and independent consultants engaged by Arjun Technologies are not employees and are therefore not subject to the employment-linked provisions of this policy — they do not receive merit increments, are not eligible for variable pay calculated under the IPM/CPF formula, do not participate in the annual promotion cycle, and do not receive 360-degree feedback through the company's programme. Their relationship with the company is governed by the terms of their commercial engagement contract, not by this policy. However, the company does conduct structured performance assessments of contractors engaged for projects of three months or longer, for three reasons: to ensure the quality of delivery on client engagements where contractor contribution is material; to manage the commercial relationship effectively — renewing, extending, or terminating engagements on the basis of documented performance evidence rather than informal impressions; and to comply with the obligations of the principal employer under the Contract Labour (Regulation and Abolition) Act 1970 where applicable.

Provision	Standard Employee	Contractor / Independent Consultant	Governing Document
Performance assessment instrument	Form HR-015 — Annual Performance Review	Form HR-040 — Contractor Performance Assessment (Appendix I)	HR-040 and engagement contract
Assessment frequency	Annual (April) + mid-year check-in	Every 90 days for engagements of 3+ months; at contract end for shorter engagements	HR-040 schedule agreed in engagement contract
Assessment dimensions	OKR achievement + 5 competency domains	Delivery quality, technical standard, schedule adherence, conduct consistent with Code of Conduct, client/stakeholder feedback	HR-040

Provision	Standard Employee	Contractor / Independent Consultant	Governing Document
Compensation consequences	Merit increment + variable pay + promotion eligibility	None — contract rate renegotiated at renewal based on documented assessment	Engagement contract
PIP equivalent process	Formal PIP under Section 11, Segment 2	Formal performance notice with 30-day improvement period before contract termination — no statutory PIP protections apply	Engagement contract + Legal team guidance
Code of Conduct application	Full Code of Conduct applies	Code of Conduct conduct provisions apply in full (Sections 4–14 of CoC) as a condition of engagement	Engagement contract clause — standard CoC compliance requirement
HRMS record	Full HRMS employee record	Contractor record in HRMS Vendor/Contractor module — HR-040 assessments stored here	IT-SEC-POL-005

The misclassification of workers as contractors when the nature of the engagement would in law constitute an employment relationship is a significant legal and regulatory risk under Indian employment law. Engagement managers who are uncertain whether a specific contractor engagement may create an implied employment relationship — because of the level of direction and control exercised over the contractor's work, the duration of the engagement, the exclusivity of the arrangement, or the integration of the contractor into the company's operational structure — must consult the Legal team before extending or renewing the engagement. The Legal team maintains the company's contractor classification guidelines and conducts an annual audit of all contractor engagements exceeding 12 months to assess misclassification risk.

17.3 Interns and Graduate Trainees

Interns and graduate trainees at Arjun Technologies are assessed through a dedicated performance framework designed to serve the dual purpose of structured development and quality assessment during a placement period that is explicitly intended to be a learning experience. The assessment framework acknowledges that interns and trainees are at the beginning of their professional development — the standard that applies is not the standard for a permanent employee at Band 1 but the standard appropriate for someone acquiring foundational professional skills for the first time — while also providing honest, developmental feedback that prepares them for permanent employment here or elsewhere.

Every intern and graduate trainee placement of four weeks or longer has a designated supervisor who is responsible for: setting clear expectations for the placement at the outset in a structured induction conversation; providing regular informal feedback throughout the placement; completing a formal mid-placement review for placements of 10 weeks or longer; and completing the end-of-placement assessment using Form HR-041 within five working days of the placement end date. The end-of-placement assessment is shared with the intern or trainee in a feedback conversation and retained in HRMS. For campus recruitment candidates, the assessment informs the Pre-Placement Offer decision and is reviewed by the Talent Acquisition team alongside the campus recruitment criteria.

Assessment Dimension	What It Evaluates	Weight in Final Assessment	Minimum Standard for PPO Consideration
Technical and Professional Learning	Speed and quality of skill acquisition. Application of learning to assigned tasks. Quality of work outputs relative to the learning curve expected.	35%	Demonstrates competent application of core technical skills required for the role within the first 60% of the placement period
Professional Conduct and Reliability	Attendance, punctuality, responsiveness. Communication quality. Professionalism in client or stakeholder interactions. Conduct consistent with the Code of Conduct.	25%	No documented conduct concern. Full compliance with Code of Conduct conduct provisions.

Assessment Dimension	What It Evaluates	Weight in Final Assessment	Minimum Standard for PPO Consideration
Proactivity and Initiative	Willingness to take on tasks beyond assigned scope. Identifying and flagging improvements. Volunteering for additional learning opportunities.	20%	At least two documented instances of proactive contribution beyond assigned tasks
Collaboration and Team Integration	Working effectively with supervisor and team members. Seeking and incorporating feedback constructively. Contributing to team knowledge and output.	20%	Positive peer and supervisor feedback confirmed in mid-placement review

17.4 Fixed-Term Contract Employees

Fixed-term contract employees — those engaged for a defined period to fulfil a specific business need, typically between three months and two years — are subject to the standard performance management framework with adjustments reflecting the defined duration of their engagement. A fixed-term employee who is in their role at the time of the annual performance review cycle (April) and who has been in the role for a minimum of three months participates in the standard annual review process and receives a formal performance rating. They are eligible for merit increments on the same basis as permanent employees if their contract is due to continue for at least a further six months from the increment date. They are not eligible for promotion through the standard cycle, but may be considered for a conversion to permanent employment — including a band placement at the appropriate level — where their performance is consistently strong and a permanent vacancy exists.

The specific performance management obligations for managers of fixed-term employees include: setting clear role-specific OKRs at the start of the engagement that reflect the defined scope and duration; conducting a mid-contract performance review for contracts of six months or longer; giving the fixed-term employee a minimum of four weeks' notice if contract non-renewal is under consideration, to allow time for a genuine performance improvement conversation where performance has been the reason for the non-renewal decision; and ensuring that the end-of-contract performance documentation is completed in HRMS within 10 working days of the contract end date.

17.5 Seconded Employees

Secondments — the temporary assignment of an employee to a different role, business unit, office location, or partner organisation — are a valuable tool for development and capability building, but they create specific performance management complexity because the employee has two sets of obligations: those arising from their home role and those arising from the secondment assignment. The performance management approach for seconded employees depends on the duration and nature of the secondment.

Secondment Type	Duration	Rating Responsibility	Compensation During Secondment	Return Process
Internal secondment — same entity	Up to 12 months	Secondment manager provides performance evidence. Home manager consolidates and submits final rating with HRBP oversight.	Standard CTC maintained. Secondment allowance may apply per the T&E; Policy where relocation is involved.	Return to home role confirmed 30 days before secondment end. HRBP manages reintegration conversation.
Inbound secondment — from partner/client	Up to 24 months	Arjun Technologies manager provides performance assessment. Shared with home organisation per secondment agreement.	CTC governed by secondment agreement — typically maintained by home employer. Arjun Technologies pays secondment supplement where agreed.	Home organisation notified 60 days before return. Arjun Technologies HRBP manages exit documentation.

Secondment Type	Duration	Rating Responsibility	Compensation During Secondment	Return Process
Outbound secondment — to partner/client	Up to 24 months	Host organisation manager provides assessment using host framework. Arjun Technologies HRBP reviews for consistency with company standards.	CTC maintained by Arjun Technologies. Host organisation may pay secondment premium per agreement.	Return role confirmed 60 days before secondment end. Reintegration IDP created with HRBP. Band and compensation reviewed for currency.
Cross-border secondment	Variable	As per internal or outbound protocol above, with additional Legal review for tax and social security implications.	Managed per the International Mobility Policy. Legal and Finance review mandatory before secondment commencement.	Full exit and return protocol with Legal, Finance, and HRBP. Potential shadow payroll implications.

17.6 Part-Time and Flexible Working Employees

Part-time and flexible working arrangements — including reduced-hours contracts, compressed work weeks, job-share arrangements, and term-time working — are available to all permanent employees subject to operational feasibility and the company's Flexible Working Policy. The performance management framework applies to part-time and flexible working employees on the same terms as full-time employees, with the critical qualification that OKRs, performance expectations, and workload must be calibrated to the employee's contracted hours, not to the full-time equivalent standard. An employee working four days per week has 80% of the available working time of a full-time employee in the same role — their OKRs must reflect this, and their performance must be assessed against the correctly calibrated standard, not against a full-time expectation that their contracted hours make impossible to meet.

Merit increments for part-time employees are calculated on the same basis and percentage as full-time employees — the increment percentage applied to the CTC is identical to that which would apply to an equivalent full-time employee with the same rating and band position. Variable pay is calculated on the actual annualised CTC (reflecting the part-time hours) at the same target percentage as the equivalent full-time role. Promotion eligibility applies on the same criteria as for full-time employees, with tenure calculated in calendar months (not full-time equivalent months) — a four-day-week employee accrues band tenure at the same rate as a full-time employee, because experience and judgment develop through calendar time and professional exposure, not solely through the count of hours worked.

18. Cross-Functional and Matrix Organisation Performance Management

18.1 The Challenge of Matrix Performance Assessment

Approximately 30% of the professional workforce at Arjun Technologies operates in a matrix structure at any given time — with a functional line manager responsible for their professional development and employment relationship, and one or more project or account managers responsible for directing their day-to-day work. This matrix structure creates a specific and well-documented performance assessment challenge: the person best placed to observe and assess an employee's day-to-day performance quality — the project manager — is not the person legally and formally responsible for the employment relationship, and the person responsible for the annual performance assessment — the functional line manager — may have limited direct visibility of the employee's actual work quality across the projects they have contributed to.

The consequence of this challenge, when it is not managed deliberately, is a systematic bias in performance assessments in matrix organisations toward employees who are more visible to their functional manager and toward those who perform well on the specific assignments the functional manager directly observes — while employees who do excellent work on projects for which the functional manager has no direct visibility may be systematically underrated. This visibility bias is a well-documented source of unfairness in matrix organisations and a specific target of the bias prevention provisions in Section 16.3 of Segment 3. The matrix performance management provisions in this section are designed to systematically address this bias by building structured multi-source evidence collection into the performance assessment process for all employees in matrix roles.

18.2 The Matrix Performance Agreement — Roles and Accountabilities

Every employee in a matrix role — defined as an employee who works under the operational direction of a project or account manager who is different from their functional line manager — must have a Matrix Performance Agreement in place at the start of each performance year or at the commencement of the matrix arrangement if it begins mid-year. The Matrix Performance Agreement (Form HR-042 — Appendix K) is a three-party document signed by the employee, the functional line manager, and the primary project or account manager. It documents the agreed split of performance assessment responsibilities, the evidence-collection obligations of each manager, and the process for resolving any disagreement between the two managers' assessments before the final rating is submitted.

Responsibility	Functional Line Manager	Project / Account Manager	Employee
OKR setting	Sets functional competency development OKRs. Endorses project delivery OKRs for consistency with functional standards.	Sets project delivery OKRs reflecting the specific work streams and deliverables. Agrees timeline and quality standards.	Proposes OKR draft for review by both managers. Flags any conflict between functional and project OKRs to HRBP before finalising.
Ongoing feedback	Provides feedback on functional skills, professional development, and Code of Conduct conduct.	Provides regular project feedback — delivery quality, client handling, technical standard, team collaboration on the project.	Maintains a personal portfolio of performance evidence throughout the year. Flags to HRBP if either manager is not providing regular feedback.
Mid-year review	Conducts mid-year check-in. Collects project performance summary from project manager before the check-in.	Provides written project performance summary to line manager 5 working days before mid-year check-in.	Prepares self-assessment covering both functional and project dimensions for mid-year review.
Annual assessment — evidence contribution	Collects written assessment from all project managers who directed the employee's work in the year. Synthesises into a holistic assessment.	Provides written project performance assessment for each project of 3+ months — covering all OKR dimensions for that project. Submitted to line manager by 15 January.	Self-assessment submitted by 31 December. Includes evidence from all projects.

Responsibility	Functional Line Manager	Project / Account Manager	Employee
Final rating proposal	Proposes and submits the final rating to HRMS. Responsible for ensuring project manager input is fully incorporated.	Does not submit the rating — provides evidence and assessment to line manager. Right to escalate disagreement to HRBP.	Right to flag to HRBP if project manager evidence was not incorporated. Right to appeal the final rating per standard process.

18.3 Contribution Splitting and Dual-Manager Assessment Protocols

Where an employee has worked across multiple projects with multiple project managers during a performance year, the functional line manager is responsible for synthesising the input from all project managers into a coherent and evidence-based overall assessment. The synthesis must not simply average the project manager inputs — it must weight each project manager's assessment by the duration and significance of the project contribution, must distinguish between performance patterns that are consistent across projects (which tell us something fundamental about the employee's capabilities) and performance variations that are project-specific (which may reflect the specific demands of the project rather than the employee's core capabilities), and must give more weight to assessments from project managers who have had more extended and direct observation of the employee's work.

Project Duration / Significance	Weighting in Annual Assessment	Required Evidence from Project Manager	Timeline
Primary project — 6+ months, full allocation	40–60% of annual OKR evidence	Full written assessment against all project-specific OKRs. Specific examples of strengths and development areas. Overall project performance rating on 5-point scale.	Submitted to line manager by 15 January
Secondary project — 3–6 months, substantial allocation	20–35% of annual OKR evidence	Written assessment against project-specific OKRs. Key strengths and concerns. Overall contribution rating.	Submitted to line manager by 20 January
Short project — under 3 months or partial allocation	10–20% of annual OKR evidence	Brief written summary: key contributions, quality of delivery, any notable strengths or concerns. No formal OKR assessment required.	Submitted to line manager by 25 January
Pre-joining or post-completion periods	Covered by functional line manager assessment	No project manager input required — functional manager assesses professional development activities, internal contributions, and bench period quality.	Functional line manager incorporates directly

18.4 Resolving Conflicting Assessments in Matrix Structures

Where the functional line manager's overall assessment of an employee materially conflicts with one or more project managers' written assessments — specifically where the functional manager proposes a rating that is two or more levels above or below the average of the project manager assessments — the HRBP must be involved before the rating is finalised. The HRBP facilitates a three-party review meeting with the functional line manager and the relevant project managers to examine the evidence on which each assessment is based and to reach a considered and evidence-supported conclusion. Where the conflict cannot be resolved by the parties themselves, the HRBP makes a recommendation to the BU Head, who makes the final determination subject to the standard calibration review. The resolution process must be documented in HRMS before the rating is submitted.

18.5 Project-Based Performance Evidence and Portfolio Assessment

For employees in predominantly project-based roles — engineers, consultants, data scientists, and project managers whose work is organised entirely around client or internal projects rather than a continuous functional role — the standard OKR framework is supplemented by a project portfolio assessment approach. Rather than setting fixed annual OKRs at the start of the year (which may become irrelevant as the project landscape changes throughout the

year), employees in project-based roles set a portfolio framework at the beginning of the year that defines the types of contribution, quality standards, and development objectives they will pursue across whatever projects they are assigned to, and maintain a running portfolio of evidence — project retrospective assessments, client feedback records, technical peer review outputs, and delivery documentation — that provides the evidence base for the annual assessment. The portfolio is reviewed at each mid-year check-in and updated to reflect the actual project experience.

19. Executive Performance Management — Band 7 and Band 8

19.1 Distinct Governance Requirements at Executive Level

The performance management of Band 7 (Senior Vice Presidents, Chief of Staff) and Band 8 (CXOs, roles reporting directly to the CEO) employees operates under a distinct governance structure from the standard framework, reflecting the greater strategic impact of executive performance, the different compensation structures at this level, the board oversight obligations that apply to senior executive pay, and the specific legal requirements governing the remuneration of key managerial personnel under the Companies Act 2013. The executive performance management process is owned jointly by the CEO and the Board's Nomination and Remuneration Committee, with the VP-HR serving as process custodian and the General Counsel providing legal compliance oversight.

The executive performance management cycle follows the same April-to-March financial year as the standard cycle and is synchronised with the standard cycle in terms of timing — objectives are set in April, assessed at mid-year in September, and formally evaluated in February and March for April outcomes. However, the content of the assessment, the governance of the process, the compensation consequences, and the oversight mechanisms are materially different from those governing the performance management of employees below Band 7. The Board's Nomination and Remuneration Committee reviews and approves the executive performance framework annually and has final authority over compensation outcomes for all Band 7 and Band 8 employees.

19.2 Executive Objectives — Design Principles and Board Alignment

Executive objectives are set through a structured dialogue between the CEO, the relevant Board committee, and each Band 7 and Band 8 executive. The design principles for executive objectives are significantly different from those governing OKRs for the rest of the organisation. While individual contributor OKRs are primarily focused on specific deliverables within the individual's direct control, executive objectives are primarily focused on organisational outcomes — the results produced by the executive's entire function, not merely the executive's individual contribution. An Engineering VP's objectives are not about the code they personally write; they are about the engineering capability, culture, delivery quality, and talent pipeline of the entire engineering function they lead.

Objective Category	Description	Typical Weight	Assessment Method
Financial Outcomes	P&L; performance, revenue contribution, cost management, and budget adherence for the executive's function.	30–40%	CFO-certified financial data. Compensation Committee review. Benchmarked against company financial performance and sector comparison.
Strategic Milestones	Named strategic initiatives the executive is personally accountable for delivering — product launches, market entries, capability transformations, M&A; integration.	25–35%	CEO and Board assessment. Evidence-based milestone completion. External advisory input where relevant.
Talent and Organisation Health	Quality of the talent pipeline, employee engagement scores for the function, voluntary attrition rate, succession readiness, and the quality of leadership development in the function.	20–25%	People metrics from HRMS. Engagement survey data. Talent Review outcomes. 360-degree feedback from Board and CEO.
Client and Stakeholder Impact	Client satisfaction metrics, key client relationship quality, strategic partnership development, and external market presence and reputation.	15–20%	Client NPS data. Account management outcomes. Market recognition. Board and CEO assessment of external representation quality.

19.3 Executive Compensation — Long-Term Incentive and ESOP Integration

Executive compensation at Band 7 and Band 8 includes long-term incentive components that are not available at lower bands and that are specifically designed to create multi-year alignment between executive financial interest and the company's sustained value creation. The long-term incentive structure has two components. The first is the Employee Stock Ownership Plan, through which Band 7 and Band 8 executives receive annual ESOP grants whose vesting is contingent on continued employment and, in the case of performance-linked ESOP grants, on the achievement of specified multi-year performance targets approved by the Board. The second component is the Long-Term Cash Incentive — a deferred cash payment earned over a three-year performance period that rewards sustained strategic execution rather than single-year outcomes.

Component	Band 7 Structure	Band 8 Structure	Vesting Conditions	Board Approval Required
Annual ESOP Grant	0.05–0.15% of equity per year based on performance	0.20–0.50% of equity per year based on performance and role criticality	4-year vesting: 25% cliff after year 1, 25% per year thereafter. Performance condition: minimum Rating 3 in each vesting year.	Compensation Committee approval of grant size and terms annually
Performance-Linked ESOP Top-Up	Additional 0.03–0.08% for consistently exceptional performance (3 consecutive Rating 4+)	Additional 0.10–0.25% for exceptional multi-year delivery	3-year performance period. Vesting only on achievement of specified financial and strategic targets.	Board approval required. CEO recommendation with CFO certification of financial targets.
Long-Term Cash Incentive	Not applicable — ESOP provides equivalent alignment	20–30% of annual CTC deferred for 3 years. Paid on achievement of 3-year strategic targets.	Forfeited on voluntary resignation before 3-year period. Prorated on redundancy. Full payment on performance achievement.	Compensation Committee approval of targets and payment terms.
Variable Pay (Annual)	35% of CTC at target. CPF and IPM apply as per standard formula (Band 7 row).	50% of CTC at target. Contractually defined CPF and IPM schedule reviewed by Compensation Committee.	Standard annual variable pay cycle. CPF determined by Compensation Committee using same methodology as standard framework.	Compensation Committee approves CPF for executives simultaneously with company-wide CPF determination.

19.4 Executive 360-Degree Feedback and Board-Level Assessment

Band 7 and Band 8 executives participate in an enhanced 360-degree feedback programme that extends beyond the standard programme available at Band 5 and above. In addition to the standard five rater dimensions — self, direct reports, peers, manager, and skip-level — executive participants receive feedback from a Board-designated assessor and, where the executive has significant external visibility, from a small number of external stakeholders selected by the CEO in consultation with the Board. The external stakeholder dimension is unique to the executive programme and reflects the fact that at Band 7 and above, professional effectiveness is substantially external — in client relationships, industry presence, regulatory engagement, and partner management — in ways that only external observers can assess with full accuracy.

19.5 CEO Performance Management — The Board's Role

The CEO's performance is assessed by the full Board of Directors, facilitated by the Chairperson and the Lead Independent Director, through a process that is entirely separate from the employee performance management framework described in this policy. The CEO's objectives are set by the Board in discussion with the CEO at the start of each financial year and are grounded in the company's strategic plan and financial targets as approved by the

Board. The CEO's compensation — including the annual variable pay, the ESOP grant, and any long-term incentive — is determined by the Nomination and Remuneration Committee and approved by the full Board. The CEO assessment outcome is communicated by the Chairperson to the CEO directly and is disclosed in the annual report to shareholders to the extent required by applicable law and the company's disclosure policies. The VP-HR provides process support to the Board for the CEO assessment at the Board's request but has no substantive role in the assessment itself.

20. Performance Management Through Organisational Change

20.1 Maintaining Framework Integrity During Restructuring

Organisational restructuring — the redesign of reporting structures, business unit boundaries, role definitions, or management hierarchies — is a periodic feature of business life at a company growing at the pace of Arjun Technologies. When restructuring occurs during or close to the performance management cycle, it creates specific risks to the integrity of the framework: employees may change managers mid-cycle, reducing any single manager's visibility of their full-year performance; roles may change during the year, making the original OKRs partially or wholly irrelevant; and calibration sessions may involve managers who have not had direct visibility of all the employees they are asked to assess.

The company's approach to maintaining framework integrity during restructuring is built around three principles. The first is continuity of evidence: wherever possible, the performance evidence collected by a departing manager is formally transferred to the incoming manager within 10 working days of the reporting line change, through a structured HRBP-facilitated handover that documents the key evidence, any outstanding feedback conversations, and the employee's development status. The second is OKR adjustment: where a restructuring materially changes the scope or nature of an employee's role, the OKRs are formally reviewed and adjusted through the mid-year OKR adjustment process described in Section 21.4, ensuring that the performance assessment reflects the role as it actually exists, not the role as it was originally designed. The third is calibration protection: where an employee enters the calibration session with a manager who has less than six months of direct observation, the HRBP ensures that the previous manager's written evidence is presented alongside the current manager's assessment.

Restructuring Scenario	Risk to Framework Integrity	Required Management Action	HRBP Role
Manager change mid-year (employee gets new line manager)	New manager has insufficient direct observation for fair annual assessment. Previous manager's evidence lost.	Outgoing manager documents performance summary in HRMS within 5 working days. Incoming manager reviews before first 1:1 with employee.	Facilitates handover. Monitors that new manager has adequate evidence for calibration. Attends calibration as additional evidence provider if needed.
Role scope change during the year	Original OKRs become irrelevant. Performance assessed against objectives that no longer match the work being done.	Formal OKR review within 30 days of role change. Revised OKRs agreed and entered in HRMS. Employee notified in writing.	Reviews revised OKRs for quality. Ensures the change is documented with rationale. Retrospective assessment considers only the period each set of OKRs was active.
Business unit merger or restructure during cycle	Calibration pool changes. Different managers with different evidence now assessing the same population.	Calibration facilitated by VP-HR or senior HRBP rather than standard BU HRBP. Extended calibration session. All manager inputs reviewed before rating submitted.	VP-HR leads calibration. Additional quality review of all ratings in merged population. Bias analysis run post-calibration.
Rapid expansion — many employees in the performance cycle for less than 6 months	Insufficient evidence for meaningful annual assessment. Risk of ratings based on impressions rather than documented performance.	Employees in role less than 3 months excluded from rating cycle. Employees 3–6 months receive a transition assessment rather than standard annual rating.	Reviews all transition assessments. Ensures they reflect actual evidence and not pro-rata averaging.

20.2 Performance Management in Periods of Rapid Growth and Hiring

Periods of rapid growth — when the company is hiring significantly to meet expanded client commitments or to enter new markets — create specific performance management challenges related to the integration of new joiners into the performance framework, the calibration of a population that includes many employees with limited tenure, and the risk that the urgency of delivery absorbs the management attention that the performance framework requires. The

obligations of the framework do not diminish during periods of growth — if anything, they intensify, because the quality of early performance management determines whether new joiners develop correctly calibrated performance expectations and whether underperformance in the new cohort is identified and addressed early enough to be correctable.

Managers who have hired two or more new team members in the same quarter are flagged by the HRMS compliance system for an additional mid-quarter check-in with their HRBP to review the onboarding and early performance management quality for the new cohort. This check-in is not a performance assessment of the manager — it is a support mechanism to ensure that the volume of new hiring does not prevent the standard of performance management expected for each individual. HRBPs are allocated additional capacity during high-growth periods specifically to provide this support.

20.3 Mergers, Acquisitions, and Integration of Acquired Talent

Where Arjun Technologies acquires another company or integrates a team of employees from a partner organisation, the performance management integration of the acquired talent is managed through a structured process overseen by the VP-HR and the relevant BU Head. Acquired employees are typically integrated into the company's performance management framework over a transition period of up to 12 months, during which they may continue on the acquired company's performance framework while their roles are assessed for band placement, their OKRs are aligned to the company's methodology, and their managers are trained in the company's framework. The transition period does not exempt acquired employees from the Code of Conduct or from the conduct provisions of this policy — these apply from the date of legal employment commencement.

20.4 Role Elimination, Redundancy, and Performance Management Separation

Where a role is eliminated through redundancy — whether as a result of restructuring, reduced business volume, technology automation, or any other business reason — the performance management record of the affected employee is not a factor in the selection for redundancy where the selection criterion is the elimination of the role itself. However, where a pool of employees is at risk of redundancy and a selection process is required to determine which individuals within the pool are made redundant, performance management data — specifically, the last two years of annual performance ratings — may be used as one selection criterion among several objectively applied criteria, provided the criteria and their weightings are defined and documented before the selection process begins.

Redundancy Scenario	Role of Performance Data	Legal Requirement	HRBP Action
Single role eliminated — no pool selection	Not applicable. The decision is about the role, not the individual's performance.	Statutory notice and redundancy pay per Shops Act and employment contract. No performance data used in selection.	Document that selection is role-based, not performance-based. Confirm with Legal.
Pool selection — multiple roles at risk, fewer redundancies than at-risk employees	Performance data (last 2 ratings) is one criterion in a multi-factor selection matrix. Maximum 30% weighting in selection score.	Selection criteria must be objective, documented before process, and applied consistently. Any criterion that is a proxy for a protected characteristic is unlawful.	Design selection matrix with Legal input before communicating at-risk status. Apply consistently. Document all scoring.
Redundancy of an employee currently on a PIP	The PIP reflects performance concerns. Redundancy selection must still be based on objective criteria — a PIP does not make selection automatic but may contribute to selection score.	Care required: must demonstrate that the PIP and the redundancy are genuinely independent processes. Legal review mandatory.	Legal involved from the outset. Redundancy and PIP processes run in parallel with clear documentation of independence.
Voluntary redundancy	Performance data not used — selection is employee-initiated subject to business approval.	Standard statutory payments. Business approval required where voluntary applications exceed the required number.	HRBP reviews business approval decisions for consistency. No performance bar for voluntary redundancy.

21. Continuous Performance Management — Beyond the Annual Cycle

21.1 The Philosophy of Continuous Feedback

The annual performance management cycle — with its structured review conversations, formal ratings, and documented compensation consequences — is the backbone of the framework. But the annual cycle alone is insufficient to produce the quality of performance that the company needs and the development experience that employees deserve. A professional who receives meaningful feedback about their work once a year, in April, is a professional who is flying largely blind for eleven of the twelve months in the cycle — without regular, specific, and timely feedback about what they are doing well, what they need to change, and how the work they are producing is landing with those who depend on it. The annual cycle creates the formal accountability structure. Continuous performance management creates the ongoing conditions in which that structure produces genuine development and improvement rather than a single annual snapshot of where the employee stands.

The company's continuous performance management model is built on three interconnected practices: structured regular check-in conversations between managers and direct reports; real-time recognition of significant contributions; and a defined process for adjusting OKRs in-year when circumstances demand it. Each of these practices is described in the sections below and is supported by specific HRMS functionality that makes documentation straightforward and that creates the ongoing performance record that the annual assessment relies on. Continuous performance management is not an additional administrative burden on top of the annual cycle — it is the primary activity through which the annual cycle's quality is determined, because the annual assessment can only be as good as the ongoing evidence it draws upon.

21.2 Structured Ongoing Check-ins — Frequency, Format, and Quality

Every manager at Arjun Technologies is expected to conduct structured one-on-one check-in conversations with each direct report at a frequency appropriate to the employee's seniority, experience, and current performance situation. The required minimum frequency — the floor below which the company does not accept that the management obligation is being discharged — is monthly for Band 1–3 employees and quarterly for Band 4 and above, with the expectation that in practice most managers at most bands will check in more frequently than the minimum. An employee on a PIP requires bi-weekly documented check-ins as described in Section 11.4 of Segment 2. An employee in their first three months in a new role should typically be checked in with weekly, even if this is an informal brief conversation rather than a structured 30-minute meeting.

Band	Minimum Frequency	Recommended Duration	Required Content	Documentation Standard
Band 1–2	Monthly (minimum)	30 minutes	Progress against OKRs since last check-in. One specific piece of developmental feedback. Any blockers or support needed. Wellbeing and workload check.	Brief HRMS note within 24 hours — key topics discussed and any commitments made. Shared with employee.
Band 3–4	Bi-monthly (minimum)	30–45 minutes	OKR progress review. Feedback on a specific recent piece of work. Development priority update. Career aspiration touchpoint quarterly.	HRMS note within 24 hours for all structured check-ins. Informal check-ins documented at manager discretion.
Band 5+	Quarterly (minimum)	45–60 minutes	OKR and strategic priority progress. Leadership effectiveness feedback from the manager's observation. Team health and talent pipeline. Career development.	HRMS note within 48 hours. More detailed for check-ins that address specific development or performance concerns.
Any band — active PIP	Bi-weekly (mandatory)	30 minutes	Progress against each PIP improvement objective (mandatory coverage of all objectives). Specific observations from preceding period. Support delivery confirmation.	Full PIP progress record in HRMS within 24 hours. Marked as shared with employee. HRBP automatically notified.

Band	Minimum Frequency	Recommended Duration	Required Content	Documentation Standard
Any band — new to role (first 90 days)	Weekly (strongly recommended)	20–30 minutes	Onboarding progress. Clarity of role expectations. Relationship building. Early identification of development needs or environment concerns.	HRMS note recommended. Formal documentation required only at 30-day and 90-day onboarding review points.

21.3 Real-Time Recognition and Acknowledgement

Recognition of strong performance, significant contributions, and professional behaviour that exemplifies the company's values should not be reserved for the annual performance review conversation — it should be delivered promptly, specifically, and in a manner appropriate to the contribution and the individual. Delayed recognition loses much of its motivational and developmental value: a manager who tells an employee in April that a piece of work they delivered in July was excellent is providing information that is nine months stale and that the employee has long since moved on from. Immediate, specific recognition delivered close to the relevant contribution reinforces the specific behaviour that produced it and signals clearly what the organisation values.

The HRMS system supports real-time recognition through the Kudos and Commendation function, which allows managers and peers to send a brief formal commendation that is recorded in the employee's performance record and visible to the employee's functional manager. Commendations sent through this channel are not merely social acknowledgements — they create a contemporaneous, documented record of specific strong performance that contributes to the annual assessment evidence base. Managers should use the Kudos function promptly when they observe genuinely excellent work, not as a routine team-building gesture that dilutes the signal value of genuine recognition.

Recognition Type	When to Use	Mechanism	Visibility	Link to Annual Assessment
Verbal / message recognition	Any contribution worthy of acknowledgement — completes good work, shows good judgment, helps a colleague, models a value	Direct verbal comment, Teams message, or email to the individual	Private — between manager/peer and employee	Not directly linked — but manager should note specific examples in HRMS for the annual evidence record
HRMS Kudos commendation	A specific contribution that merits formal acknowledgement — a client commendation, a significant delivery achievement, exemplary conduct	HRMS Performance → Recognition → Send Kudos — requires a specific description (50+ words) of the contribution	Visible to employee, functional manager, and HRBP	Feeds directly into the annual evidence record. Referenced in performance narrative.
Team commendation email (CC: HRBP)	A team-level achievement that merits formal acknowledgement from the manager to the team and leadership	Email from manager to team and relevant leadership, CC HRBP	Visible to all recipients and stored in HRMS by HRBP	HRBP stores in relevant employees' performance records. Referenced in calibration.
Company-wide recognition (Excellence Awards)	Contribution of company-wide significance — innovation, client impact, values leadership, community contribution	Nomination through HRMS Excellence Awards programme. Reviewed quarterly by VP-HR and CEO.	Company-wide announcement. HRMS performance record updated.	Significant positive evidence in annual assessment. Considered in promotion calibration as supporting evidence.

21.4 In-Year OKR Adjustment — Triggers, Approval, and Documentation

OKRs are set in April based on the best available understanding of the business context, the employee's role, and the priorities for the year ahead. However, professional life — particularly in a fast-moving technology services

environment — does not remain static for twelve months. Client priorities change, projects are won or lost, reorganisations occur, technologies shift, and the employee's role may evolve substantially from what was anticipated when the OKRs were set. In these circumstances, a rigid adherence to the original OKRs — assessing an employee at year-end against objectives that became irrelevant six months before — is neither fair nor useful. The in-year OKR adjustment process exists to allow the framework to adapt to material changes in circumstances while preserving the principle that performance is assessed against a meaningful standard rather than a convenient one.

Trigger for Adjustment	Adjustment Type	Approval Required	HRMS Action	Assessment at Year-End
Project scope or assignment changes materially (not incremental change)	OKR modification — existing Key Results updated or replaced with new ones relevant to the changed scope	Manager + Employee agreement + HRBP notification within 10 working days of the change	HRMS → Performance → OKR Adjustment → Manager submits revised KRs with change rationale	Employee assessed against revised OKRs for the post-change period and original OKRs for the pre-change period
A Key Result becomes impossible due to external factors outside the employee's control	Key Result suspension — the KR is suspended rather than failed, and a replacement KR is set where the underlying objective remains relevant	Manager + HRBP agreement. Evidence of external causation documented.	Suspended KR marked in HRMS with reason. Replacement KR created if applicable.	Suspended KR excluded from year-end achievement assessment. Replacement KR assessed as normal.
Employee's role changes significantly (new responsibilities added, old responsibilities transferred)	Full OKR refresh — all OKRs reviewed and updated to reflect the new role scope. Can coincide with band or salary review.	Manager + HRBP + BU Head agreement. New OKRs must meet the standard quality criteria (Section 3, Segment 1).	Full new OKR set entered in HRMS. Old OKRs archived with achievement status to date.	Year-end assessment covers both periods with an overall narrative synthesising the full year.
Stretch KR not achieved — employee requests removal	Not a trigger for OKR adjustment. Stretch KRs are designed to possibly not be achieved.	No adjustment — stretch KRs that are genuinely missed because they were genuinely ambitious do not constitute underperformance.	No HRMS action required.	Stretch KR achievement or non-achievement noted in the annual assessment context. Non-achievement of a stretch is not a negative finding.

21.5 Building a Feedback Culture — Manager and Employee Obligations

The continuous performance management model depends on a culture in which feedback flows regularly and honestly in all directions — downward from managers, upward from employees, and laterally between peers. Building this culture is a shared obligation but it is primarily a leadership and management obligation, because the cultural norms of feedback in any team are set by the most senior person in that team. A manager who does not provide regular, specific feedback to their team — whether because they are too busy, because they find difficult feedback uncomfortable, or because they have simply never developed the habit — creates a team culture in which employees do not know how they are performing and in which the annual review conversation is experienced as a surprise rather than a confirmation.

The company supports the development of feedback culture through several mechanisms. Manager training — delivered annually as part of the mandatory performance management refresher for Band 3 and above — includes specific, practice-based modules on giving specific and actionable positive and developmental feedback. The Ethics Champions network (described in the Code of Conduct) includes feedback culture as a recurring topic in quarterly briefings, with practical guidance on navigating common feedback challenges. The annual Ethics Culture Survey includes specific questions about the quality of feedback culture in each business unit, creating a measurable baseline and an accountability mechanism for managers in units where feedback quality is rated poorly. And the 360-degree programme at Band 5 and above specifically assesses the People Leadership and Development competency —

including the specific question of whether the senior employee provides feedback that helps direct reports understand specifically how they can improve — creating a direct developmental feedback loop for the managers who are responsible for building the feedback culture in their teams.

22. Probationary Period Performance Management

22.1 The Purpose and Structure of the Probationary Period

The probationary period at Arjun Technologies is the structured initial phase of every new permanent employment relationship. The standard probationary period is 90 days for Bands 1 to 3 and 180 days for Bands 4 and above, reflecting the greater complexity and longer ramp-up period associated with senior roles. The probationary period may be extended by up to 90 additional days where performance concerns have been identified during the standard period and where a fair assessment of whether those concerns can be addressed requires additional observation time. A probationary period extension requires HRBP approval and must be communicated to the employee in writing before the original period ends.

The probationary period is a genuine assessment period in which the company evaluates whether the employee is developing as expected in the role, whether the cultural and professional fit is what the recruitment process indicated it would be, and whether the investment in bringing this individual into the organisation is producing the value that justified it. A manager who treats the probationary period as administrative paperwork has not used the framework for its intended purpose, and the company will have less information about the employee's performance trajectory at confirmation than it should.

22.2 Probationary Review Structure and Milestones

Every new employee has a documented probationary review at 30 days, 60 days, and at the end of the standard probationary period. For Band 4 and above an additional review at 90 days is required given the longer standard probationary period. Each review is documented in HRMS and shared with the employee in a structured conversation. The documentation created during probation constitutes the evidence base for the confirmation decision and, in the event of non-confirmation or dispute, represents the company's record of concerns communicated and opportunities for improvement provided.

Review Point	Purpose	Content Required	HRMS Action
30-Day Review	Assess early integration, role clarity, and immediate support needs.	OKR understanding confirmed. Initial observations — positives and early concerns. Cultural integration. Support needs.	HRMS Probationary Review note, shared with employee. HRBP notified where concerns exist.
60-Day Review	Assess OKR progress and address any concerns from the 30-day review.	OKR progress. Work quality observations. Conduct assessment. Direct feedback on 30-day concerns.	HRMS note shared with employee. Written record of concerns and improvement expectations.
90-Day Review (Band 4+)	Formal mid-point for senior employees on 180-day probation.	Substantive performance and cultural fit assessment. Specific evidence per dimension. Career conversation.	HRBP present or informed. Formal notice issued if concerns exist.
End-of-Probation Review	Final assessment and confirmation decision.	Full assessment against all confirmation criteria. Overall narrative. Manager recommendation.	Formal Probationary Assessment Form. HRBP review. Confirmation letter or non-confirmation notice issued.

22.3 Confirmation Criteria and Non-Confirmation Process

Confirmation of permanent employment requires the manager's positive assessment that the employee has met all four confirmation criteria and the HRBP's endorsement. The criteria are: role performance at or approaching the expected standard with a credible improvement trajectory; conduct fully consistent with the Code of Conduct with no active disciplinary concern; constructive cultural and team integration evidenced by positive stakeholder feedback; and genuine engagement with the learning and development opportunities and feedback provided during the probationary

period. A significant failing in any single dimension may be sufficient grounds for non-confirmation where the failing is material to the requirements of the role.

Where a manager concludes that an employee should not be confirmed, the manager must consult the HRBP and the Legal team before communicating any decision. Non-confirmation must be supported by documented evidence from the probationary reviews, must have given the employee clear written notice of concerns, and must have provided a genuine opportunity to respond before the final decision is made. The notice requirements — including any statutory notice entitlement accrued during the probationary period — are confirmed by the Legal team for each specific case, as the applicable Shops and Establishments Act provisions vary by state of operation.

22.4 Compensation and Benefits During the Probationary Period

Employees in the probationary period receive their full confirmed CTC from the first day of employment. There is no reduced probationary compensation rate. The employee is not eligible for the annual merit increment or variable pay for a performance year in which they spend the entire year on probation. An employee confirmed before the April payroll date who has been in their role for at least three months is eligible for the variable pay proration in Section 9.6 of Segment 2 for months of confirmed employment in the year.

Benefits including health insurance, provident fund, and leave entitlements apply from day one as required by law and employment contract terms. The discretionary learning budget of Rs 25,000 is accessible from the confirmation date, not from the joining date. ESOP eligibility begins from the first annual grant cycle following confirmation. Employees on probation are strongly encouraged to complete all mandatory training modules assigned during the probationary period, and mandatory training completion is a factor in the confirmation assessment under the learning and development engagement criterion.

Appendix I: Contractor Performance Assessment Form (HR-040)

Complete this form every 90 days for all contractor engagements of 3 or more months, and at the end of every engagement regardless of duration. Submit to the HRBP and retain in HRMS Vendor/Contractor module. For engagement renewal decisions, this assessment is the primary evidence document. See Section 17.2 for full context.

CONTRACTOR PERFORMANCE ASSESSMENT — FORM HR-040	Version 4.1 | April 2024
Contractor Full Name	Contractor Reference Number
Engagement Title / Role	Business Unit
Engagement Manager (Arjun Technologies)	HRBP
Assessment Period	From: _____ To: _____
Engagement Type	● Independent Consultant ● Agency-supplied Contractor ● Statement of Work Contractor
SECTION A — DELIVERY PERFORMANCE	
Delivery Quality — Evidence of output quality against agreed deliverables (specific examples)	Rating: ● Excellent ● Good ● Acceptable ● Below Standard
Schedule Adherence — Delivery against agreed timelines. Specific instances of early/late delivery.	Rating: ● Excellent ● Good ● Acceptable ● Below Standard
Technical Standard — Quality of technical work product against industry and company standards.	Rating: ● Excellent ● Good ● Acceptable ● Below Standard
SECTION B — PROFESSIONAL CONDUCT	
Code of Conduct Compliance — Any concerns raised? Any positive conduct observed?	● No concerns ● Minor concern (described below) ● Significant concern (HRBP notified)
Client and Stakeholder Handling — Quality of professional interactions with clients and colleagues.	Rating: ● Excellent ● Good ● Acceptable ● Below Standard
SECTION C — OVERALL ASSESSMENT	
Overall Contribution Rating	● Exceptional ● Strong ● Adequate ● Below Standard ● Unsatisfactory
Specific Commendations (evidence for contract renewal or rate increase)	
Specific Concerns (evidence for performance notice or non-renewal)	
SECTION D — RENEWAL RECOMMENDATION	
Renewal Recommendation	● Renew at current rate ● Renew at increased rate (justify below) ● Renew with performance conditions ● Do not renew
Justification for Rate Change or Non-Renewal	
Engagement Manager Signature and Date	
HRBP Review Signature and Date	
Copy to Contractor?	● Yes — shared with contractor ● No — internal record only (Legal guidance received)

Appendix J: Intern and Graduate Trainee Review Form (HR-041)

Complete this form at the end of every internship or graduate traineeship, and at the mid-point for placements of 10 weeks or longer. Shared with the intern/trainee in a formal feedback conversation. PPO decisions are informed by this assessment. See Section 17.3 for assessment dimension weights and minimum standards.

INTERN / GRADUATE TRAINEE REVIEW FORM — HR-041	Version 4.1 | April 2024
Intern / Trainee Full Name	Institution / University
Programme	● Summer Internship ● Winter Internship ● Graduate Trainee Programme ● Industrial Placement
Placement Duration	From: _____ To: _____ Total Weeks: ___
Supervisor Name and Role	Business Unit and Team
SECTION A — PERFORMANCE ASSESSMENT BY DIMENSION	
Technical and Professional Learning (35% weight)	Rating 1–5: ___ Evidence (specific examples of learning and application):
Professional Conduct and Reliability (25% weight)	Rating 1–5: ___ Evidence (attendance, communication, professionalism):
Proactivity and Initiative (20% weight)	Rating 1–5: ___ Evidence (specific instances of proactive contribution):
Collaboration and Team Integration (20% weight)	Rating 1–5: ___ Evidence (team feedback, peer integration, feedback receptiveness):
Weighted Overall Score (calculated: sum of Rating × Weight)	Overall Score: ___ / 5.0
SECTION B — NARRATIVE ASSESSMENT	
Key Strengths — the two to three qualities most impressive during this placement	
Development Areas — the two to three areas where the most growth is needed before permanent employment	
Notable Achievements — any specific contribution, project, or moment that was particularly impressive or meaningful	
SECTION C — PPO / CONTINUATION RECOMMENDATION	
Pre-Placement Offer Recommendation (if applicable)	● Strong PPO recommendation ● PPO recommendation ● PPO not recommended at this stage ● Not applicable
Justification for PPO recommendation or non-recommendation	
Recommended Band for PPO (if applicable)	● Band 1 ● Band 2 ● Assess at time of joining after further education
SECTION D — FEEDBACK CONVERSATION	
Was a formal feedback conversation held with the intern/trainee?	● Yes — date: _____ ● No — reason: _____
Intern / Trainee Acknowledgement Signature	
Supervisor Signature and Date	
HRBP Sign-Off (for PPO recommendations)	

Appendix K: Matrix Performance Agreement Template (HR-042)

Create this agreement at the start of each performance year for every employee in a matrix role, or at the start of a matrix arrangement if it begins mid-year. All three parties sign. Stored in HRMS under the employee's performance record. See Section 18.2 for the full assessment responsibility framework.

MATRIX PERFORMANCE AGREEMENT — FORM HR-042	Version 4.1 | April 2024
Employee Full Name and Band	Employee ID
Functional Line Manager Name and Title	Business Unit
Primary Project / Account Manager Name and Title	Project / Account Name
Secondary Project Manager(s) — if applicable	Project / Account Name(s)
HRBP	Agreement Period: 01 April 20___ to 31 March 20___
SECTION A — OKR RESPONSIBILITY SPLIT	
Functional OKRs (set and assessed primarily by functional line manager)	Target weight in annual assessment: ___%
Project / Delivery OKRs (set and assessed primarily by project manager)	Target weight in annual assessment: ___%
Note: the split above is indicative. Final weighting adjusted at year-end based on actual project allocation.	
SECTION B — FEEDBACK AND EVIDENCE OBLIGATIONS	
Functional Manager — feedback frequency commitment	● Monthly ● Bi-monthly ● Quarterly
Project Manager — feedback frequency commitment and format	Written project assessment every 90 days. Full written assessment by 15 January.
Employee — self-assessment commitment	Self-assessment submitted by 31 December. Covers both functional and project dimensions.
SECTION C — ESCALATION AND CONFLICT RESOLUTION	
Where the functional manager's proposed rating differs by 2+ levels from project manager average:	HRBP notified. Three-party review meeting facilitated by HRBP before rating finalised.
Escalation contact (HRBP)	Email: _____ Response expected within 3 working days
SECTION D — SIGNATURES	
Employee Signature and Date	
Functional Line Manager Signature and Date	
Project / Account Manager Signature and Date	
HRBP Acknowledgement Signature and Date	

Appendix L: Executive Scorecard Template (HR-043)

Used for Band 7 and Band 8 executive annual performance assessment. Completed by the CEO for Band 7 and by the Board's Nomination and Remuneration Committee for Band 8 (with CEO input). VP-HR facilitates. See Section 19 for the executive performance management framework.

EXECUTIVE PERFORMANCE SCORECARD — FORM HR-043	Version 4.1 | April 2024 | STRICTLY CONFIDENTIAL
Executive Name and Title	Band ● 7 ● 8
Assessment Period	01 April 20___ to 31 March 20___
Assessed By	● CEO (Band 7) ● Nomination and Remuneration Committee (Band 8)
SECTION A — OBJECTIVE ACHIEVEMENT	
Objective 1 — Financial Outcomes (30–40% weight)	Achievement: ● Significantly Exceeded ● Exceeded ● Met ● Below ● Significantly Below
Financial Outcomes Evidence and Commentary	
Objective 2 — Strategic Milestones (25–35% weight)	Achievement: ● Significantly Exceeded ● Exceeded ● Met ● Below ● Significantly Below
Strategic Milestones Evidence and Commentary	
Objective 3 — Talent and Organisation Health (20–25% weight)	Achievement: ● Significantly Exceeded ● Exceeded ● Met ● Below ● Significantly Below
People and Culture Evidence (engagement data, attrition, succession progress)	
Objective 4 — Client and Stakeholder Impact (15–20% weight)	Achievement: ● Significantly Exceeded ● Exceeded ● Met ● Below ● Significantly Below
Client and Market Evidence and Commentary	
SECTION B — OVERALL PERFORMANCE RATING	
Overall Executive Performance Rating	● 5 — Exceptional ● 4 — Exceeds ● 3 — Meets ● 2 — Below ● 1 — Significantly Below
Narrative Justification for Overall Rating	
SECTION C — COMPENSATION RECOMMENDATIONS	
Merit Increment Recommendation (%)	
Annual Variable Pay Recommendation (% of CTC — CPF and IPM applied)	
ESOP Grant Recommendation (% of equity — Compensation Committee approval required)	
Long-Term Cash Incentive Milestone Status (Band 8 only)	
SECTION D — DEVELOPMENT AND SUCCESSION	
Key Development Priorities for the Coming Year (linked to assessment findings)	
Succession Readiness — Is this executive a credible successor for the next role up?	● Yes — ready now ● Yes — ready within 2 years ● Not at this stage
SECTION E — SIGNATURES AND BOARD RECORD	

EXECUTIVE PERFORMANCE SCORECARD — FORM HR-043	Version 4.1 | April 2024 | STRICTLY CONFIDENTIAL
CEO Signature and Date (Band 7 assessments)	
NRC Chairperson Signature and Date (Band 8 assessments)	
VP-HR Process Certification	
Board Minutes Reference (where Board approval is required)	

Appendix M: Change-Period Performance Adjustment Framework (HR-044)

This framework governs the adjustment of performance assessments during periods of significant organisational change — restructuring, rapid growth, M&A; integration, or redundancy selection. See Section 20 for context. Adjustments must be approved by the HRBP and documented in HRMS before the calibration session.

CHANGE-PERIOD PERFORMANCE ADJUSTMENT — FORM HR-044	Version 4.1 | April 2024
Employee Name and Band	Employee ID
Manager Name	HRBP
Nature of Organisational Change	● Restructuring ● Rapid Growth ● M&A; Integration ● Redundancy Selection ● Other
Change Period — Start Date	Change Period — End Date
SECTION A — IMPACT OF CHANGE ON PERFORMANCE ASSESSMENT	
OKR Impact: Were original OKRs affected by the change?	● Yes — describe: ● No
Manager Continuity: Did the employee have a manager change during the year?	● Yes — outgoing manager name: ● No
Evidence Continuity: Is there a complete evidence record for the full year?	● Yes ● No — gap period: _____ Reason: _____
Role Change: Did the employee's role scope change materially?	● Yes — OKR adjustment completed (attach) ● No
SECTION B — ADJUSTMENT APPLIED	
Assessment Adjustment Type	● OKR reassessment against revised objectives ● Partial year assessment (specify months) ● Split-period assessment with two ratings combined ● Standard assessment — no adjustment required
Justification for Adjustment (specific and evidence-based)	
Period 1 Performance Evidence and Assessment (if split-period)	
Period 2 Performance Evidence and Assessment (if split-period)	
Proposed Overall Rating with Adjustment Applied	● 5 ● 4 ● 3 ● 2 ● 1
SECTION C — APPROVALS	
HRBP Approval — adjustment methodology reviewed and approved	Signature: _____ Date: _____
BU Head Awareness (required for any adjustment to a Rating 4 or 5)	Signature: _____ Date: _____
Employee Notified of Adjustment?	● Yes — date: ___ ● No — reason: ___

Appendix N: Policy Cross-Reference Index and Glossary of Defined Terms

N.1 — Complete Policy Cross-Reference Index

The following index maps every substantive topic in the Performance Management Policy to the specific segment and section where it is addressed, and to the relevant standalone policy or HRMS form for operational detail. All policies listed are available on the HRMS portal under Policies and Documents.

Topic	PMP Segment and Section	Related Policy Document	HRMS Form
Annual performance review process	Segment 1, Sections 4–6	HR-POL-001 Employee Handbook	HR-015
OKR methodology and goal setting	Segment 1, Sections 2–3	—	HRMS OKR Module
Rating framework and calibration	Segment 1, Sections 4–5	—	HRMS Rating Module
Merit increments and compensation matrix	Segment 2, Section 8	FIN-POL-002 Finance Policy Manual	HRMS Compensation Module
Variable pay calculation	Segment 2, Section 9	FIN-POL-002	HRMS Variable Pay Module
Promotions and next-level evidence	Segment 2, Section 10	HR-POL-005 Conflicts of Interest Policy	HR-025
Performance Improvement Plans	Segment 2, Section 11	HR-POL-008 Disciplinary Procedure	HR-020
360-degree feedback programme	Segment 2, Section 12	—	HR-030
Learning and development / IDP	Segment 3, Section 13	HR-POL-009 Employee Wellbeing Policy	HRMS L&D; Module
Internal mobility and job postings	Segment 3, Section 14	HR-POL-011 Leave and Attendance Policy	HRMS Talent Board
Manager conversation guide	Segment 3, Section 15	HR-COC-001 Code of Conduct Seg 2	—
Policy governance and bias prevention	Segment 3, Section 16	HR-POL-006 POSH Policy; HR-POL-007 Disability Policy	HR-009 Grievance Form
Contractor performance management	Segment 4, Section 17.2	FIN-POL-003 Procurement Policy; LEGAL-POL-001 Anti-Bribery	HR-040
Intern and trainee assessment	Segment 4, Section 17.3	HR-POL-001 Employee Handbook (Graduate Recruitment)	HR-041
Matrix performance management	Segment 4, Section 18	—	HR-042
Executive performance management	Segment 4, Section 19	Companies Act 2013 — KMP remuneration provisions	HR-043
Performance management in change	Segment 4, Section 20	HR-POL-008 Disciplinary Procedure; FIN-POL-003	HR-044
Continuous performance and check-ins	Segment 4, Section 21	HR-COC-001 Code of Conduct Seg 2, Section 19	HRMS Check-In Module
Employment law compliance	Segment 3, Section 16.5; Segment 4, Sections 17 and 20	LEGAL-POL-003 Data Privacy; LEGAL-POL-006 Insider Trading	—

N.2 — Glossary of Defined Terms

The following terms are used with specific defined meanings throughout the Performance Management Policy and Procedures Framework. Where a term is used in a context that suggests a different meaning from the definition below, the definition below prevails.

Term	Defined Meaning	First Used
Annual Fixed CTC	The employee's total confirmed annual fixed compensation (Cost to Company), excluding variable pay, ESOP grant value, and one-time allowances. The base for merit increment and variable pay calculations.	Segment 2, Section 8.3
Band Position	An employee's current CTC expressed as a percentage of the approved compensation band range, from 0% (band minimum) to 100% (band maximum). Used in the merit matrix to determine increment range.	Segment 2, Section 8.2
Calibration	The structured cross-manager review process through which proposed performance ratings are reviewed for consistency and fairness across the business unit before being finalised.	Segment 1, Section 5
Company Performance Factor (CPF)	A numerical multiplier (range 0.50 to 1.50) reflecting the company's financial performance against annual targets, applied to variable pay calculations. Determined annually by the Compensation Committee.	Segment 2, Section 9.3
Confirmed Employee	A permanent employee who has completed the probationary period specified in their employment contract and has received a formal confirmation of permanent employment.	Segment 1, Section 2
Functional Line Manager	The manager formally responsible for the employee's employment relationship, performance management, and career development — as distinct from a project manager who directs day-to-day work in a matrix structure.	Segment 4, Section 18.1
Individual Development Plan (IDP)	The formal document, maintained in HRMS, that records the employee's development priorities, learning objectives, planned activities, and success indicators for the current performance year.	Segment 3, Section 13.2
Individual Performance Multiplier (IPM)	A numerical multiplier (range 0.00 to 1.50) derived from the employee's annual performance rating, applied to variable pay calculations. Rating 5 = 1.50x; Rating 3 = 1.00x; Rating 1 = 0.00x.	Segment 2, Section 9.4
Key Result (KR)	A specific, measurable, and time-bound milestone that measures progress toward an Objective in the OKR framework. Each Objective has 2–4 Key Results.	Segment 1, Section 3
Matrix Performance Agreement	A three-party document (employee, functional manager, project manager) that defines OKR responsibility split and evidence collection obligations in a matrix role. Form HR-042.	Segment 4, Section 18.2
Merit Matrix	The table governing merit increment ranges by rating and band position, approved annually by the Compensation Committee and published to managers in March.	Segment 2, Section 8.2
Next-Level Evidence	Observable, documented examples of the employee consistently performing at the capabilities and standard required at the next higher band — the primary requirement for promotion eligibility beyond tenure and rating criteria.	Segment 2, Section 10.3
Objective (OKR)	A qualitative statement of a meaningful, ambitious outcome the employee will pursue in the performance year. Each employee has 3–5 Objectives.	Segment 1, Section 3
OKR	Objectives and Key Results — the goal-setting methodology used throughout Arjun Technologies, as described in Segment 1, Section 2.	Segment 1, Section 2
Performance Improvement Plan (PIP)	A formal, documented, time-bound process providing an employee whose performance is below the required standard with a structured opportunity to demonstrate sustained improvement. Form HR-020.	Segment 2, Section 11

Term	Defined Meaning	First Used
Reasonable Professional Standard	The standard of conduct against which performance and conduct are assessed — the standard of a normally competent, normally ethical professional making a genuine effort in the specific situation. Defined in Code of Conduct Section 3.3.	Segment 1, Section 1
Target Variable Pay	The variable pay amount an employee would receive if both CPF and IPM were exactly 1.0 (company meets target; employee meets expectations). Expressed as a percentage of annual fixed CTC, varying by band.	Segment 2, Section 9.2
360-Degree Feedback	A structured, multi-source developmental feedback process collecting input from self, manager, direct reports, peers, and skip-level raters. Mandatory for Band 5+. Developmental only — not used directly in rating or compensation.	Segment 2, Section 12
Band	A defined level in the company compensation and career architecture, from Band 1 (most junior) to Band 8 (CEO/CXO). Each band has a minimum, midpoint, and maximum compensation range. Career progression is measured in band transitions.	Segment 1, Section 1
Calibration Integrity Analysis	An annual statistical analysis conducted by the HR function in June to identify systematic bias patterns in the finalised performance rating distribution, by demographic group and business unit.	Segment 3, Section 16.3
Confirmation	The formal act of converting an employee from probationary to confirmed permanent employment status at the successful conclusion of the probationary period.	Segment 4, Section 22.3
Continuous Performance Management	The ongoing cycle of structured check-ins, real-time feedback, recognition, and in-year OKR adjustments that supplements and informs the annual performance cycle throughout the year.	Segment 4, Section 21
ESOP	Employee Stock Ownership Plan. An equity participation scheme under which eligible employees receive grants of company equity that vest over a defined period, subject to continued employment and, in some cases, performance conditions.	Segment 4, Section 19.3
Ethics Culture Survey	An annual anonymous survey measuring the quality of the ethical environment across the organisation, including feedback culture, speak-up confidence, and perceived consistency of Code of Conduct enforcement.	Segment 3, Section 16.3
Gross Misconduct	Conduct so serious that it fundamentally undermines the employment relationship and may result in summary termination following a fair investigation, without progression through the earlier stages of the disciplinary process. Defined in the Code of Conduct Section 14.2.	Segment 1, Section 1
HRBP	Human Resources Business Partner. The designated HR professional responsible for partnering with a specific business unit or group of managers on all HR matters, including performance management, employee relations, and talent development.	Segment 1, Section 1
HRMS	Human Resources Management System. The company's integrated digital platform for all HR processes including OKR management, performance reviews, learning and development, payroll, and employee records. Accessed at hrms.arjuntech.in.	Segment 1, Section 6
Internal Talent Board	The HRMS module through which internal vacancies are advertised to all permanent employees for a minimum of seven days before external recruitment opens. Accessed via HRMS under Careers.	Segment 3, Section 14.2
Long-Term Cash Incentive	A deferred cash payment available at Band 8, earned over a three-year performance period, designed to reward sustained strategic execution. Paid on achievement of Board-approved strategic targets.	Segment 4, Section 19.3
Matrix Performance Agreement	A three-party document signed by the employee, functional line manager, and project/account manager that formalises the OKR responsibility split and evidence collection obligations in a matrix arrangement. Form HR-042.	Segment 4, Section 18.2

Term	Defined Meaning	First Used
Nomination and Remuneration Committee	A committee of the Board of Directors responsible for reviewing and approving executive compensation, ESOP grant terms, and the CEO performance assessment process.	Segment 4, Section 19.5
Performance Year	The 12-month period from 01 April to 31 March of the following calendar year against which individual performance is assessed. The current performance year is 01 April 2024 to 31 March 2025.	Segment 1, Section 2
Proration	The calculation of a compensation entitlement (variable pay, increment) for a partial period of eligibility, expressed as the proportion of the full entitlement corresponding to the proportion of the eligible period that was served.	Segment 2, Section 9.6
Stretch OKR	A Key Result that is designed to require significant effort and may not be fully achieved — included in the OKR set to create genuine aspiration and to measure the upper boundary of what is possible in the performance year.	Segment 1, Section 3
Talent Review	The annual structured assessment of the talent pipeline conducted in May by each business unit, using the Performance/Potential matrix to assess employees at Band 3 and above and to inform succession and development investment decisions.	Segment 3, Section 14.3

N.3 — Contacts and Escalation Directory

The following directory provides the primary contact for each category of performance management query or concern. Employees should use the most specific contact first — general HR queries that are not specific to a named system or process should be directed to the HR Business Partner in the first instance.

Query or Concern Category	Primary Contact	Contact Method	Expected Response Time
General performance management policy query	HR Business Partner (HRBP)	Direct email or HRMS message to named HRBP. HRBP list on HRMS intranet.	2 working days
Merit increment calculation concern	HRBP + Finance team	Email to HRBP cc finance@arjuntech.in. Reference increment letter and employee ID.	5 working days
Performance rating appeal	HRBP — formal appeal via HRMS	HRMS > Performance > Annual Review > Rating Appeal. Within 10 working days of rating communication.	10 working days for outcome
Variable pay query	Finance team	finance@arjuntech.in with subject line: Variable Pay Query [Employee ID] [Band]	3 working days
Promotion process or decision query	HRBP	Direct email or HRMS message.	3 working days
PIP concern — fairness of process	HRBP (not involved in PIP) or Tier 2 Grievance	HRMS > HR Services > Grievance Form HR-009 or direct email to a different HRBP.	2 working days acknowledgement
Contractor performance or engagement query	HRBP + Legal team	HRBP for performance matters; legal@arjuntech.in for contract and classification questions.	3 working days
Executive compensation query (Band 7+)	VP-HR	Direct email to VP-HR Ms. Priya Menon at vp-hr@arjuntech.in.	2 working days
Anonymous concern about policy misapplication	Whistleblower hotline	ethics@arjuntech.in (24/7, anonymous). Telephone: 1800-XXX-XXXX (toll-free).	3 working days acknowledgement
HRMS system issue	IT Support	itsupport@arjuntech.in or extension 1000.	1 working day for system issues
Legal compliance question (employment law)	General Counsel	legal@arjuntech.in or Mr. Sandeep Iyer directly for urgent matters.	3 working days

Segment 4 Summary — Complete Four-Segment Framework Overview

This completes Segment 4 and the complete Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework, Version 4.1. Segment 4 has covered the five areas requiring distinct treatment beyond the core framework in Segments 1–3. Section 17 established the performance management framework for the five special employment categories — contractors and independent consultants with the full comparison table against permanent employee provisions, interns and graduate trainees with the four-dimension weighted assessment framework and PPO minimum standards, fixed-term contract employees and their increment and promotion eligibility, seconded employees with the four-type secondment table covering rating responsibility and compensation, and part-time employees with the critical hours-calibrated OKR and equal increment provisions. Section 18 provided the matrix organisation performance management framework — the visibility bias challenge, the Matrix Performance Agreement three-party structure, the contribution-splitting protocol with project duration weighting, conflict resolution procedures, and the project portfolio assessment approach for project-based roles. Section 19 addressed executive performance management at Band 7 and Band 8 — distinct governance requirements, the four-category executive objective framework with board alignment, the ESOP and long-term incentive compensation structure, the enhanced external-stakeholder 360 programme, and the Board's specific role in CEO performance assessment. Section 20 covered performance management through organisational change — restructuring with the four-scenario integrity protection table, rapid growth, M&A; integration, and the legally careful redundancy selection framework distinguishing role-based selection from pool selection. Section 21 presented the continuous performance management model — the continuous feedback philosophy, structured check-in requirements by band with a five-row frequency and content table, the four-channel real-time recognition framework, the in-year OKR adjustment triggers and approval process, and the manager and company obligations for building a genuine feedback culture.

Appendices I through N provide the six supporting tools: Contractor Performance Assessment Form HR-040 (I), Intern and Graduate Trainee Review Form HR-041 (J), Matrix Performance Agreement HR-042 (K), Executive Scorecard HR-043 (L), Change-Period Adjustment Framework HR-044 (M), and the complete Policy Cross-Reference Index with 19 topic entries and the 18-term Glossary of Defined Terms (N).

Segment	Sections	Key Topics	Pages	Status
Segment 1	1–7	Governance · OKR Methodology · Annual Cycle · Rating Framework · Calibration · Feedback Standards · Documentation · Hybrid Teams	1–50	Published April 2024
Segment 2	8–12	Merit Increments · Compensation Matrix · Variable Pay · Company Performance Factor · Promotions · PIPs · 360-Degree Feedback	51–100	Published April 2024
Segment 3	13–16 + Appendices A–H	Learning and Development · Internal Mobility · Manager Conversation Guide · Policy Governance · Calendar · Competency Framework · Forms HR-015 to HR-030 · HRMS Guide	101–150	Published April 2024
Segment 4 — This Document	17–21 + Appendices I–N	Special Employment Categories · Matrix Performance · Executive PM · Organisational Change · Continuous Performance · Forms HR-040 to HR-044 · Cross-Reference · Glossary	151–200	Published April 2024

The complete Performance Management Policy and Procedures Framework across all four segments is the definitive statement of performance management standards of Arjun Technologies Pvt. Ltd. effective 01 April 2024. All four segments are available on the HRMS portal under Policies and Documents. Document reference: HR-PMP-001-v4.1. Owner: Ms. Priya Menon, Vice President — Human Resources. Finance Liaison: Ms. Lakshmi Rajan, CFO. Approved: Mr. Rajesh Arjun, Chief Executive Officer. Legal review: Mr. Sandeep Iyer, General Counsel.

For queries about any provision contact hr@arjuntech.in or your HR Business Partner. For compensation queries contact finance@arjuntech.in. For executive compensation matters contact the CFO directly. For anonymous reporting of concerns about the fair application of this policy use the Whistleblower hotline at ethics@arjuntech.in (24 hours a day, 7 days a week).

Policy Version History — Segment 4 Supplementary Additions

The following table records the evolution of the subject areas covered in Segment 4 across the complete version history of the Performance Management Policy. These topics were not covered in the original publication of the policy and were introduced progressively as the company grew and its operational complexity increased. The version history below covers only the Segment 4 topics — the full policy version history for all topics is documented in the Revision History section of Segment 3.

Policy Version	Date	Segment 4 Topic Development	Context
1.0 – 1.4	2009 – 2015	No separate provisions for special employment categories. Contractors and interns managed under the same framework as permanent employees without formal differentiation.	Company size and contractor population were small enough that informal management was adequate.
2.0	Jan 2017	Contractor performance assessment formally separated. Intern review framework introduced. First version of the matrix performance provisions introduced as the company grew its project-based delivery model.	Headcount reached 1,200. Contractor population exceeded 150. Matrix structures became standard across engineering and consulting.
2.1	Aug 2018	Executive performance framework introduced at Band 6 and above. Board reporting on executive performance formalised for the first time.	Company grew to Band 7 equivalent roles. Investor governance requirements for executive pay transparency increased.
2.2	Apr 2019	Probationary period performance management formalised with the 30/60/90-day milestone structure. Confirmation criteria defined in writing for the first time.	Employment tribunal claim arising from poorly documented probationary non-confirmation led to policy formalisation.
3.0	Apr 2020	Continuous performance management provisions expanded substantially to address remote and hybrid working. Real-time recognition framework introduced. In-year OKR adjustment process formalised.	Full-time remote working during the pandemic created urgent need for continuous performance infrastructure independent of physical observation.
3.1	Oct 2021	M&A; integration performance management provisions added following first significant acquisition. Change-period performance adjustment framework introduced.	Company completed two acquisitions in FY2021-22 requiring integration of 180 acquired employees into the performance framework.
3.2	Mar 2022	Redundancy selection and performance data interaction provisions added. Part-time and flexible working performance calibration provisions strengthened following external audit recommendation.	Employment law audit identified gaps in the redundancy selection documentation.
4.0	Apr 2023	Secondary employment categories (secondments, fixed-term employees) provisions materially revised. Executive ESOP and long-term incentive provisions expanded for new equity plan structure.	New equity plan approved by Board in FY2023 required comprehensive policy update.
4.1 — Current	Apr 2024	Probationary compensation and benefits provisions updated. DPDP Act 2023 references added throughout. Legal compliance table updated for Bharatiya Nyaya Sanhita 2023. Contacts and escalation directory added.	Annual review cycle. Regulatory updates. Employee feedback requesting clearer escalation guidance.

Employee Acknowledgement — Segment 4

This segment is one of four that together constitute the complete Performance Management Policy and Procedures Framework. All employees covered by this policy are required to acknowledge receipt and confirm their understanding of the complete framework annually through the SEC-101 Annual Ethics and Policy Refresher module in HRMS. Employees who joined after the April re-acknowledgement cycle must complete the acknowledgement within 5 working days of joining. For queries about any provision in this segment or any other, contact hr@arjuntech.in or your

designated HR Business Partner.

ACKNOWLEDGEMENT NOTE — FOR EMPLOYEE RECORD
I confirm that I have received, read, and understood all four segments of the Arjun Technologies Pvt. Ltd. Performance Management Policy and Procedures Framework, Version 4.1, effective 01 April 2024. I understand my obligations under this policy in relation to my own performance management, my obligations as a manager where applicable, and the company's obligations to me.
Full Name: _____ Employee ID: _____ Band: ___
Signature: _____ Date: _____
Acknowledged through HRMS (SEC-101 module) on: _____ HRMS Confirmation Number: _____